
APPROACH: DIY SMSF WITH AN AI CO-PILOT

SMSF **From** **Scratch**

Decide, set up, and start running a self-managed super fund — with AI as your guide

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01 Is an SMSF Right for You?

An honest decision framework — not a recommendation

I can't tell you whether to start a self-managed super fund. Legally, I'm not allowed to, and honestly, no book can — the answer depends on your money, your goals, and your patience. What I can do is hand you the same facts a good adviser would put on the table, clear the two myths that distort most people's thinking, and show you the questions worth sitting with before you decide.

The two myths that wreck the decision

Most people walk into this decision carrying two numbers in their head. Both are unreliable, and both push the thinking off course.

The first is **"\$13,900 a year"**. In November 2019, ASIC published a fact sheet warning that SMSFs cost, on average, \$13,900 a year to run and took more than 100 hours of a trustee's time. The number was built on shaky ground. It bundled in optional personal insurance premiums and the investment-management costs of very large, complex funds, then took the *average* across every fund — and an average is dragged upward by a handful of multi-million-dollar funds. ASIC was criticised for the figure and later withdrew the fact sheet. If you've heard "SMSFs cost fourteen grand a year," you can set that aside. (Before quoting either figure yourself, it's worth pulling the archived ASIC source so you know exactly what it did and didn't say.)

The second myth is **"\$500,000"**. For years a rule of thumb floated around that a fund below half a million dollars wasn't worth it. ASIC's old guidance leaned the same way, suggesting funds under \$500,000 "may not be in members' best interests." Independent research disputed it, and ASIC removed the \$500,000 figure in late 2022. Its current guidance, INFO 274, treats your balance as *one factor among several*, not a hard gate. There is no legislated minimum balance to start an SMSF.

NOTE

The point: the scary cost number is overstated, and the magic-balance number doesn't exist. Clearing both lets you look at the real trade-off, which is about capability and responsibility — not a single dollar threshold.

What an SMSF actually costs

Start with the honest figure, which is the *median*, not the average. The median is the fund in the middle — a far better picture of a typical fund than an average skewed by the giants.

The ATO publishes a statistical overview of the SMSF sector each year. On the most recent data available as I write (the 2023–24 overview), the median *operating* cost of running a fund — administration, the annual audit, and the supervisory levy — sits in the order of \$4,400 a year. Median *total* expenses, which also sweep in investment costs that many simple do-it-yourself funds never incur, are closer to \$9,500. The average total is much higher again, around \$17,500, precisely because of those large complex funds. Those figures come from the ATO's overview; because they shift each year, confirm the current edition before you treat any of them as today's number.

Now the other end of the range. A genuinely lean, do-it-yourself fund has a hard floor you cannot dodge:

Table 1.1 The unavoidable annual floor for a simple DIY fund (as at June 2026)

Cost line	Typical amount	Can you avoid it?
ATO supervisory levy	\$259 / year (\$518 in a new fund's first year)	No — legislated and flat
Independent annual audit	~\$300–700	No — mandatory every year
Administration / software	~\$400–900 (flat-fee DIY)	Partly — depends on how much you do yourself
All-in floor (these three combined)	~\$960–1,860 / year	This is the cheapest a compliant fund gets

That floor is the three lines above added together — levy, audit, and a basic administration or software fee. It's worth checking what any advertised price actually includes. A well-known flat-fee online administrator, for instance, advertises a single annual fee of around \$1,499 covering the administration and the audit; read the fine print to see whether the \$259 ATO levy is inside that price or charged on top, because if it's on top your steady-state cost is closer to \$1,758, and more in year one.

TIP

An AI use you can trust here: ask your co-pilot to turn a provider's pricing page into a single "all-in" figure — itemising what's included and flagging what isn't (especially the ATO levy). Try: *"From this pricing page, list every annual cost line, total them, and tell me explicitly whether the ATO supervisory levy is included or extra. Factual summary only — don't recommend this provider."* It does the reading and the arithmetic; you make the call.

The two break-evens (and the comparison most people skip)

Here's where cost comparisons go wrong: there are *two* different break-even questions, and people answer one while thinking they've answered the other.

Break-even one — versus a normal (pre-mixed) industry or retail fund. A large APRA-regulated fund typically charges a *percentage* of your balance. An SMSF charges mostly *fixed* dollars. Percentage costs grow with your balance; fixed costs don't. So above a certain balance, the fixed-cost fund can become cheaper. To make that concrete, take one large fund's published balanced-option fees as the comparison point — roughly \$722 a year on a \$100,000 balance, \$1,727 on \$250,000, and \$3,252 on \$500,000 — and set them against three SMSF cost levels:

Table 1.2 Illustrative cost break-evens against one fund's balanced option (assumptions stated; not a forecast)

SMSF cost level (assumed flat \$/yr)	Becomes cheaper than the percentage-fee option above roughly
Cheap DIY (~\$1,060)	~\$130,000–140,000
Mid-range outsourced (~\$2,700)	~\$400,000–425,000
Full-service (~\$3,900)	~\$600,000–650,000

Read those as illustrations under the stated assumptions, not as a rule — change the fund, the option, or the SMSF's running cost and the cross-over moves. Your own figures are the only ones that matter, and the cross-over depends entirely on the actual fees in front of you.

Break-even two — versus an APRA "member-direct" option. This is the comparison many people skip, and it can be the decisive one. Several large APRA-regulated funds now offer a member-direct menu: you pick ASX-listed shares, exchange-traded funds, listed investment companies, and term deposits *inside* the big fund. At least one such option caps the administration cost at a few hundred dollars a year — in one current example, in the order of \$550 — which can sit below the roughly \$960 floor of even a cheap SMSF. Whether that holds for any particular fund depends on its current product disclosure statement, so check the live figure rather than taking mine.

NOTE

The comparison worth running: where the portfolio you have in mind is only ASX-listed shares, ETFs, and cash, the published administration cost of an APRA member-direct option may be lower than a low-cost SMSF at the same balance — sometimes at every balance — depending on the fund, the menu, and the current fees. It's the comparison to put in front of a licensed adviser, because the same investments may be available either way.

Capability, not price

So why does anyone run an SMSF at all? Because an SMSF can hold things a big fund's menu simply can't:

- **Direct property** — a specific residential or commercial property (large funds don't let you hold a single named property).
- **Direct crypto and unlisted assets** — holdings outside a big fund's menu.
- **Bespoke tax engineering** — choosing which parcels of an asset to sell for capital gains, segregating pension assets, planning around the transfer balance cap.
- **Granular estate control** — designing who receives your super on death, and how, through binding nominations and reversionary pensions.

That is the distinction the rest of this book turns on. An SMSF's running cost and time buy you *capability* — the ability to do things a big fund can't. Where the portfolio you want is only shares and ETFs, a member-direct option may deliver the same holdings for less, so a cost comparison there is worth doing carefully. As a practical guideline, many specialists treat roughly \$200,000 as the balance below which fixed costs take a large bite of the return — but that's a guideline about cost drag, not a legal threshold, and it's only one of several factors a licensed adviser would weigh.

Control versus responsibility

The brochure word for an SMSF is "control." The word the brochure leaves out is "responsibility," and they are two sides of one coin.

Table 1.3 What you gain — and what you take on

You gain	You take on
Full choice over investments and strategy	Real ongoing time — plan for hours every month, not minutes: government consumer guidance (MoneySmart) still describes a typical commitment of more than 100 hours a year — a separate source from the withdrawn ASIC fact sheet debunked above

Direct ownership of specific assets	Full legal responsibility for every decision — even one your accountant made
Tax and estate flexibility	Responsibility for your co-trustees' decisions too
No percentage fee on a large balance	No government compensation scheme if the fund is defrauded
It's your fund, run your way	No recourse to AFCA for a dispute about the trustee's own investment decisions

Read the right-hand column twice. The one that surprises people most is that you remain legally responsible even when you pay an accountant or adviser to help — the trustee carries the can, always. In a two-person fund, you're on the hook for your co-trustee's choices as much as your own. The AFCA point is worth stating precisely, too: you can still complain to AFCA about a licensed adviser or a product provider who lets you down, but you can't complain to anyone about the investment decisions your own trusteeship made — there's no external umpire for those. None of this should scare you off; plenty of people run a fund happily for decades. But it should be a decision you make with both columns in front of you.

NOTE

Context: on the ATO's March 2026 figures, there were about 672,800 SMSFs holding roughly \$1.06 trillion — close to a quarter of all of Australia's superannuation. You'd be in large company. That's a reason to take the decision seriously, not a reason to assume it suits you.

Four people deciding — and what each one shows

The trade-off is easier to feel through examples. These four are illustrations of how the factors interact. They are not advice about your situation, the facts are assumed, and none of these people is you — each ends with what the example *shows*, not with what the person should do.

Priya, 38, \$280,000. She wants to buy a specific investment property through her super. Her balance clears the first cost break-even, and a big fund can't hold a single named property, so direct property is a genuine capability difference. *What this illustrates:* the factors a licensed adviser would weigh together — investment access, costs, the trustee time and duties, the rules and real complexity of borrowing inside super, concentration risk in a single asset, and whether the same goal could be reached another way.

Tom and Sarah, 52 and 50, \$620,000 combined. They want a diversified portfolio of ETFs and shares — nothing exotic. They clear every cost break-even against a normal percentage-fee fund, but their existing fund's member-direct option offers the same ASX-and-ETF menu. *What this illustrates:* SMSF-specific capabilities may add little where the intended portfolio is equally

available through an APRA member-direct option, so a careful fee comparison between the two — at their actual balance and fees — is the analysis a licensed adviser would run before anything else.

Dev, 29, \$45,000. He's been told to open an SMSF to buy cryptocurrency. Crypto is a real capability gap — a big fund won't hold it directly. But at \$45,000, a fixed cost of \$1,000–1,800 a year is two to four per cent of the balance before any return. *What this illustrates:* how heavily fixed costs weigh on a small balance, and why the same capability that's attractive at a large balance can be uneconomic at a small one — a trade-off, not a verdict, and one to test with current figures.

Margaret, 61, \$1.4 million. She's approaching retirement and wants tight control over how she draws a pension and what happens to her super when she dies. *What this illustrates:* the issues licensed advice would address for someone in the retirement phase — pension administration, estate-planning flexibility, control, costs, trustee obligations, and whether the same outcomes are achievable inside an APRA fund.

Across the four, capability and cost are the recurring factual considerations — but the weight each one carries differs for every person, which is exactly why the suitability call belongs with a licensed adviser and not with a book.

How to use AI here — and the line you must not cross

This is the chapter where it matters most that you understand what your AI co-pilot is for. It is a strong research-and-organising assistant. It can explain how an SMSF works, turn a provider's fees into an all-in figure, summarise the ATO's guidance in plain English, and draft a list of questions to take to an adviser. All of that is factual information and admin — useful and safe.

What it cannot do — and what no book can do — is tell you whether to start an SMSF. Under the Corporations Act, the moment advice takes account of your objectives, financial situation, or needs, it becomes *personal financial product advice* (the trigger is in section 766B(3)), and giving that as a business legally requires an Australian Financial Services licence. A recommendation to set up an SMSF, or to roll your existing super into one, is exactly that kind of advice. Even *general* advice about a financial product carries a legal warning requirement (section 949A). An AI can't hold a licence, and you should never accept a "you should" answer from one.

WARNING

The line: "Explain how SMSF costs work" is a question you can ask anything. "Should I start one?" is a question only a licensed financial adviser can answer for you — check them on the ASIC Financial Advisers Register first. If your AI ever answers the second question, it has stepped outside what it's allowed to do, and you would be acting on something it isn't permitted to give.

So here's the standing rule for the whole book, and it starts now: this book, and any AI you use alongside it, gives you **factual information and education only**. It is not personal financial advice, general financial advice, tax advice, or legal advice, and it doesn't consider your circumstances. Before you act on anything that turns on your situation, take it to a licensed financial adviser, a registered tax agent, or a lawyer, as the case needs. I'll keep showing you exactly where each of those lines falls.

TIP

Run it in the lab: the companion lab has a runnable version of this chapter's decision triage — the learn chapter `/learn/what-is-super-and-smsf` and the workflow `/practice?situation=workflow:new-client-onboarding`, which walks the same checks and routes the "should I" question to a licensed adviser.

TIP

Next: if you're still reading, the decision is at least live for you. Before we touch setup, Chapter 2 builds the foundation everything else rests on — how superannuation actually works, and what changes the moment "managed for you" becomes "self-managed."

02 How Super Works (and What "Self-Managed" Means)

The machine before you take the wheel

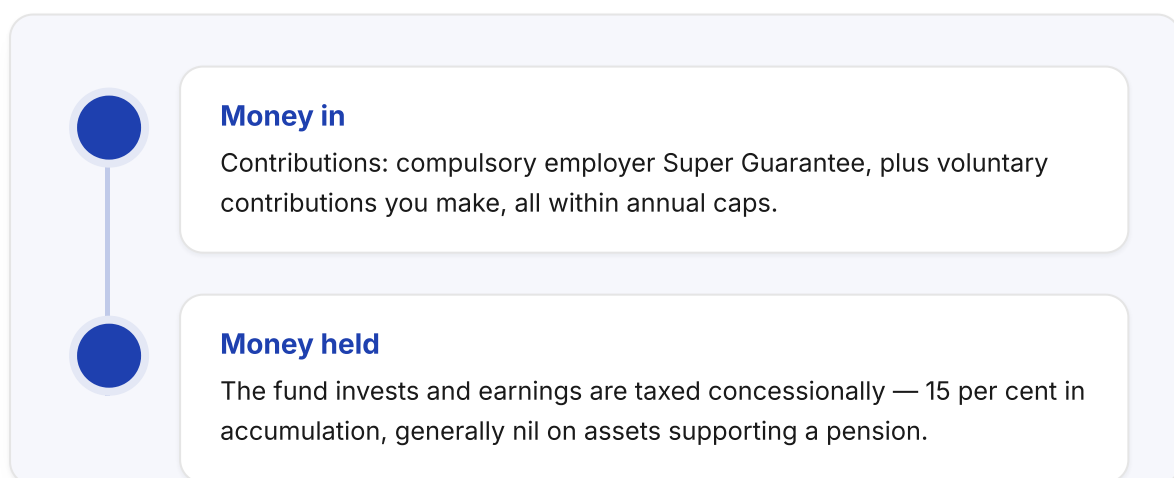
Before you can run a fund, you need a clear picture of what superannuation is and what the law expects of the people who run one. This chapter is the foundation the rest of the book stands on. None of it is advice about your situation — it's how the machine works, and what changes the moment "managed for you" becomes "self-managed."

Super in five minutes

Superannuation is money set aside for your retirement, kept inside a trust and taxed gently in return for being locked away. That gentle tax is the whole point. While you're working and contributing, earnings inside the fund are generally taxed at 15 per cent — well below most people's marginal rate. Once you've retired and started a pension from the fund, the earnings on the assets supporting that pension are generally taxed at nil.

In exchange for those concessions, you can't simply take the money out when you like. You reach your **preservation age** — now 60 for everyone — and then meet a **condition of release**, such as retiring after preservation age or turning 65, before you can access it. Until then it stays preserved.

It helps to picture super as three stages — money in, money held, money out:





Money out

Once you meet a condition of release you can draw a pension or lump sum; on death it passes to dependants or your estate.

Money goes in through **contributions**. Your employer pays compulsory contributions under the Super Guarantee, which reached its final legislated rate of 12 per cent on 1 July 2025. You can add more yourself, within annual limits called **caps** — for 2025–26 the concessional (before-tax) cap is \$30,000 and the non-concessional (after-tax) cap is \$120,000. Chapter 7 covers contributions properly; for now, just hold the shape: concessionally taxed, preserved until a condition of release, money in via capped contributions.

NOTE

Definition — accumulation and pension phase: while you're building your balance, your fund is in *accumulation phase* (earnings taxed at 15 per cent). When you retire and draw an income stream, the supporting assets move to *pension phase* (earnings generally taxed at nil). An SMSF can run both at once for different members.

An APRA fund versus an SMSF — the real differences

Most Australians are in a large fund regulated by APRA — an industry or retail fund with thousands or millions of members and a professional trustee company running it. An SMSF is a different animal. The differences that matter aren't marketing; they're structural, and they all flow from one fact: in an SMSF, the members are the people in charge.

Table 2.1 Where an SMSF genuinely differs from a large APRA fund

	Large APRA-regulated fund	SMSF
Who is the trustee	A professional trustee company	You — every member is a trustee (or a director of the trustee company)
Regulator	APRA (plus ASIC for conduct)	The ATO
Members	Thousands to millions	A maximum of six
Who makes investment decisions	The fund's investment team, within its options	The trustees, within super law and the fund's deed
Fraud/theft compensation	A statutory compensation scheme can apply	None
AFCA complaints scheme	Available	Not available for the trustee's own investment decisions

Investment range	The fund's menu (sometimes a member-direct option)	A wider range of trustee-directed investments, subject to the rules below
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That last row is the one people fixate on, so let me be precise about it. An SMSF can hold a wider range of investments than a typical large fund — but "wider" is not "anything." Every investment is bounded by super law, the fund's trust deed, the written investment strategy, the sole-purpose test, and specific rules for related parties, borrowing, valuation, and liquidity. Later chapters work through each of those fences. For now, hold the accurate version: more direct control over permitted investments, inside a real set of legal limits.

To put the scale in perspective: on the ATO's March 2026 figures there are about 672,800 SMSFs, holding roughly \$1.06 trillion between around 1.24 million members — a little under two members per fund on average. SMSFs are a substantial part of the super system. They're also the part where the people in the chairs are the ones legally on the hook.

Trustee = you (and what that means)

The single idea that defines an SMSF is in the name. It is *self-managed*, and the law builds that in: under the Superannuation Industry (Supervision) Act — the SIS Act, the rulebook I'll refer to throughout — every member of the fund must be a trustee, and every trustee must be a member. The section is s17A, and the rule is sometimes called the "member-as-trustee" rule. There are no silent members and no outside trustees (bar a few narrow exceptions, such as someone acting for a member who has died or lacks capacity).

That rule shapes the structure you can choose, and there are two:

- **Individual trustees.** The members act as trustees personally. You need at least two individuals — so even a one-person fund needs a second trustee (often a relative).
- **A corporate trustee.** A company acts as trustee and the members are its directors. A single-member fund can use a corporate trustee with the member as sole director.

Chapter 4 compares these two options properly — the legal and cost implications of each. For now, note three things every trustee or director must deal with at the start. First, a director of a corporate trustee needs a **director identification number** before they're appointed. Second, within **21 days** of becoming a trustee or director, each person must sign the ATO's **Trustee Declaration** (form NAT 71089) confirming they understand their duties — a requirement under SIS Act s104A, and a record the fund keeps for ten years. Third, a trustee can't be paid for being a trustee.

TIP

A safe AI use: ask your co-pilot to build you a "new trustee" checklist — director ID, signing the trustee declaration within 21 days, where to store it — from the ATO's own pages, with links so you can verify each step. It's organising public information, which is squarely what it's good at. Read the result against the ATO pages before you act on it.

Your legal duties, in plain English

When you become a trustee you take on a set of legal duties called **covenants**, written into every SMSF by the SIS Act (s52B for individual trustees; the equivalent for directors of a corporate trustee is s52C). They sound formal, but in plain English they're the standard you'll be held to. The table below covers the core ones — it's a plain-English summary, not the full statutory text:

Table 2.2 Some core trustee covenants, in plain English

The duty	What it means day to day
Act honestly	In every matter affecting the fund — no exceptions
Care, skill and diligence	Exercise the care, skill and diligence expected of an ordinary prudent person managing retirement savings for others
Best financial interests of members	Decisions serve members' retirement savings, not your convenience
Keep the fund's assets separate	Fund money and assets never mix with your personal or business money
Have and follow an investment strategy	Formulate it in writing, review it regularly, and actually invest in line with it
Consider the strategy properly	When setting and reviewing the strategy, consider risk, return, diversification, liquidity, the fund's liabilities, and whether to hold insurance for members
Don't tie your own hands	Don't enter arrangements that stop you performing your duties

Two of these catch beginners more than the rest. The "keep assets separate" covenant is the first. The fund's bank account is the fund's — not a place to park personal cash, and not somewhere to pay a personal bill "just this once." Mixing the two is a common breach area, and it's entirely avoidable with a dedicated fund bank account from day one.

The second is the investment-strategy covenant, because people assume "have a strategy" means downloading a template and filing it. It doesn't. The law expects you to actually consider those factors — risk, return, diversification, liquidity, liabilities, insurance — and to write down your

reasoning, then review it. Chapter 6 builds one with you. The point here is simply that the strategy is a live duty, not a box to tick.

The sole-purpose test: the rule behind every rule

If you remember one thing from this chapter, make it this. The **sole-purpose test** (SIS Act s62) says the fund must be maintained *solely* to provide retirement benefits to members — or death benefits to their dependants — and nothing else. Every investment, every decision, answers to it. A present-day benefit to a member or a related party, even a small one, is the classic way funds fall foul of it.

The reason to take it seriously is the consequence. A fund that breaches the rules can be made **non-complying**, and a non-complying fund loses its concessions spectacularly: in the year it's made non-complying, its assessable income can include the market value of its *entire* assets, taxed at 45 per cent. That's not a penalty in the ordinary sense — it can take close to half the fund. The sole-purpose test is the line you never cross, and most of the specific rules in later chapters are really just the sole-purpose test wearing different clothes.

WARNING

The trap that teaches the rule: "the fund can buy a holiday house and we'll just use it occasionally." Any personal use of a fund asset breaches the sole-purpose test, regardless of intention. The fund exists to fund your retirement — not to give you something to enjoy before then.

What records prove this later

Here's a thread that runs through the whole book, worth picking up early: the law doesn't just ask you to *do* the right thing as a trustee — it asks you to be able to *show* you did. Your auditor, once a year, has to confirm you met your duties. They can only confirm what the records demonstrate.

So the covenants above have a paper shadow. The duty to have an investment strategy is proved by the written strategy and the dated minutes of its annual review. The duty to keep assets separate is proved by a fund-only bank account and clean reconciliations. The decisions you make — starting a pension, accepting a contribution, buying an asset — are proved by trustee minutes. None of this is onerous if you build the habit from day one, and it's exactly the kind of organising and drafting an AI co-pilot is good at helping with. Chapter 9 sets up the record-keeping system in full; for now, just connect the two ideas: every duty here leaves a record, and the record is what the auditor reads.

Four quick illustrations

As in Chapter 1, these are assumed-fact illustrations of how the rules bite — not advice, and not you.

The Nguyen family fund. Two parents and three adult children want one fund for the family. That's five members, which an SMSF allows (the limit is six). *What it illustrates:* every one of the five must be a trustee or director and sign the trustee declaration — there are no passive "along for the ride" members. It also shows why trustee structure matters: once a fund has more than four members, an individual-trustee arrangement can run into additional legal constraints, which Chapter 4 explains alongside the corporate-trustee alternative.

Aisha, running solo. Aisha wants a one-person fund. *What it illustrates:* the member-as-trustee rule means she needs either a corporate trustee with herself as sole director, or a second individual trustee — and that second person is a full trustee with full duties, not a figurehead doing her a favour.

Greg and the beach house. Greg likes the idea of the fund buying a holiday apartment the family can use now and then. *What it illustrates:* the sole-purpose test in action — that occasional personal use is the breach, and the downside (45 per cent on the fund's assets) dwarfs any weekend saved.

The Patels' slip. The Patels pay a personal credit-card bill from the fund's bank account by mistake. *What it illustrates:* the separation-of-assets covenant, and why a dedicated fund account and clean records aren't bureaucracy — they're how you stay on the right side of a covenant you've personally signed up to, and how you prove it at audit.

What "self-managed" really asks of you

Put the pieces together and "self-managed" stops being a marketing word. It means you are the trustee, you carry the covenants, you answer to the sole-purpose test, and you keep the records that prove it. The ATO regulates SMSFs; it is not there to make trustee decisions for you. There's no compensation scheme behind you and no complaints umpire for your own decisions. An SMSF gives trustees more direct control over permitted investments and administration than a large fund — and that control comes with exactly the responsibilities described in this chapter.

That's the trade this book helps you operate well. You do not need to become an accountant or a lawyer to understand the framework — but many decisions still need qualified accounting, legal, tax, or licensed financial advice, and a large part of running a fund well is knowing which decisions those are. An AI co-pilot can help with the administrative load in between: organising records,

preparing draft minutes for your review, and summarising the ATO's pages — provided you verify its output before you rely on it. What it can't do is be the trustee. That's you. Which is exactly why the next chapter is about using that co-pilot well — and safely.

TIP

Run it in the lab: the companion lab's learn chapters `/learn/what-is-super-and-smsf` and `/learn/trustee-deed-and-duties` cover this chapter's ground — how super works, and the duties that land on a trustee — in interactive form.

TIP

Next: you'll lean on an AI co-pilot throughout the rest of this book. Chapter 3 sets the rules of engagement — what it's brilliant at, the things you must never let it do, and the verify-everything habit that keeps you out of trouble.

03 Your AI Co-Pilot

A research-and-drafting assistant — never your adviser

You'll lean on an AI co-pilot through the rest of this book, so it's worth being precise about what that means. Conversational AI is a genuinely useful research-and-drafting assistant for a trustee — and a dangerous one if you let it cross a line it isn't allowed to cross. This chapter sets the rules of engagement: what it's good at, the things you must never let it do, the data you must never paste into it, and the verify-everything habit that keeps you out of trouble.

What an AI co-pilot is genuinely good at

By "AI co-pilot" I mean a conversational assistant like Claude or ChatGPT — the kind you type a question into and get plain English back. Some tools also offer a "Projects" or custom-instruction feature, a workspace where you keep a fund's documents and standing instructions together so every conversation starts with the right context. For a trustee, that workspace can be useful — provided whatever you store in it is redacted and tightly controlled, which I'll come back to.

What it's good at is a specific list, and the items on it share one trait: they're all **factual or administrative**. The assistant reads, organises, explains, and drafts. It does not decide.

- **Researching the rules — then handing you a source to verify.** "What does the sole-purpose test require?" is a question it can answer in plain English, with the section number, so you can check it against the law yourself.
- **Organising documents.** Pulling a year of fund paperwork into an index, listing which trustee minutes you have and which decisions still need one, building a record-keeping checklist from the ATO's own pages.
- **Drafting minutes and letters from your own facts.** You supply the decision the trustees made; it turns that into a clean draft minute for you to read, correct, and sign.
- **Decoding regulator pages into plain English.** ATO and ASIC guidance is precise and dense. An assistant can turn a page into a plain summary — which you then read against the original.
- **Preparing questions for a professional.** Before you sit down with an adviser, a tax agent, or a lawyer, it can assemble your facts and draft a sharp question list so you don't pay for thinking time you could have done yourself.

Notice what's common to all five. Each produces *factual information* or a *first draft* that a human then checks. None of them is a recommendation about what you, with your money and your goals, ought to do. That distinction is the whole chapter, so hold it as you read on.

TIP

The mental model: treat the assistant as a fast, well-read intern who has never met you, can't be held responsible for anything, and occasionally makes things up with total confidence. You'd happily ask that intern to draft a letter or summarise a webpage. You would never let them sign the fund's documents or tell you whether to start an SMSF — and you'd check their work. Same here.

The no-go list: what AI must never do for you

There is a hard line, and it's drawn by law rather than by good manners. The moment advice takes account of your objectives, your financial situation, or your needs, it becomes **personal financial product advice** — the trigger sits in the Corporations Act, section 766B(3) — and giving that as a business legally requires an Australian Financial Services licence. A super fund is a financial product. A recommendation to set one up, or to roll your existing super into an SMSF, is exactly that kind of advice.

An AI cannot hold an AFS licence. It cannot be a member of a professional body, carry professional indemnity insurance, or be held to account when its advice goes wrong. So when a chatbot answers "should I start an SMSF?" with anything resembling a yes, a no, or a "someone in your position usually does," it has produced something it isn't permitted to give — and you'd be acting on it with no protection at all. ASIC's own guidance on this sits in **INFO 274**, "Tips for giving self-managed super fund advice," and the regulator separately reviewed the quality of the personal advice that licensed financial advisers gave retail clients about setting up an SMSF in **REP 824** (November 2025). Both make the same point from the licensee's side: a recommendation to set up an SMSF is personal advice, and it has to be done properly, by someone licensed and accountable.

Even *general* advice about a financial product — a recommendation that doesn't consider your circumstances — carries a legal warning requirement under section 949A when it's given to a retail client. A consumer chatbot is not an AFS licensee, doesn't issue that compliant warning, and shouldn't be giving product advice at all. My rule for this book is simple: treat any recommendation from a consumer chatbot as outside the tool's role — and if you find yourself wanting to act on one, that's the moment to pick up the phone to a licensed adviser.

Table 3.1 Where the line falls — safe uses versus the no-go list

Safe — factual and administrative (AI can help)	No-go — needs a licensed, accountable human
"Explain how the sole-purpose test works."	"Should I start an SMSF?"

"Summarise this ATO page in plain English."	"Is an SMSF right for someone in my position?"
"Draft a trustee minute from these facts I'm giving you."	"Should I roll my industry super into an SMSF?"
"List the documents I need to set up a fund."	"What should my fund invest in?"
"Turn these provider fees into one all-in figure."	"Which provider should I choose?"
"Draft questions to take to my financial adviser."	"Pick the better strategy for my retirement."

The left column is research and drafting; the right column is a recommendation tailored to you. A useful warning sign is whether an answer would depend on *your* circumstances. If it might, that's a prompt to take the question to a registered professional rather than pressing on with the chatbot. It belongs with a licensed adviser, a registered tax agent, or a lawyer — depending on whether the question is about financial product strategy, tax, or the law. Check a financial adviser on ASIC's Financial Advisers Register, a tax agent on the Tax Practitioners Board register, and confirm an SMSF auditor on ASIC's register, before you rely on any of them.

And the part that doesn't move, whichever tool you use: **the human is always accountable**. When the trustee signs a minute, lodges a return, or approves an investment, the trustee owns that decision in full — even if an AI drafted the words and even if an accountant prepared the numbers. As Chapter 1 put it, the trustee carries the can, always. An assistant changes how fast you can do the work. It changes nothing about who answers for it.

Privacy: what never to paste into a chatbot

The second hard line is about data, and it catches careful people who'd never dream of asking for advice. The instinct, when you want help with a document, is to paste the whole thing in. With fund paperwork that instinct is a problem, because fund paperwork is full of identifiers you should never hand to a chatbot.

Two pieces of law sit behind this. Many consumer AI tools may process or store your text outside Australia, depending on the provider and your account settings. Where the Privacy Act applies to you — for example, if your fund employs staff, or you run a related business that turns over more than \$3 million a year — disclosing personal information overseas brings in Australian Privacy Principle 8 (APP 8), and under section 16C the entity that discloses it can stay accountable for what happens to it overseas. Many individual trustees won't be caught by the Act directly. But the practical rule is identical either way: pasting a person's tax file number into an offshore chatbot doesn't hand the problem away, so don't do it.

WARNING

Never paste these into a chatbot: tax file numbers (yours, a co-trustee's, the fund's), identity documents (passport, driver licence, Medicare numbers), full bank account and BSB details, signatures, or *anyone else's* personal information — a co-trustee's, a member's, a beneficiary's — without a clear basis for doing so. A TFN in particular has its own legal protections, and there is no good reason an AI needs one to help you draft a minute or summarise a rule.

The fix is simple and becomes second nature fast: **redact first**. Before you paste, replace the real identifiers with placeholders. The fund becomes "the Fund," a member becomes "Member A," the tax file number becomes "[TFN redacted]," the account number becomes "[account redacted]." The assistant doesn't need the real values to do its job — it needs the shape of the document and the facts of the decision. You drop the real details back in yourself, on your own machine, after you've checked the draft. The Projects feature is convenient, but the same rule applies inside it: a redacted document is fine to store; a tax file number is not.

The verify habit — and two cautionary tales

Even on the safe side of both lines, an AI assistant has one failure mode you must design around: it can be confidently, fluently wrong. It can state a cap, cite a section, or quote a case that doesn't exist — and present all of it in the same calm, authoritative tone it uses when it's right. The word for this is "hallucination," and it isn't rare. So the single habit that makes an AI co-pilot safe is this: **treat every factual claim as a draft until you've checked it against the primary source**. The ATO page. The legislation. The provider's own pricing. The regulator's register.

Two recent Australian examples show what skipping that step costs, and they're worth keeping in mind precisely because the people involved were professionals, not beginners.

The first is corporate. In 2025, Deloitte Australia had to refund part of the fee on a report it prepared for the federal Department of Employment and Workplace Relations after the report was found to contain references and a quote generated by AI that didn't check out — fabricated citations and an invented quotation. Deloitte agreed to refund the final instalment of its roughly A\$440,000 contract, though the exact refund amount was not publicly disclosed; the department later republished the report to address the corrections. A large, capable firm, a government client, real money returned — because AI-generated content went out the door without being verified against source.

The second is a courtroom. In *Dayal* [2024] FedCFamC2F 1166, a family-law matter in the Federal Circuit and Family Court of Australia, a lawyer filed submissions citing cases that did not exist. The citations had been produced by an AI tool and lodged without anyone confirming the authorities

were real. The court was not amused, and the incident was referred onward. The lesson transfers directly: an AI will hand you a case name and a citation that look exactly like the real thing — and the only way to know is to look it up.

NOTE

The verify rule, stated once: an AI's answer is a lead, not an authority. Every figure gets checked against the source that owns it. Every section number gets confirmed in the legislation. Every case gets looked up before it's relied on. If the assistant can't point you to a source you can open and read, treat the claim as unconfirmed — because it might be invented.

This is why every prompt in this chapter ends with the same kind of instruction: produce factual information only, give me the source, don't recommend a course of action. You're not just steering the assistant away from advice — you're forcing it to hand you the thing you'll verify against.

Four scenarios, done right

The rules are easier to feel through examples. These four are assumed-fact illustrations of how a trustee uses — or misuses — an AI co-pilot. They're not advice about your situation, and none of these people is you. Each ends with what the example illustrates.

Scenario 1 — "Should I put my house in my SMSF?"

Vikram, 45, asks his chatbot whether he should transfer the family home he owns into his SMSF.

A careless assistant might oblige with a strategy. There are two separate problems here, and a trustee needs to see both.

The first is the advice-boundary problem from earlier. "Should I?" turns on Vikram's circumstances, so any answer is personal financial product advice that needs a licence. An AI can't give it. The second problem is a hard rule of super law, and it's the one that makes this example sharp. An SMSF generally *cannot acquire an asset, other than money, from a related party* of the fund — that prohibition is in SIS Act section 66, and a member is a related party. The exceptions are narrow, chiefly listed securities and *business* real property acquired at market value. A family home is residential property the member already owns. It isn't business real property, so the s66 prohibition bites: the fund can't buy it from him at all. The "should I" question never even gets to a strategy, because the underlying transaction is barred.

A safe assistant does two things with Vikram's question. It declines to recommend, and it surfaces the factual rule he needs to check — then points him to a licensed adviser and the legislation.

You are helping me understand super rules. Do not give me personal financial advice or tell me what I should do.

Factually: can an SMSF acquire residential property that a member already owns personally? Explain the related-party acquisition rule (point me to the SIS Act section) and list the narrow exceptions, so I can verify it against the ATO's website and the legislation. Do not recommend a course of action – that's for a licensed adviser.

What this illustrates: a single question can trip two wires at once — the advice boundary (only a licensed adviser can answer "should I") and a substantive prohibition (s66 may bar the transaction entirely). A good prompt makes the assistant give you the verifiable rule and the section to check, not a verdict. The trustees make the decision; financial product advice belongs with a licensed adviser, and legal sign-off belongs with a lawyer.

Scenario 2 — Drafting a trustee minute (a use that works)

Lena and Marco, individual trustees of their two-member fund, have decided to open a term deposit with \$40,000 of fund cash. The decision is theirs and already made. What they need is a clean record of it — a trustee minute — and that's drafting from their own facts, squarely on the safe side of the line.

They give the assistant the facts of the decision, with identifiers redacted, and ask for a draft they'll read and sign themselves.

Draft a trustee resolution minute from these facts. Factual drafting only – do not give investment or financial advice.

- Fund: "the Fund" (don't ask for the real name or ABN)
- Trustees present: Trustee A and Trustee B
- Date of meeting: [I'll fill in]
- Decision: invest \$40,000 of fund cash in a 12-month term deposit with an Australian bank, consistent with the fund's written investment strategy
- Note that the decision was made by the trustees

Give me a plain, dated minute with a signature block. I will review it, confirm it matches our strategy, and sign it. Flag anything a trustee should double-check before signing.

What this illustrates: the assistant drafts; the trustees decide and sign. The decision existed before the AI was involved — the AI only turned it into a record. Signing the minute is a non-delegable trustee act, and Lena and Marco own it. They still read the draft against their actual investment strategy before signing, because the assistant doesn't know their strategy unless they've shown it the redacted version.

Scenario 3 — The privacy slip

Sophie, setting up her fund, wants help drafting a letter to the ATO. She pastes in a scanned page that happens to include her tax file number and a full bank statement. The letter she gets back is fine. The problem is what she just did with her data.

By pasting that page into a consumer chatbot, Sophie made a cross-border disclosure of her TFN and banking details to servers overseas (APP 8), and under section 16C she remains accountable for them. None of it was necessary — the assistant didn't need her TFN to draft a letter. The fix she should have used costs nothing: redact first.

```
Help me draft a short, polite letter to the ATO about my new
SMSF's registration. Factual drafting only.
```

```
Use these placeholders – I will fill in the real details on my
own computer after I've reviewed your draft:
```

- Fund name: [FUND NAME]
- ABN: [ABN]
- Tax file number: [TFN – do not ask me for this]
- Member: Member A

```
Do not request any tax file number, ID document, or bank
details. Produce the draft with the placeholders in place.
```

What this illustrates: the danger isn't always the question — sometimes it's the attachment.

Redacting before you paste keeps the identifiers off any third-party server while still letting the assistant do the drafting. The real values go back in on your own machine, after you've checked the draft.

Scenario 4 — The verify-against-source win

Leo asks his assistant for the current concessional contributions cap. It confidently replies "\$27,500." Leo doesn't take it at face value. He follows his own verify rule and opens the ATO's contributions-caps page — where the concessional cap for the 2025–26 year is \$30,000 (it was \$27,500 in an earlier year, which is likely where the assistant's answer came from). He corrects the figure before it ends up in anything that matters.

This is the habit working exactly as intended. The assistant gave a plausible, recently-true, now-wrong number — the most dangerous kind of error, because it doesn't look like an error. Leo caught it because his prompt asked for a source and he actually checked it.

```
What is the concessional contributions cap for the current
financial year? Give me the figure, the financial year it
applies to, and a link to the ATO page that states it, so I
```

can confirm it myself. Factual information only – if you're not certain it's current, say so and tell me where to check.

What this illustrates: caps and thresholds move, often each year, and an AI's training has a cutoff. The figure that was right last year reads identically to the figure that's right this year. Asking for the source — and opening it — is what turns a confident guess into a confirmed fact. As at June 2026 the concessional cap is \$30,000 for 2025–26 and \$32,500 for 2026–27, but the only number you should ever rely on is the one you've just read on the ATO's own page.

TIP

The platform companion to this book removes the failure Leo just caught: in the lab, caps and thresholds are read from a dated constants registry by a deterministic tool (`calculate_caps_ledger`), and the answer carries an engine envelope — source, as-at date, and a `noOverride` flag — rather than a model's memory. Try it: `/practice?situation=hub:topics:contributions`. The lab's learn chapters `/learn/advice-boundary-afsl` and `/learn/compliance-spine` teach the same boundary and the engine model behind it.

The rules of engagement, in one place

Put the four scenarios together and the operating rules for the rest of the book come into focus. Use your AI co-pilot for research, organising, drafting from your own facts, decoding regulator pages, and preparing questions — all of it factual and administrative. Keep it away from three things entirely: recommending a course of action, holding any decision you're accountable for, and touching personal identifiers like tax file numbers. And verify everything — every figure against its source, every section against the legislation, every case before you rely on it.

That's the discipline behind every prompt you'll see from here on. The assistant carries the reading and the typing. You carry the decisions, and a licensed professional carries any advice. The lines between those roles are exactly the lines this chapter has drawn — and they don't move just because the tool is fast and the answer sounds sure.

TIP

Next: with the co-pilot's rules of engagement set, Chapter 4 goes back to the fund itself — who actually runs it. We'll compare individual and corporate trustees, work out who can and can't be a trustee or director, and return to the sole-purpose test as the rule that governs every decision the trustees make.

04 Trustees, Structures & the Sole-Purpose Test

Who runs the fund, and the rule they all answer to

Every SMSF has to be run by someone, and the law is fussy about who that someone can be. This chapter sets out the two trustee structures and what each costs you, who the law lets sit in the chair, and the one rule that sits above every structure decision — the sole-purpose test. None of this is advice about which structure suits you. Choosing a structure for your situation is a personal call that belongs with a licensed professional. What I can do is lay the facts side by side.

Individual versus corporate trustee

Chapter 2 introduced the member-as-trustee rule (SIS Act s17A): every member is a trustee, and every trustee a member, subject to limited exceptions (minors, deceased or incapacitated members, and legal-personal-representative situations). That rule leaves you two ways to build the trustee.

The first is **individual trustees**. The members act as trustees in their own names. The catch is a minimum of two. Even a one-person fund needs two individual trustees — so a sole member running this way has to recruit a second person, who is a full trustee with full duties, not a name on a form. The assets of the fund are held in the names of all the individual trustees, jointly.

The second is a **corporate trustee**. A company is set up to act as trustee, and the members become its directors. A single-member fund is allowed here: the member can be the company's sole director. The fund's assets are held in the company's name, and the company is a separate legal person that keeps existing no matter who its directors are.

That difference — a separate legal person versus a group of individuals — is where most of the practical trade-offs come from. When a member joins or leaves an individually-trusted fund, the trustees change, and asset titles often need to be updated or re-registered when individual trustees change, depending on the asset class and jurisdiction. With a corporate trustee, the membership changes underneath the company, but the asset titles don't move, because the company that owns them hasn't changed. Set against that, a company costs money to register and a small amount to keep alive each year.

Here are the two structures with the figures attached, current as at June 2026.

Table 4.1 Individual trustees versus a corporate trustee — a factual comparison (as at June 2026)

	Individual trustees	Corporate trustee
Minimum number	Two individuals (a sole-member fund still needs a second)	One — a single director is allowed for a single-member fund
Maximum members	Up to six members (subject to the state-law trustee cap below)	Up to six members
Who holds the assets	All individual trustees jointly, in their personal names	The company, as a separate legal person
When a member joins or leaves	Asset titles often need to be updated or re-registered when individual trustees change, depending on the asset class and jurisdiction	Titles stay in the company's name — only the directors change
Set-up cost	~\$500–1,000 (deed and establishment, no company)	~\$1,200–2,000 (deed plus a special-purpose company — ASIC registration \$611 as at June 2026)
Ongoing cost	No company fee	ASIC annual review ~\$67 for a special-purpose company (as at June 2026)
Penalties for a breach	Administrative penalties apply to each individual trustee — so the same breach can be charged per person	One penalty against the company as a single trustee

Read that table as a list of factors, not a scoreboard. The company adds an upfront cost (the \$611 ASIC registration sits inside the higher set-up figure) and a small recurring one (about \$67 a year for a special-purpose company). ASIC fees index each 1 July: as at June 2026, company registration is \$611 and the special-purpose company annual review fee is about \$67 — verify the current ASIC schedule for the year you're in. The practical differences are asset-title continuity when membership changes, and the ability for a single-member fund to have one director rather than two individuals. Which of those factors weighs most depends entirely on your circumstances — your membership, your assets, whether the make-up of the fund is likely to change — and that weighing is the part a licensed adviser or a lawyer does with you, not a book.

NOTE

The advice line, stated up front: this comparison is factual information. The moment a recommendation takes account of your objectives, financial situation, or needs, it becomes personal financial product advice and legally needs an Australian Financial Services licence (Corporations Act s766B(3) — the general-advice warning sits in s949A). The structure of the trust itself is a legal document question — lawyer territory. So: read the factors here, then take the choice to an AFS licensee or a lawyer. Check a financial adviser on the ASIC Financial Advisers Register before you rely on them.

Who can — and can't — be a trustee or director

Picking a structure is only half of it. The law also decides who is allowed to sit in the chair.

The baseline is simple. A trustee or director must be **18 or over**. Anyone under 18 can be a member, but a parent, guardian, or legal personal representative acts as trustee in their place. And a trustee **can't be paid** for performing trustee duties — the role is unpaid, by law. Being paid by the fund for a genuine non-trustee service is a narrow exception under SIS Act s17B, and it only holds if four conditions are all met: (1) the work is done in a capacity other than as trustee or director, (2) the person holds the qualifications or licences the work requires, (3) the work is performed in the ordinary course of a business of providing similar services to the public, and (4) the fee is no more favourable than arm's length. Get professional confirmation before relying on it.

The harder rule is the **disqualified-persons** rule in SIS Act s120. A person — or a company — is disqualified, and cannot act as a trustee or as a director of a corporate trustee, in the categories set out below. This is the core of the rule, not every fine detail.

Table 4.2 Disqualified-person categories (SIS Act s120)

Category	Statutory reference
Ever convicted of an offence involving dishonesty (such as fraud or theft)	s120(1)(a)
A civil penalty order made against the person under the SIS Act	s120(1)(b)
An undischarged bankrupt , or otherwise insolvent under administration	s120(1)(d)
Disqualified by the ATO or a court from acting as a trustee	s120(2)/(4) (Regulator or court disqualification)
A body corporate in the hands of an administrator, receiver, or liquidator (or being wound up)	s120(2)
A body corporate that knows, or has reasonable grounds to suspect, that one of its responsible officers is a disqualified person	s120(2)

Two points beginners miss. First, the dishonesty-conviction limb has no expiry on its face — a conviction from long ago can still disqualify, though a person can apply for a waiver in limited circumstances. Second, the responsible-officer row is how a disqualified individual taints a corporate trustee: under s120(2), a body corporate becomes disqualified if it knows, or has reasonable grounds to suspect, that one of its responsible officers is a disqualified person.

This is not a paperwork rule with a paperwork consequence. Acting as a trustee — or as a director of a corporate trustee — while disqualified is a **criminal offence** under SIS Act s126K, carrying penalties that can include imprisonment. The honest takeaway is to treat eligibility as a gate

everyone walks through before appointment, not an afterthought.

WARNING

The trap: a member becomes bankrupt while the fund is running, and the household assumes nothing changes because "it's our own super." An undischarged bankrupt is a disqualified person under s120 and must stop acting as a trustee or director immediately — continuing to act is the s126K offence.

There is a sequence to follow (notify the ATO, restructure the fund or exit the member within the permitted time), and it's a moment to get professional help rather than improvise.

The sole-purpose test, again — because it governs everything

Chapter 2 introduced the sole-purpose test and warned it would keep coming back. Here is why it belongs in a chapter about structure: no choice of trustee, and no decision the trustee then makes, is allowed to step outside it.

The **sole-purpose test** lives in SIS Act s62. It says the fund must be maintained *solely* for one or more permitted purposes — and the section sorts those into two groups. The **core purposes** (s62(1)(a)) are about providing benefits on or after a member's retirement, on or after the member reaches the prescribed age, or — if the member dies *before* retirement or the prescribed age — death benefits to the member's legal personal representative or dependants. A fund must be maintained for at least one core purpose. The **ancillary purposes** (s62(1)(b)) are a defined set of additional benefits the law permits — broadly, benefits on a member ceasing employment, benefits on ceasing employment due to ill-health, death benefits where the member dies *after* retirement or the prescribed age, and other benefits the regulator approves. A fund may be maintained for ancillary purposes as well, but only alongside a core purpose — never instead of one.

The plain-English version: the fund exists to provide retirement and death benefits, and that's it. Any present-day benefit to a member or a related party — using a fund asset, getting cheap access to one, drawing some personal advantage now — is the classic way a fund fails the test, whatever the structure on top.

The reason to take it as seriously here as anywhere is the consequence, which I set out in Chapter 2 and will keep repeating because it's that large. A fund made **non-complying** can have its assessable income include the market value of its entire assets, taxed at 45 per cent (ITAA 1997 s295-320 and s295-325) — close to half the fund, in the worst case. The test doesn't care whether you used individual trustees or a company. It sits above both.

The trustee declaration, the 21-day rule, and director ID

Once the structure is chosen and the people pass the eligibility gate, two formalities attach to every new trustee or director. Both are easy to do and costly to forget.

The first is the **trustee declaration**. Within **21 days** of becoming a trustee — or a director of a corporate trustee — each person must sign the ATO's declaration (form **NAT 71089**) stating they understand their duties and responsibilities. The requirement is in SIS Act s104A. The signed declaration is a fund record you must keep for **at least 10 years, or for as long as you remain a trustee or director — whichever is longer**, and make available to the ATO on request. It isn't lodged with anyone — it's kept. An auditor who can't see a signed declaration for a trustee has found a contravention.

The second applies to corporate trustees only: the **director identification number**, or director ID. Anyone who is going to be a director of the trustee company must have a director ID *before* they are appointed. It's a one-time, lifelong identifier the person applies for themselves through the Australian Business Registry Services. There is no director ID for individual trustees, because there's no company — which is one more line in the practical difference between the two structures.

TIP

A safe AI use: ask your co-pilot to build a "new trustee onboarding" checklist from the ATO and ABRS pages — eligibility check against s120, director ID before appointment (corporate trustee), sign NAT 71089 within 21 days, file it in the 10-year records — with a link beside each step so you can verify it. Try: *"From the ATO and ABRS pages, list the steps to appoint a new SMSF trustee in order, with the source link for each. Factual checklist only — don't tell me which trustee structure to use."* It organises public information. You confirm each step against the source, and a professional owns any structure decision.

The myth about corporate trustees — and the rule that's actually real

A claim does the rounds that in New South Wales or Queensland a single-member fund must use a corporate trustee. It's wrong, and it's worth killing cleanly, because people pay for a company on the strength of it.

There is no state rule that forces a single-member fund into a corporate trustee. A single-member fund can run with two individual trustees anywhere in Australia — s17A(2) expressly allows it, and NSW and QLD do not force a corporate trustee for single-member funds. What does exist — and what the myth is a garbled version of — is a cap on the *number of* individual trustees, and that cap

is jurisdiction-specific. Some states limit a trust to a maximum of **four** trustees, others impose no general cap at all. Queensland expressly excludes SMSFs from its four-trustee rule under section 14 of the Trusts Act 2025 (Qld), which commenced on 28 April 2026. So the cap that bites depends on the state, and on whether SMSFs are carved out of it.

Where a cap does apply, it bites at the upper end: a family fund with five or six members, run with individual trustees, would need five or six individual trustees — which a four-trustee cap can't accommodate. A corporate trustee is treated as one trustee, so the individual-trustee cap issue may not arise in the same way, because the company is a single trustee no matter how many directors (up to the six-member SMSF limit) sit behind it. Whether that structure is appropriate is a legal and advice question.

WARNING

The practical warning: the individual-trustee cap is jurisdiction-specific — some states limit trusts to four trustees, others impose no general cap, and Queensland expressly excludes SMSFs from its four-trustee rule under section 14 of the Trusts Act 2025 (Qld), which commenced on 28 April 2026. If the fund may reach five or six members, have the deed, the asset titles, and the applicable state law reviewed by a solicitor before assuming individual trustees will work. A single-member fund, on the other hand, can use two individual trustees under s17A(2) — NSW and QLD do not require a corporate trustee for it.

The trust deed is a legal document

One thing underpins everything above and deserves its own flag: the **trust deed**. The deed is the legal document that creates the fund, names its trustee, and sets the rules the trustee operates under — who can be a member, how benefits are paid, how the deed itself can be amended. Super law sits on top of the deed, but the deed is where the fund's own rules live.

Drafting a deed, or amending one — to change the trustee structure, to switch from individual trustees to a company, to update for a change in the law — is legal work. A defective or out-of-date deed can quietly undermine valid decisions — a binding death benefit nomination that doesn't meet the deed's own formalities can fail, as Chapter 10 shows. This is not a document to assemble from a free template and hope. It's a lawyer's job, and the cost of getting it drafted properly is small against the cost of a deed that doesn't do what you thought it did.

Four illustrations — and the boundary

As in the earlier chapters, these four are assumed-fact illustrations of how the rules interact. They are not advice about you, none of these people is you, and each ends with what the example *shows* — the factors a licensed professional would weigh — rather than a verdict.

Nadia, 41, a sole member with \$310,000. She's running a one-person fund and is weighing whether to set up a corporate trustee, with herself as sole director, or to recruit a second individual trustee — her brother — to satisfy the two-individual minimum. The company route costs more upfront (the \$611 ASIC registration sits inside roughly \$1,200–2,000 of set-up, plus ~\$67 a year) but needs no second person, while the individual route is cheaper but means her brother becomes a full trustee with full duties over her retirement savings. *What this illustrates:* the factors a licensed adviser or lawyer would weigh together — set-up and ongoing cost, whether a willing and eligible second individual exists, how the make-up of the fund might change over time, the single-director continuity a company gives, and the asset-title consequences below. It is not a verdict on which Nadia should pick.

Mark and Jenny, 55 and 53, \$640,000 combined. They set up with individual trustees and bought an investment property in both their names as trustees. Two years on, they want to bring Jenny's mother into the fund as a third member. Adding a trustee changes the line-up of names, so the property's title may need to be updated or re-registered into the new set of trustee names — and re-registering title on real property means state revenue paperwork and possible duty, depending on the state or territory and the transaction facts, plus lender consent if there's a loan. *What this illustrates:* the asset-title friction that a membership change creates under individual trustees, and why the title continuity of a corporate trustee is one of the factors a lawyer would raise at set-up — assessed against the up-front company cost, not as a rule that one structure is "better."

The Nguyen family fund — five members. Two parents and three adult children want a single fund. Five members is within the SMSF limit of six. But run with individual trustees, the fund would need five individual trustees — and in a state whose Trustee Act caps trustees at four (some do, some don't, and Queensland carves SMSFs out of its cap under section 14 of the Trusts Act 2025 (Qld), which commenced on 28 April 2026), five individual trustees may not be permitted. *What this illustrates:* where a jurisdiction-specific trustee cap bites — at five or six members on individual trustees. A corporate trustee is treated as one trustee with up to six directors behind it, so the cap issue may not arise in the same way, but whether that structure is appropriate — and whether a cap applies in the relevant state at all — is a legal question for a lawyer or adviser, not a postcode rule.

The beachside apartment. A fund with a corporate trustee buys an apartment near the coast. The family treats it as "the fund's investment property" but uses it for a few weekends a year when it's vacant. *What this illustrates:* the sole-purpose test (s62) overrides the structure entirely. The company trustee doesn't help — any present-day personal use of a fund asset is the breach, regardless of how the fund is structured, and the consequence of being made non-complying (up to 45 per cent on the fund's assets) dwarfs any weekend saved. The structure decides who signs. The sole-purpose test decides what they're allowed to sign for.

Across the four, the same factors recur — cost, continuity, who's eligible and willing, how the fund might change, and the sole-purpose test sitting above all of it. The weight each factor carries differs for every fund, which is exactly why the structure call belongs with an AFS licensee or a lawyer, and the deed itself belongs with a lawyer. The facts in this chapter are the ones to put in front of them.

TIP

Run it in the lab: the first two stages of the setup pipeline `/practice?situation=workflow:smsf-setup-pipeline` — forming the corporate trustee, then reviewing the deed — are this chapter executed, and the learn chapter `/learn/trustee-deed-and-duties` covers the same duties and eligibility gate.

TIP

Next: you've met the structures, the eligibility gate, and the rule above them all. Chapter 5 turns that into a sequence — the establishment checklist, in the exact order the steps have to happen, from the lawyer-drafted deed through to appointing your auditor.

05 The Establishment Checklist

The setup sequence, in the order it must happen

Setting up an SMSF is a sequence, not a shopping list. The steps depend on each other — you can't get the fund's tax file number before the fund legally exists, and you can't receive a rollover before the bank account and the electronic service address are both open. This chapter follows the ATO's setup pathway and highlights the points where one step depends on another before the next can proceed. It's the mechanical "how," not advice on whether to start at all — that question still belongs to a licensed adviser.

Why the order matters

Most setup mistakes I see aren't people doing the wrong things. They're people doing the right things in the wrong order — and then discovering a step won't complete because the step before it never happened.

The dependencies are real: some applications cannot be completed, and some money cannot move, until the preceding setup step is on record. The fund doesn't legally exist until a trust deed is signed and the trust holds some property. You can't apply for the Australian business number and tax file number until there's a fund to register. The bank account has to be in the fund's name, which means the fund has to exist and have its registration details first. And money can't flow in — no contributions, no rollovers — until the bank account is open and, for rollovers, an electronic service address is in place.

The ATO sets out the establishment steps in a specific order. Here is that sequence, with the dependency each step creates:

Table 5.1 The ATO establishment sequence, and what each step unlocks

#	Step	Why it has to come when it does
1	Choose the trustee structure	Determines who you appoint and what the deed says
2	Appoint trustees or directors	Director ID must come first, and the trustee declaration follows within 21 days
3	Check the fund is an Australian super fund	Residency conditions must be met for the fund to be complying

4	Create the trust deed	A legal document — the fund's rulebook that all trustees sign and date
5	Legally establish the fund by holding assets	A trust needs property — a nominal settlement sum does it
6	Register the fund (ABN/TFN, elect to be regulated)	Can't happen until the fund legally exists, and the election has a 60-day clock
7	Open the fund's bank account	Needs the fund's registration details — money has nowhere to land without it
8	Get an electronic service address (ESA)	Required to receive rollovers and employer contributions via SuperStream
9	Create the investment strategy	A trustee duty before the fund starts investing
10	Prepare an exit plan	Decide in advance how the fund will eventually wind up

Read it as a chain. Steps 4 and 5 together bring the fund into legal existence — and that moment starts the clock for step 6. Steps 7 and 8 are the plumbing that lets money in. Get them in this order and each step has what it needs. Jump ahead and you'll hit a wall.

Steps 1 to 3 — structure, people, and residency

Step 1 — choose the trustee structure. Chapter 4 covered the two options in full: individual trustees (at least two people) or a corporate trustee (a company, with the members as its directors — a single-member fund can use one director). This choice comes first because it decides who you appoint next and shapes what the trust deed has to say. I can't tell you which structure suits you — that's a question for a licensed adviser or your accountant — but the sequence requires you to settle it before anything else moves.

Step 2 — appoint the trustees or directors. Here the order tightens. If you're using a corporate trustee, every director needs a **director identification number** before they're appointed — that's a hard prerequisite, not a formality you can backfill. Then, within **21 days** of becoming a trustee or director, each person must sign the ATO's **Trustee Declaration** (form NAT 71089), confirming they understand their duties. It's a requirement under SIS Act s104A, and the signed declaration is a record the fund keeps for ten years.

Step 3 — check the fund is an Australian super fund. To stay complying and keep its tax concessions, the fund must meet the residency conditions for an "Australian superannuation fund" throughout the year — broadly, that it's established in Australia (or holds an Australian asset), that its central management and control is ordinarily in Australia, and that the active-member test is satisfied. The residency rules can turn on where trustees live and intend to live, which is exactly

the kind of question to put to a registered tax agent before anyone moves overseas. For most resident trustees setting up at home, this is a check, not an obstacle — but it's a check the ATO expects you to have made.

NOTE

Definition — director identification number: a unique 15-digit identifier every company director must hold. For an SMSF with a corporate trustee, each director applies once, free, through ABRs online using a Digital ID such as myID, and keeps the number for life. The rule is that the director ID must be in place before the director is appointed.

Steps 4 and 5 — the deed, and bringing the fund to life

Step 4 — create the trust deed. The trust deed is the fund's rulebook. It sets out who the trustees are, who the members are, how the fund operates, what it can invest in, and how benefits are paid — and it works alongside the SIS Act, which overrides anything in a deed that conflicts with the law.

The deed is a **legal document**, and it should be prepared by someone competent to draft it — in practice, a lawyer or a specialist SMSF document provider working under legal supervision. A deed that's missing powers, or that conflicts with the law, can cause real problems later: think of binding death benefit nominations, which Chapter 10 shows are governed by the deed's own rules in an SMSF, not by a generic super regulation. Once it's drafted, **all trustees sign and date it**. Whether the signatures need to be witnessed, and how, is governed by the law of your state or territory — so follow the execution instructions your legal provider gives you for where you are.

Step 5 — legally establish the fund by holding assets. A trust isn't a trust until it holds property. So the fund is legally established when an initial asset — a nominal **settlement sum**, often a token amount like \$10 — is contributed and allocated to a member. That settlement, on top of a signed deed, is the moment the fund comes into existence as a legal entity. It matters because the next step has a deadline that counts from this moment.

NOTE

Advice boundary — the deed is lawyer work. Drafting and executing the trust deed sits squarely in legal territory. A generic template that is not legally reviewed can create problems if it is missing powers, conflicts with current legislation, or is not correctly executed. The mechanical steps around it — applying for an ABN, opening a bank account — are administration you can do yourself. The deed is not. If you're using a document provider, confirm a lawyer stands behind the document, and have a lawyer review anything you're unsure of. You can check a solicitor's current practising status with your state or territory law society.

Step 6 — registering the fund, and the 60-day clock

Once the deed is signed and the fund holds its settlement sum, it legally exists — and you can register it. Registration does three things at once: it applies for the fund's **Australian business number (ABN)** and **tax file number (TFN)**, and it makes the **election to be a regulated fund** under SIS Act s19. That election is what brings the fund under the ATO's supervision and unlocks the concessional 15 per cent tax rate. Without it, the fund isn't a complying super fund and is taxed far more harshly.

The election carries a deadline that catches people out. You must elect to be a regulated fund **within 60 days** of the fund being legally established. The clock starts at step 5 — the moment the deed is signed and the settlement sum is in. Miss the window and you can't simply re-elect on your own timetable — the consequences flow to the fund's complying status, which is the whole point of the exercise.

Worked example — the 60-day clock (assumed facts). Grace, 44, signs her fund's trust deed on 3 April and her co-trustee transfers a \$10 settlement sum into a holding account the same day, allocated to Grace as the first member. That date — 3 April — is when the fund is legally established. The 60-day election window runs from there, closing around 2 June. Grace's accountant lodges the registration (ABN, TFN, and the s19 election to be regulated) on 12 May, well inside the window. *What this illustrates:* the deed plus the settlement sum is the event that starts the 60-day registration clock — not the day Grace first thought about setting up, and not the day the bank account opens. The factors that determine whether the timing is met are the establishment date and the lodgement date, and a registered tax agent is the person who owns getting that lodgement in on time.

Steps 7 and 8 — the plumbing that lets money in

Step 7 — open the fund's bank account. The fund needs its own bank account, in the fund's name, to receive contributions and rollovers, pay expenses, and hold cash. In practice, most trustees open it after registration because the bank is likely to ask for fund and trustee details. The account must be in place before contributions or rollovers are directed to the fund. This is where the separation-of-assets covenant from Chapter 2 becomes concrete: the fund's money never mixes with a member's personal or business money, not even briefly.

WARNING

The trap that teaches the rule — commingling. A contribution paid into a member's personal account, or a fund expense paid from a personal card "to sort out later," breaches the duty to keep the fund's assets separate. It's a common audit finding and an entirely avoidable one. The compliance requirement is that fund money moves through the fund's own account, with records showing fund assets stay separate from personal or business assets.

Worked example — the commingling slip (assumed facts). Carlo, 51, sets up his fund and tells his employer to start paying super. By habit, he quotes his personal everyday account instead of the new fund account, which isn't open yet. Two pay cycles of employer contributions land in his personal account before anyone notices, mixed with his salary. *What this illustrates:* contributions are fund property the moment they're made and have to land in the fund's own account — so the account has to exist, and be correctly quoted, before money is directed to it. Untangling and documenting the correction is the kind of mess a registered tax agent or SMSF administrator helps clean up.

Step 8 — get an electronic service address. An **electronic service address (ESA)** is how the fund receives data messages under **SuperStream**, the system that moves super money and the matching information electronically. Employer contributions and rollovers both travel this way. The ESA isn't an email address. It's an alias that routes those messages to a registered gateway.

Here's the catch: **not every ESA provider supports rollovers.** Some handle only employer contribution messages. To roll an existing balance into the fund, you need an ESA whose service explicitly handles rollover messages. The factual check is whether the ESA service supports the message type the fund requires — the ATO publishes a register of SMSF messaging providers showing each one's capabilities, but recommends none.

Worked example — the ESA-without-rollovers mistake (assumed facts). Mei, 39, sets up her fund to consolidate \$180,000 in her old APRA fund. She registers an ESA bundled free with her accounting software and tries to start the rollover. It fails — that free ESA only handles employer contribution messages. She has to register a different ESA that supports rollover messaging before the transfer can proceed. *What this illustrates:* "having an ESA" and "having an ESA that can receive a rollover" are two different things. The rollover service has to be in place before the transfer is initiated. The ATO's register shows which providers support which services — checking it against the fund's actual needs is the step that prevents the false start.

NOTE

How rollovers actually work: a rollover into an SMSF is *member-initiated* — you request it through ATO online services via myGov, or directly with the transferring fund. It's processed electronically through SuperStream, not on paper. The transferring fund validates the SMSF's ABN, bank account, and ESA before releasing money, which is why steps 6, 7, and 8 all have to be done first. Once that fund has a complete request and the verified SMSF details, the SuperStream rules generally require it to complete the rollover within **three business days** — that obligation sits with the transferring fund, not a guarantee the SMSF sees cash three days after the member first clicks.

A correctly sequenced setup, end to end

To see the dependencies working *for* you rather than against you, here's one fund built in the right order.

Worked example — a single-member corporate-trustee setup, in sequence (assumed facts).

Aaron, 36, sets up a one-member fund with a corporate trustee, himself as sole director. He works the sequence in order:

1. **Structure:** he settles on a corporate trustee (sole director allowed, cleaner asset titling) after discussing the choice with his accountant.
2. **People + director ID:** he applies for his director ID first, then registers the trustee company and is appointed its sole director. Within 21 days he signs the NAT 71089 trustee declaration and files it.
3. **Residency:** he confirms he's an Australian resident running the fund from home — the Australian-super-fund conditions are met.
4. **Deed:** a lawyer-backed provider drafts the deed, and Aaron signs and dates it, following the execution and witnessing instructions for his state.
5. **Establish:** a \$10 settlement sum is contributed and allocated to Aaron — the fund now legally exists. The 60-day clock starts.
6. **Register:** his accountant applies for the ABN and TFN and lodges the s19 election to be regulated, 18 days after establishment — inside the 60-day window.
7. **Bank account:** with the ABN and registration through, Aaron opens the fund's bank account in the fund's name.
8. **ESA:** he checks the ATO's register and picks an ESA whose service supports rollovers, because he plans to roll in an old balance.
9. **Strategy:** he prepares the written investment strategy (Chapter 6) before investing a cent.
10. **Exit plan:** he documents, up front, how the fund would wind up if his circumstances changed.

Only after all ten steps does Aaron initiate his rollover — member-initiated, through SuperStream. Once his old fund has the complete request and his verified SMSF details, the SuperStream rules generally require that transferring fund to complete the rollover within three business days — the obligation sits with the transferring fund, not with Aaron's SMSF. *What this illustrates:* each step had what it needed because the one before it was done. The deed and settlement made the fund exist, which let registration happen, which let the bank account open, which (with a rollover-capable ESA) let money in. The mechanical steps are administration Aaron can run himself. The deed was legal work, and whether an SMSF suited him at all was the question he took to a licensed adviser first.

Steps 9 and 10 — strategy and exit, before you invest

Step 9 — create the investment strategy. Before the fund invests, it needs a written investment strategy. This is a trustee duty under the covenants (SIS Act s52B) and SIS Reg 4.09 — not a template to download and forget. Chapter 6 builds one with you and works through the six things the law requires you to address. The point for the sequence is simply that the strategy comes before the investing, not after a portfolio already exists.

Step 10 — prepare an exit plan. The ATO asks trustees to think, at setup, about how the fund will eventually end — whether through a member leaving, death, incapacity, or a decision to wind up. An exit plan isn't a sign you expect to fail. It's a record of how the fund's assets would be dealt with and benefits paid out when the time comes. Deciding it calmly at the start beats improvising it under pressure later.

Where AI helps — and where it can't

This is a sequence-and-admin chapter, which is exactly the kind of work an AI co-pilot is good at supporting. It can turn the ATO's setup pages into a personalised checklist with links to verify, draft a plain-English summary of what each step does, and help you build a question list for your accountant or lawyer. What it can't do is make the legal document, choose the structure for you, or tell you whether to set up at all. Keep the prompts bounded to factual research and drafting, and verify every output against the ATO's own pages.

A safe prompt for building the checklist:

From the ATO's "Setting up an SMSF" pages, build a sequenced checklist in the ATO's own order. For each step, add a one-line description, the official ATO link, and any deadline (e.g. the 21-day declaration, the 60-day election to be regulated). Factual information only. Do not recommend a structure, deed

provider, ESA, or bank, or tell me whether to set up an SMSF.
Flag anything uncertain for me to confirm with the ATO.

And a second, narrower one for the part that trips people up — matching an ESA to what the fund actually needs:

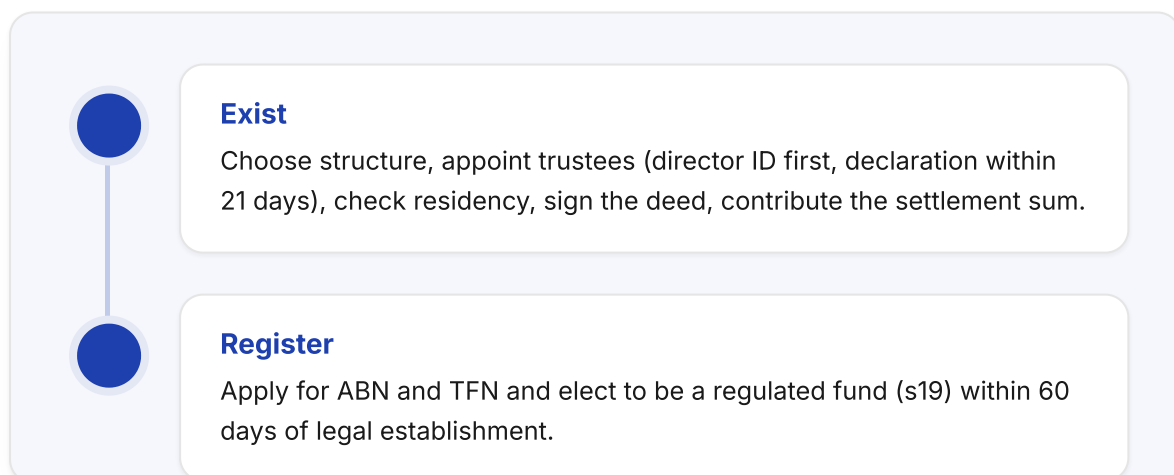
Explain, factually, the difference between an ESA that only handles employer contribution messages and one that supports rollover messages under SuperStream. Tell me where the ATO publishes its register of SMSF messaging providers and what to check on it. Do not recommend a provider – the ATO endorses none. Facts and verification steps only.

TIP

The habit that keeps this safe: an AI draft of a setup checklist is a starting point you check against the source, never the final word. Every ATO link and deadline should be verified against the ATO source, especially the 21-day trustee declaration and the 60-day s19 election. The AI organises public information, and you and your professionals make the decisions and carry the responsibility.

The sequence, in one picture

Strip it back and the establishment of a fund is three connected movements: bring the fund into legal existence, register it, then build the plumbing that lets it operate.



**Operate**

Open the fund's bank account, get a rollover-capable ESA, write the investment strategy, and prepare an exit plan — then money can flow in.

The order isn't bureaucracy for its own sake. It's the dependency chain made visible: the fund has to exist before it can be registered. Registration then gives the fund the details it needs for the steps that follow — opening the fund bank account, setting up a rollover-capable ESA, and accepting contributions or rollovers only once the receiving details are verified and in place.

TIP

Run this sequence in the lab: `/practice?situation=workflow:smsf-setup-pipeline` — an ordered specialist pipeline that walks the same steps, passing a typed envelope stage to stage and halting on any RED. The learn chapter `/learn/setting-up-a-fund` covers the same sequence.

TIP

Next: step 9 was the one I waved at — "write the investment strategy" — because it's a chapter in itself. Chapter 6 builds your first investment strategy: the six things the law requires you to address, why "consider" doesn't mean "must diversify," and how an AI co-pilot drafts the structure while every choice stays yours.

06 Your First Investment Strategy

What the law requires — the choices stay yours

The law makes you formulate, regularly review, and give effect to an investment strategy before you invest. That requirement is real, and an auditor checks it every year. But the law tells you only what to *address* — never what to buy. This chapter walks through the five factors a strategy must cover, a requirement first-time trustees can easily miss, and how to draft one that survives an audit. The investment choices in it stay yours, because choosing them for you would be advice I'm not allowed to give.

The covenant and the factors to address

One of the trustee covenants in Chapter 2 is the obligation to have an investment strategy. In full it's a duty to **formulate, regularly review, and give effect to** an investment strategy — three verbs, all of them active. The covenant lives in SIS Act s52B(2)(f) for individual SMSF trustees, with an equivalent director covenant in s52C. In plain English: this is the rule that makes the strategy a live trustee duty, not just a template you file and forget. "Give effect to" is the verb people forget: the strategy isn't a document you file and ignore — you have to actually invest in line with it.

The covenant says you must *have* a strategy. It doesn't, by itself, say what goes in one. That detail sits in the regulations — specifically SIS Reg 4.09(2), which lists the factors the strategy must address. There are five lettered factors, and the gap between "have a strategy" in the Act and "address these factors" in the regulation is exactly where the most-missed requirement hides.

Table 6.1 What an investment strategy must address (SIS Reg 4.09(2))

The factor	What it means in plain English
(a) Risk and likely return	The risk involved in the fund's investments, and the likely return from them, having regard to the members' retirement objectives and expected cash-flow needs
(b) Diversification (composition)	The composition of the fund's investments as a whole — including how spread out, or concentrated, they are across asset classes
(c) Liquidity	The fund's ability to pay its bills as they fall due — benefits, expenses, tax — from the cash and easily-sold assets it holds
(d) Ability to discharge liabilities	Whether the fund can meet its existing and prospective liabilities, such as pension payments owed to members

(e) Insurance for members	Whether the trustees should hold insurance cover for one or more members of the fund
(The covenant duty, not a Reg 4.09(2) factor) Formulate, review, give effect	The Act's covenant requires trustees to formulate the strategy, review it regularly — at least once a year, and when something significant changes — and actually invest in line with it

Factor (e) is the one that catches people. It isn't in the headline covenant in the Act — it lives down in the regulation, alongside the others, and it's a requirement first-time trustees can easily miss. Some templates don't handle it clearly. An auditor who finds no mention of the insurance question in the strategy has found a contravention, regardless of whether the fund holds insurance or not. Hold that distinction — it runs through the whole chapter.

NOTE

The wording that matters: factor (e) asks whether the trustees should *consider* holding insurance — not whether they hold it. The same is true of diversification under factor (b). The regulation requires you to turn your mind to these things and record what you decided. It does not require any particular answer. That single point is the difference between a compliant concentrated fund and a non-complying one.

Consider, don't necessarily do (the diversification myth)

The most common misreading of Reg 4.09 is that it forces a fund to be diversified. It doesn't. The regulation asks you to address the *composition* of your investments and the risks of inadequate diversification. It does not ban a concentrated fund. A fund that holds almost all of its value in a single asset — one commercial property, say — is allowed, on one condition: the written strategy explains *why* that concentration is appropriate for this fund and its members.

ATO guidance is clear on the underlying principle. Publicly reported ATO correspondence was said to cover about 17,700 SMSFs that held 90 per cent or more in a single asset or asset class. The letters did not say "you must diversify." They said, in effect: if you're this concentrated, your strategy needs to show you considered the risks of that concentration and documented why it suits your fund — and reminded trustees that failing to properly consider diversification is a contravention an auditor must report. The trigger for the letters wasn't the concentration itself. It was the absence of documented reasoning.

So the rule is the same for diversification and for insurance: **consider, document, decide**. Trustees may document a decision not to diversify or not to hold insurance, provided the question has been genuinely considered and the reasoning is recorded. What you cannot do is leave the question unaddressed.

WARNING

The trap: downloading a generic strategy template, ticking "balanced," and filing it — when the fund actually holds one property worth 95 per cent of its value. The template says one thing; the fund does another. An auditor compares the strategy to the actual investments, finds they don't match, and the "give effect to" duty is breached. A concentrated fund needs a strategy that *describes the concentration honestly* and explains the reasoning — not a template that pretends the fund is something it isn't.

Writing a strategy that survives audit

An approved SMSF auditor reads your investment strategy every year and checks two things: that it addresses all five Reg 4.09(2) factors, and that the fund's actual investments line up with what the strategy says. A strategy that does four things is likely to hold up under audit scrutiny.

It exists in writing before the money goes in. The Act requires trustees to formulate, regularly review, and give effect to the strategy — it doesn't expressly require writing. But ATO guidance and audit practice mean it should be in writing — otherwise there's nothing to show an auditor. A strategy written after the fund has already bought its assets, or dusted off at audit time, invites the question of what the trustees were following in the meantime. Write it before you invest, and date it.

It reasons through each factor in a short paragraph. Not a tick-box template — a few sentences per factor that show you actually turned your mind to the question. For the insurance factor, "the trustees have considered insurance for each member and resolved [to hold / not to hold] cover, because..." is worth more at audit than any pre-printed checkbox. The ATO's own guidance is blunt: a strategy that merely repeats the words of the regulation, or that just specifies broad asset-range percentages without explaining how they meet the members' needs, may not meet the requirement.

It uses asset-allocation ranges, not fixed percentages. A strategy that says "40 per cent Australian shares" is breached the moment the market moves and the holding drifts to 43 per cent. A strategy that says "Australian shares: 30–60 per cent" gives the fund room to move with markets without putting the document offside. Many SMSF strategies use asset-allocation ranges rather than fixed percentages, because market movements can make fixed figures stale quickly — though the appropriate approach for any given fund depends on circumstances. Ranges are a common way trustees keep the strategy and the portfolio aligned.

It is reviewed at least annually, and the review is documented. The duty is ongoing. Review the strategy at least once a year, and whenever something significant happens — a new member, a member starting a pension, a large asset bought or sold, a market shock. Crucially, "review" includes the case where nothing changes. A dated, signed minute reading "the trustees reviewed

the investment strategy on [date] and resolved that it remains appropriate; no changes" is itself the evidence the auditor needs. A review that leaves no record is, to an auditor, a review that didn't happen.

Table 6.2 A strategy that survives audit versus one that doesn't (illustrative)

Survives the audit read	Gets a contravention flagged
Written and dated before the fund invested	Written after the assets were already bought
A reasoned paragraph against each of the five factors	A generic template with the factors as unfilled headings
The insurance factor (e) explicitly addressed	No mention of insurance anywhere
Asset-allocation ranges (e.g. shares 30–60%)	Fixed percentages the portfolio has already drifted from
Concentration in one asset explained and justified	Heavy concentration the strategy never acknowledges
A dated, signed annual review minute — even "no change"	No record of any review since the fund started

NOTE

Where the advice boundary falls here: everything above is about the *existence and content requirements* of the strategy — and those are factual. They're the law, and I can state them. What the strategy should actually contain for you — which assets, what allocation, what risk level, and whether to hold insurance on a particular person — is a recommendation tailored to your circumstances. That's personal financial advice, and giving it requires an Australian Financial Services licence. A book and an AI can show you the frame. Only a licensed adviser can fill it in for you — check them on the ASIC Financial Advisers Register first.

How AI drafts the structure (and where you decide)

This is a task an AI co-pilot is genuinely good at — within strict limits. It can build the skeleton so you don't miss a heading (especially the insurance factor (e)). It can lay out a range-based allocation table for you to fill in. Best of all, it can surface the questions *you* have to answer for each factor, so that when you write your reasoning, you've actually thought it through. What it must never do is choose the investments, set the risk level, or sign off — those are trustee decisions, and where they're tailored to a person they're licensed-adviser territory.

The trick is to bound the request so the AI drafts a *structure to complete*, not a *recommendation to adopt*. Here's a prompt that does that:

You are helping me, an SMSF trustee, draft the STRUCTURE of a written investment strategy required by SIS Reg 4.09(2).

Produce a skeleton with a separate, clearly-labelled section for each of

- (a) risk and likely return
- (b) diversification / composition of investments
- (c) liquidity
- (d) ability to discharge existing and prospective liabilities
- (e) whether to hold insurance for one or more members
- plus a section recording that the trustees formulated the strategy, set a review cadence, and intend to give effect to it (the covenant duty – not a sixth factor)

Under each factor, write the QUESTIONS I must answer myself – do not answer them, and do not recommend any asset, allocation, risk level, or insurance decision. Include a blank asset-allocation table with RANGE columns (min %, max %), not fixed figures, for me to populate.

Rules:

- Factual / structural only. You are not licensed to give financial advice.
- Do not tell me what to invest in or whether to hold insurance.
- Flag anything I should verify against the ATO's SMSF investment strategy guidance or confirm with a licensed financial adviser.

Read what that prompt does. It gets you a complete, correctly-structured skeleton — including the insurance factor first-time trustees can easily miss — and a list of the questions you must answer. It refuses to make the choices. You then fill in your reasoning, set your own ranges, and sign it. The AI did the secretarial work; the trusteeship stayed with you.

TIP

The verify-and-escalate habit: after the AI drafts the skeleton, check it against the ATO's own guidance on SMSF investment strategies. Confirm the five Reg 4.09(2) factors are addressed: (a) risk and likely return, (b) composition and diversification, (c) liquidity, (d) ability to discharge liabilities, (e) insurance. Also confirm the strategy records that trustees formulated it, set a review cadence, and intend to give effect to it. Do not describe a sixth statutory limb. If your fund is concentrated, holds property, runs a pension, or you're unsure whether your reasoning is adequate, that's the point to take the draft to a licensed financial adviser. The AI assembled the frame from public information; a licensed human owns whatever decision turns on your circumstances.

Worked examples

Four illustrations of how the factors bite. As before, these are assumed-fact examples of how the rules work — not advice, and none of these people is you. Each ends with what it illustrates, naming the factors a licensed professional would weigh.

Hana and Tariq — the single-property fund. Their SMSF holds one commercial property worth about \$760,000 — roughly 95 per cent of the fund — plus around \$40,000 in cash. They know the fund is concentrated. Rather than file a "balanced" template that doesn't match reality, their strategy says so plainly: it describes the property, states that the fund is deliberately concentrated in a single asset, and sets out their reasoning — the property is leased to an unrelated tenant on a long lease, the rent covers the fund's outgoings, both members accept the concentration risk, and they've recorded that they considered diversification and chose not to spread the assets further. The cash buffer is named as the liquidity provision. *What this illustrates:* a concentrated fund is permitted, but the strategy must acknowledge the concentration honestly and document why it's appropriate — the factors being concentration risk, liquidity, the members' objectives, and whether the documented reasoning would satisfy an auditor, which is exactly what a licensed adviser and the fund's auditor would assess.

Helen — the liquidity test. Helen, 67, runs her fund in pension phase and must draw a minimum pension each year. At her age the minimum for an account-based pension is 5 per cent of her 1 July balance; on a \$900,000 balance that's \$45,000 she has to pay herself across the year, plus the fund's audit and levy. Her fund is heavily weighted to a property and an illiquid managed fund. The liquidity factor (c) and the discharge-of-liabilities factor (d) are the live ones here: can the fund actually produce \$45,000-plus in cash, on time, every year, without a forced sale? Her strategy has to show how — a cash holding, the rent, distributions — and her annual review has to re-test it as the minimum percentage rises with her age. *What this illustrates:* for a pension member, liquidity and the ability to discharge liabilities stop being abstract — the strategy must demonstrate the fund can meet a known, recurring obligation, and the figures (the minimum drawdown rate, the cash flow, the asset mix) are matters to model carefully and, where it bears on her circumstances, to take to a licensed adviser.

The Lim family — the insurance factor. Jordan and Mei Lim are in their mid-thirties with two young children and a mortgage outside super. When they set up their fund, their adviser had arranged life and total-and-permanent-disability cover inside it. Reviewing the strategy this year, they turn their minds to factor (e): is fund-held insurance still appropriate for each member? They've reviewed what cover is held elsewhere and documented the decision they reached after considering Reg 4.09(2)(e) — which may or may not involve adjusting cover inside the fund. The point for the strategy isn't the answer — it's that the question was considered, for each member, and the decision and its reasons were written down and dated. *What this illustrates:* factor (e) requires the trustees to consider insurance for each member and record the outcome — hold or don't hold — and because the right level of cover for a particular person depends on their circumstances, the decision itself is one for the members with licensed financial advice, while the strategy only needs to evidence that they considered it.

Sam — the AI-drafted skeleton. Sam, a first-time trustee, uses the prompt above to generate a skeleton covering the five factors and a blank range-based allocation table. The AI returns a clean structure — all five factors, including insurance — and under each one, the questions Sam has to answer. It recommends nothing. Sam then does the work the AI couldn't: he writes his own reasoning for each factor, sets his own allocation ranges, has the draft looked over by a licensed adviser because he's unsure about the risk-and-return factor, and signs and dates the final document before the fund invests a dollar. *What this illustrates:* the clean division of labour — AI assembles the structure and surfaces the questions; the trustee makes the choices, a licensed adviser owns anything tailored to the person, and the trustee's signature is the act that no tool can perform on their behalf.

What the strategy really is

Strip away the form and the investment strategy is a record of thinking. The law doesn't dictate your investments. It asks you to address five factors — risk and return, diversification, liquidity, your liabilities, and insurance for each member — and, through the covenant, to formulate, review, and give effect to the strategy, showing honestly that you turned your mind to each. A concentrated fund is not automatically non-compliant merely because of its concentration. The strategy must still show the trustees considered the relevant risks, documented their reasoning, and reviewed whether it remains appropriate. The same applies to a fund that holds no insurance. What's never fine is the blank where the thinking should be.

An AI co-pilot can build the skeleton, surface the questions, and lay out the table — and that's real help, especially for catching the insurance factor that templates drop. But the choices, the risk appetite, the reasoning, and the signature are yours as trustee. And the moment any of it turns on your personal circumstances — which assets, what allocation, whether to insure a particular person — that's personal financial advice, and it belongs with a licensed adviser you've checked on the ASIC Financial Advisers Register. The strategy frames the fund's investing. The next thing to get right is what flows into it.

TIP

Run it in the lab: </practice?situation=hub:topics:investments-strategy> turns this chapter's factors into a guided situation, and the learn chapters </learn/investment-strategy-reg-4-09> and </learn/valuations-at-30-june> go deeper on the regulation and the 30-June valuation duty.

TIP

Next: a strategy is only useful once there's money to invest. Chapter 7 covers contributions — the types, who can make them, and the annual caps that decide how much can go in before the tax concessions stop working in your favour.

07 Contributions 101

Getting money in, within the caps

Money gets into a fund through contributions, and contributions come with limits. I treat this chapter as a reference: the types of contribution, the annual caps, who can put money in and when, and the paperwork that turns an after-tax contribution into a deduction. The figures move — most indexed each July — so every one carries its financial year and the reminder to confirm it with the ATO. What none of it tells you is whether *you* should contribute, claim, or trigger any of these levers. That belongs with a registered tax agent or a licensed financial adviser.

The types of contribution

Every dollar that goes into super is one of two broad kinds, and the difference is about tax, not size — the split is between *before-tax* money and *after-tax* money.

Concessional contributions are made from before-tax money, or are claimed as a tax deduction. The fund pays 15 per cent tax on them as they come in. There are three common kinds:

- **Employer Super Guarantee.** The compulsory contributions your employer pays, now at 12 per cent of ordinary earnings since 1 July 2025.
- **Salary sacrifice.** An arrangement where you agree with your employer to direct some of your before-tax salary into super instead of taking it as pay.
- **Personal deductible contributions.** Money you pay in from your own pocket and then claim as a tax deduction on your return — which is what turns an otherwise after-tax contribution into a concessional one. The claim depends on lodging a specific notice, covered later in this chapter.

Non-concessional contributions are personal contributions made from after-tax money with no deduction claimed. Because the money has already been taxed in your hands, the fund doesn't tax it again on the way in — the simplest way to add to super beyond the before-tax channels.

Sitting alongside those two are a few special contribution types with their own rules, which don't count against the ordinary caps:

- **Downsizer contributions.** From age 55, a person who sells a qualifying main residence they've owned for at least 10 years can contribute up to \$300,000 of the proceeds — \$600,000 for a couple, \$300,000 each — within 90 days of settlement. It's a once-only opportunity per person, and it does not count toward the concessional or non-concessional caps.

- **Spouse contributions.** A contribution one spouse makes to the other's super. The receiving spouse's account treats it as a non-concessional contribution, and the contributing spouse may be eligible for a tax offset where the receiving spouse's income is low.
- **Government co-contribution.** For lower-income earners who make a personal after-tax contribution, the government may add a co-contribution. It's paid automatically by the ATO after the return is processed, on eligibility tests that include an income threshold and a total super balance test — figures that change each year and must be checked against the ATO for the relevant year.

NOTE

Definition — total super balance (TSB): your total super balance is, broadly, the value of all your super across every fund, measured at 30 June of the prior financial year. It's the gate on several of the rules in this chapter — eligibility for carry-forward, the size of a bring-forward, and the co-contribution. It is not the same thing as the transfer balance cap, and it's measured at a point in time, so the number that matters is usually last 30 June's, not today's.

The caps

Contributions are capped each year, and the caps differ for the two broad types. Exceeding a cap has tax consequences, so the figures matter. They're indexed and move — the table below states the current and next financial years as they stand at June 2026, and the only number to rely on is the one you confirm on the ATO's contributions-caps page.

Table 7.1 Contribution caps by financial year (as at June 2026 — verify with the ATO)

Cap	FY2025–26	FY2026–27
Concessional (before-tax)	\$30,000	\$32,500
Non-concessional (after-tax)	\$120,000	\$130,000
Bring-forward maximum (non-concessional, over up to 3 years)	\$360,000	\$390,000

The non-concessional cap is set as a multiple of the concessional cap — four times it — which is why the two move together when indexation lifts the concessional figure. The bring-forward maximum is three years of the non-concessional cap brought into one, explained in its own section below.

A few mechanics sit behind the headline numbers. The concessional cap is a *single* cap across all your funds and all the before-tax channels combined — employer SG, salary sacrifice, and any personal deductible contribution all count against the same \$30,000 for 2025–26. Go over the concessional cap and the excess is included in your assessable income and taxed at your marginal

rate, with an offset for the 15 per cent already paid, and the ATO process may allow release of the excess from super. Go over the non-concessional cap and the excess can be taxed heavily unless it's withdrawn under the ATO's process. These are tax outcomes the ATO administers, and how they land on a real return is a registered tax agent's question.

WARNING

The trap that catches high earners: the concessional cap counts *employer* contributions too. Someone earning a large salary can have employer SG of, say, \$25,000 already filling most of the \$30,000 cap before they salary-sacrifice a dollar. Adding \$10,000 of salary sacrifice on top would push total concessional contributions to \$35,000 — \$5,000 over the cap, with tax consequences. The cap is the whole bucket, not just the part you choose to add. A second rule also bites high earners, and it has nothing to do with the cap: **Division 293**. Where your income plus concessional contributions exceeds \$250,000 in a year, an extra 15% tax applies to some or all of those contributions (ITAA 1997 Div 293 — a fixed threshold that has not moved since 2017–18 and is not indexed). That's a factual rule you can check on the ATO's Div 293 page; whether it changes anything for you is a registered tax agent's question.

Who can contribute

For most working-age people, contributing is straightforward — the fund can accept employer and personal contributions without an age or work test. The nuances appear at the older end, and they differ depending on what you're trying to do.

The fund can generally accept contributions for a member **under 75** without a work test. The complication is specific to *claiming a deduction* for a personal contribution once you're older. To claim a personal deductible (concessional) contribution made **after you turn 67**, you must satisfy the **work test** — broadly, you were gainfully employed for at least 40 hours over 30 consecutive days in the financial year — or qualify for the one-off work-test exemption. The work test is about the deduction, not about whether the fund can take the money.

Age also gates the bring-forward arrangement. To trigger a bring-forward of non-concessional contributions, a member must be **under 75** at some point in the financial year the bring-forward starts (the contribution is generally made within 28 days after the end of the month in which they turn 75). Past that point the larger forward limits aren't available. The ages and the work-test rule are set in the legislation — how they apply to a particular member's year is a registered tax agent's question.

Table 7.2 Contribution types at a glance (as at June 2026 — verify with the ATO)

Type	From	Counts toward which cap	Fund taxes it on the way in?
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Employer SG	Before-tax (employer)	Concessional	Yes — 15%
Salary sacrifice	Before-tax (salary)	Concessional	Yes — 15%
Personal deductible	After-tax, then deducted	Concessional	Yes — 15% (once the notice is valid)
Personal non-concessional	After-tax	Non-concessional	No
Spouse contribution	After-tax (from a spouse)	Non-concessional (receiving spouse)	No
Downsizer	Home-sale proceeds, age 55+	Neither (special, once-only)	No
Government co-contribution	The ATO	Neither	No

Claiming a deduction: the notice of intent

A personal contribution only becomes deductible if you tell the fund, in the right form and in time, that you intend to claim it. The form is the **notice of intent to claim or vary a deduction**, and the rule that governs it sits in the Income Tax Assessment Act, section 290-170. It catches more beginners than any other contribution rule, because the contribution and the paperwork feel like the same act — and they aren't.

The deadline is precise. You must give the fund a valid notice by the *earlier* of two dates: the day you lodge your tax return for the year the contribution was made, or **30 June of the following financial year**. So a contribution made in the 2025–26 year needs a valid notice by the earlier of when you lodge your 2025–26 return or 30 June 2027.

What makes this rule unforgiving is what surrounds it. There is **no ATO discretion** to accept a late notice — miss the deadline and the deduction is gone, with no extension to apply for. And a notice is invalid if, before the fund acknowledges it, you've already *rolled the money over* to another fund, *started a pension* with it, or *withdrawn* it. The notice has to land while the contribution is still sitting in the accumulation account, untouched, in the fund you contributed to.

WARNING

The notice-of-intent trap (s290-170): a personal contribution is *not* automatically deductible. Without a valid notice, lodged in time and acknowledged by the fund before you move the money, you cannot claim the deduction — and the ATO has no power to let a late notice through. Worse, the contribution then sits in the fund as a *non-concessional* contribution, counting against that cap instead. The order matters: notice and acknowledgement first, then any rollover, pension, or withdrawal.

For an SMSF the practical point is that acknowledging the notice is a trustee act, and the acknowledgement is a record the fund keeps. The contribution, the notice, and the acknowledgement form a small chain of documents an auditor can follow — and I've seen the deduction lost simply because that chain was out of order. Whether a particular contribution is worth claiming is a tax agent's call, not something to decide from a table.

Carry-forward and bring-forward

Two arrangements let you use more than one year's cap at once. They sound alike and are often confused, but they work on different caps and answer to different gates. Carry-forward is about the *concessional* cap, bring-forward about the *non-concessional* cap.

Carry-forward unused concessional cap

If you don't use your full concessional cap in a year, the unused part can be carried forward and used in a later year. The unused amounts accumulate on a rolling **5-year** basis — any unused cap older than five years drops off. There's one gate, and it's strict: you can only use carried-forward amounts in a year if your **total super balance was under \$500,000** at 30 June of the prior year. That \$500,000 figure is *not indexed* — it has stayed at \$500,000 and doesn't move with the other thresholds in this chapter.

Carry-forward is the channel for someone with a modest balance who has uneven income — a year out of the workforce, a year of low earnings, then a strong year — and who never used their full before-tax cap in the lean years. The unused room is still there to use, subject to the balance gate and the five-year window.

Bring-forward non-concessional contributions

Bring-forward works the other way: instead of saving unused room, it lets you bring *forward* up to three years of the non-concessional cap and use it in one go. Make a large non-concessional contribution above the annual cap and, if you're eligible, you automatically trigger the bring-forward — locking in a fixed cap across a fixed period.

Two things gate it. You must be **under 75** at some point in the year you trigger it. And the amount you can bring forward — two years or three — depends on your **total super balance at the prior 30 June**, measured against thresholds tied to the general transfer balance cap. The closer your balance sits to the cap, the smaller the bring-forward, until at the cap there's no non-concessional room at all. The bands for a bring-forward triggered in 2025–26 are set out below.

Table 7.3 Bring-forward bands for a trigger in FY2025–26, by total super balance at 30 June 2025 (as at June 2026 — verify with the ATO)

Total super balance at 30 June 2025	Bring-forward available	Period locked
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Under \$1.76 million	Up to \$360,000	3 years
\$1.76m to under \$1.88m	Up to \$240,000	2 years
\$1.88m to under \$2.0m	\$120,000 (the standard annual cap — no bring-forward)	1 year
\$2.0 million or more	Nil	—

Triggering a bring-forward has a consequence people miss: it *locks the period*. Once you trigger a three-year bring-forward, your non-concessional cap for the next two years is fixed at whatever's left of the brought-forward total — and it doesn't re-index to a higher annual cap if the caps rise in those years. Whether to trigger it, and when, is a planning question for a licensed adviser or tax agent.

NOTE

Advice boundary — Division 296. From 1 July 2026, Division 296 is enacted law — it received Royal Assent on 13 March 2026. It applies additional tax to *realised* earnings — not unrealised gains — at 15% on the proportion of realised earnings attributable to the part of the balance above the indexed \$3 million threshold, plus a further 10% on the proportion above the indexed \$10 million tier. It is mainly relevant to members with very large total super balances, rather than the typical beginner SMSF scenario. How it interacts with contributions, balance management, and timing is complex and belongs with a licensed financial adviser or registered tax agent who can model the real facts.

Worked examples and the traps

The rules are easier to feel through examples. These four are assumed-fact illustrations of how the contribution rules interact — they are not advice about your situation, the figures are assumed and current as at June 2026, and none of these people is you. Each ends with what the example illustrates, not with what the person should do.

Nathan — using carried-forward cap

Nathan, 41, has a total super balance of \$180,000 at 30 June 2025. He took two years out of paid work and barely touched his concessional cap in those years, leaving roughly \$40,000 of unused concessional room accumulated over the rolling five-year window. In 2025–26 he has a strong income year and his employer SG comes to about \$14,000. His total super balance was under \$500,000 at the prior 30 June, so he can use carried-forward amounts. That makes it possible to make concessional contributions above the standard \$30,000 cap this year, drawing on the unused room from earlier years.

What this illustrates: carry-forward is gated by a non-indexed \$500,000 total-super-balance test at the prior 30 June and a five-year window on the unused amounts. The factors a registered tax agent would weigh are Nathan's marginal rate, exactly how much unused cap is still inside the five-year window, the deduction paperwork (the notice of intent), and whether using the room this year serves his position better than spreading it. The mechanics are factual — whether and how much to contribute is tax advice.

Sara — triggering a 3-year bring-forward

Sara, 58, has a total super balance of \$900,000 at 30 June 2025 and inherits a lump sum. She makes a \$330,000 non-concessional contribution in 2025–26. Because that's above the \$120,000 annual cap and her balance is under \$1.76 million, she automatically triggers the three-year bring-forward, with a maximum of \$360,000 across 2025–26, 2026–27, and 2027–28. Her \$330,000 uses most of it, leaving about \$30,000 of non-concessional room across the remaining two years of the locked period.

What this illustrates: a large non-concessional contribution can trigger a bring-forward automatically, and triggering it *locks the period* — Sara's non-concessional cap for the next two years is fixed at what's left of the \$360,000, and it won't re-index upward even if the annual cap rises. The trade-off between using the room now and keeping flexibility is a planning judgement for a licensed adviser or tax agent who can see her whole position — including how it sits with the transfer balance cap and, at larger balances, Division 296.

Dan — the notice that never arrived

Dan, 49, pays \$25,000 of his own after-tax money into his SMSF in March 2026, intending to claim it as a deduction. He files his 2025–26 return claiming the deduction — but he never lodged a notice of intent with the fund, and he had already started a small pension partly from the same money before any notice could be acknowledged. The deduction fails twice over: there was no valid notice by the deadline, and starting the pension would have invalidated a notice anyway. The ATO has no discretion to fix it. The \$25,000 stays in the fund as a *non-concessional* contribution, counting against that cap, and Dan can't claim the deduction he was counting on.

What this illustrates: the deduction depends on the notice of intent (s290-170), lodged by the earlier of lodging the return or 30 June of the following year, and acknowledged by the fund *before* the money is rolled over, used to start a pension, or withdrawn. There is no ATO discretion for a late notice. Without the valid deduction notice, the amount does not become a concessional contribution and will generally remain in the non-concessional category. The order of events — notice and acknowledgement first, then any pension or rollover — is the whole game, and getting it right is exactly what a registered tax agent helps a trustee sequence.

The Bianchis — a downsizer pair

Joe and Maria Bianchi, both 63, sell the family home they've owned for 25 years. Each makes a \$300,000 downsizer contribution from the proceeds within 90 days of settlement — \$600,000 between them. Because downsizer contributions don't count toward the concessional or non-concessional caps, the \$600,000 sits outside the cap rules entirely. They're both over 55, they've owned the home well beyond the 10-year minimum, and it's a once-only opportunity for each of them.

What this illustrates: downsizer contributions are a separate channel — age 55 and up, a qualifying main residence owned at least 10 years, up to \$300,000 each, within 90 days of settlement, once only, and not counted against the ordinary caps. They still increase a member's total super balance, which can affect future bring-forward room and other balance-tested rules. Whether downsizing serves a couple's retirement, pension, and estate position is a question a licensed adviser and a registered tax agent answer together, with the eligibility conditions confirmed against the ATO for the year of the sale.

Putting the caps to work — safely

The caps, the deadlines, and the bands in this chapter are factual — set in the legislation, published by the ATO, the same for everyone. What changes from person to person is whether contributing, claiming a deduction, or triggering a bring-forward serves their position, and that is personal advice. A registered tax agent owns the deduction and the return, a licensed financial adviser owns the strategy. You can confirm a tax agent on the Tax Practitioners Board register and an adviser on ASIC's Financial Advisers Register before relying on either.

An AI co-pilot fits the factual side of this neatly: confirming a current cap against the ATO, summarising how the notice-of-intent deadline works, or drafting a trustee minute recording that the fund acknowledged a member's notice. As always, the figures move and an AI's training has a cutoff, so the only number to rely on is the one you've just read on the ATO's own page. A safe prompt builds that habit in:

I'm a trustee researching super contribution rules. Factual information only – do not tell me what I should do or whether to make any contribution.

For the current financial year, what are the concessional and non-concessional contribution caps, and what is the deadline for lodging a notice of intent to claim a deduction under s290-170? Give me each figure, the financial year it applies to, and a link to the ATO page that states it, so I can verify it myself. If you're not certain a figure is current, say so

and tell me where to check. Anything about whether to claim or contribute is for a registered tax agent – flag that.

That keeps the assistant on the factual side of the line and hands you the source to check. My rule is simple — the numbers are the ATO's, the decision about your situation is a licensed professional's, and the trustee owns the records that prove what the fund did.

TIP

Run it in the lab: `/practice?situation=hub:topics:contributions` runs the caps against the lab's deterministic engine, `/practice?scenario=04-priya-s-carry-forward-ledger` walks a carry-forward ledger like Nathan's, and the learn chapter `/learn/contributions-101` teaches the same material.

TIP

Next: getting money into the fund is one half of the picture — what the fund is allowed to *do* with that money is the other. Chapter 8 works through what your fund can and can't invest in: the sole-purpose lens again, the in-house asset rule, the prohibition on buying from yourself, arm's-length dealing, borrowing, and the special rules for collectables.

08 What Your Fund Can (and Can't) Invest In

The rules that keep the fund compliant

An SMSF gives you direct control over investments and structures that many large-fund default menus do not offer — though large funds differ — but "control" is not "anything," and this chapter draws the fences. None of it is advice about what your fund should hold. Selecting an investment for a person is financial product advice that needs a licence. What follows is the law: the investment rules every trustee answers to, and the one test that sits behind all of them.

The sole-purpose lens

Start with the rule the rest of this chapter hangs from. The **sole-purpose test** (SIS Act s62) says the fund must be maintained *solely* to provide retirement benefits to members — or death benefits to their dependants — and nothing else. Every investment answers to it.

Hold that as a lens rather than a separate rule to memorise. The specific limits below are mostly the sole-purpose test wearing different clothes. They cover the 5 per cent in-house cap, the prohibition on buying from related parties, the arm's-length requirement, the borrowing ban and its narrow exception, and the collectables rules. Though each rule has its own mechanics, penalties and rectification, they share a common concern: preventing present-day benefit. They exist because the easiest way to break s62 is to use the fund to deliver a present-day benefit to a member or someone close to them, instead of a retirement benefit later. When a rule below seems fiddly, ask the lens question. Does this arrangement provide a benefit now, to me or to someone related to me, that has nothing to do with funding my retirement? If the answer leans towards yes, the rule is usually there to stop it.

The reason to take all of this seriously is the consequence. A fund that breaches the rules can be made **non-complying**, and in the year that happens its assessable income can include the market value of its *entire* assets, taxed at 45 per cent. That can take close to half the fund. The rules in this chapter are common ATO and auditor focus areas, because they're where well-meaning trustees most often slip.

NOTE

Definition — related party: a "related party" of the fund includes each member, their relatives, the other trustees, and entities the members or their associates control or sufficiently influence — a family company, a family trust, a business partnership. It's a deliberately wide net. Several rules in this chapter turn on whether the person or entity on the other side of a transaction is a related party, so it's worth checking the ATO's definition against your own circle before assuming a counterparty is "unrelated."

In-house assets and the 5% rule

The first fence limits how much of the fund can be tangled up with related parties. An **in-house asset** is broadly a loan to, or an investment in, a related party of the fund, or an asset of the fund leased to a related party. The rule (SIS Act s71 and s82, with reg 13.13) is that in-house assets must not exceed **5 per cent** of the fund's total assets, measured at market value.

Three kinds of arrangement count, and it helps to picture each:

- **A loan to a related party** — the fund lends money to a member, a relative, or a family company.
- **An investment in a related party** — the fund buys units in a related trust or shares in a related company.
- **A lease to a related party** — the fund owns an asset and rents it to a related party (a key exception is business real property leased to a related business, which is generally not an in-house asset).

The 5 per cent is a ceiling, not a target, and the test is applied at **30 June** each year on market values. If the ratio exceeds 5% at 30 June, the law requires something specific: the trustees must prepare a written plan identifying the excess amount and nominating which in-house assets will be disposed of in the following income year, in a value at least equal to that excess. Topping up the fund's other assets does not satisfy this requirement, and the plan must be acted on. (Separately, once the fund is already over 5%, s83 prohibits acquiring any new in-house asset.) A professional review before 30 June matters because the 5% test is applied at year end.

WARNING

The trap that teaches the rule: the 5 per cent is measured against the fund's *total* assets, so a market fall can breach it without you doing anything. If a \$1 million fund holds a \$40,000 loan to a member's company, that's 4 per cent — inside the limit. If shares then halve and the fund drops to \$600,000 while the loan stays at \$40,000, the loan is now 6.7 per cent, and the fund is over. Nothing about the loan changed — the denominator did. The written rectification plan duty is triggered by the 30 June figure, whatever caused it.

You can't buy from yourself: related parties (s66)

The second fence is blunter. As a general rule, an SMSF **cannot acquire an asset, other than money, from a related party** of the fund. The prohibition is SIS Act s66, and because a member and their relatives are related parties, the short version is: the fund can't buy your assets off you. Not your shares, not your investment unit, not your business premises — unless the transaction fits one of the narrow exceptions.

The exceptions have conditions, and the most beginner-relevant one is money:

- **Money** — money is an express s66(2) exception (s66(2)(b)), which is how contributions work. Section 66 does not prohibit the fund acquiring money from a related party, though contribution rules and caps still apply. The word "asset" in s66 is what's prohibited, and money isn't caught.
- **Listed securities** — shares, units, or other securities listed on an approved stock exchange (such as the ASX) — acquired at **market value**.
- **Business real property** — broadly, real property used wholly and exclusively in one or more businesses — acquired at **market value**. This is why a member can sometimes transfer their business premises into the fund, but not the family home.

The list also has narrower exceptions — assets acquired under a relationship-breakdown order, certain fund mergers, and acquisitions the regulator has approved. Those are specialist territory and not the everyday cases.

The reason this catches people is that the obvious-seeming moves are the barred ones. Transferring the family home into the fund: residential property the member owns isn't business real property, so s66 prohibits it outright. Doing an in-specie (asset, not cash) contribution of a parcel of unlisted shares in a private company: not listed securities, so prohibited. One way the law permits a related-party situation to work is that money is an s66 exception, so a member can contribute cash, and that cash is unrelated to any asset the member sold. Whether or how to do this in any specific case depends on contribution caps, the investment strategy, and personal circumstances — which need individual advice.

Table 8.1 Can the fund acquire it from a related party? (s66, general position — confirm against the ATO and the legislation)

What you want to transfer in	From a related party?	General position under s66
Cash / money	Yes	Allowed — money isn't an "asset" caught by s66
ASX-listed shares or ETFs	Yes	Allowed as a listed-security exception, at market value
Commercial premises used wholly in a business	Yes	May be allowed as business real property, at market value
The family home (residential)	Yes	Prohibited — residential property isn't business real property
Unlisted private-company shares	Yes	Prohibited — not a listed security
Cryptocurrency you hold personally	Yes	Prohibited — not a listed security or business real property

Arm's length and NALI — the mate's-rates trap

Even where the fund *can* deal with a related party — buying business real property, or a permitted listed parcel — there's a further rule about the *terms*. Every dealing must be at **arm's length**: on commercial terms, as if the two sides were strangers haggling. The fund can't get a special deal because the person on the other side is family.

The teeth behind this rule are tax. Income from a non-arm's-length dealing — a bargain price, an inflated rent, a related-party arrangement on terms a stranger would never accept — can be treated as **non-arm's-length income** (NALI) and taxed at the top marginal rate of **45 per cent**, instead of the concessional 15 per cent. That's a threefold tax jump on the affected income, and on capital gains it can reach the gain itself. The point of buying assets through a low-tax fund is the low tax. NALI removes it for the income concerned.

Non-arm's-length *expenses* are also in scope. Where the fund underpays on a *general* expense in a non-arm's-length way — for example, a related accountant or property manager charges the fund mates' rates, or nothing — the rules can treat an amount equal to **twice the difference** between the arm's-length price and what the fund actually paid as non-arm's-length. The 2024 reform, which applies from 1 July 2024, changed how the excess is calculated (a "twice the difference" cap), while non-arm's-length general expenses have been in scope since 1 July 2018 (per LCR 2021/2). The mechanism is technical, and the exact application turns on the type of expense and the fund's circumstances.

WARNING

Know enough to get help: NALI is one of the rules where a beginner's job is to recognise the smell and stop, not to self-assess. If a transaction involves a related party on terms that aren't plainly commercial — a discount, free labour, a soft loan, related-party rent — that's the moment to involve a registered tax agent or an SMSF specialist before the deal happens, not after. On the ATO's current view (its interpretive position under LCR 2021/2, not an express statutory rule), the 45% rate applies to income and gains from that asset for as long as the fund holds it — so specific advice is important.

Borrowing inside super: LRBA basics (get advice)

The starting position is that an SMSF generally **can't borrow**. SIS Act s67 prohibits a fund from borrowing money, with limited exceptions. The exception trustees ask about most is the **limited-recourse borrowing arrangement** (LRBA), set out in s67A and s67B.

An LRBA is a tightly structured way to borrow to buy a *single* asset. The defining features are worth knowing even at a beginner level, because they're what makes the arrangement legal:

- **A single acquirable asset.** The borrowing funds one asset (or a collection treated as one), not a shopping list.
- **Held in a separate holding trust.** The asset is held on trust — often called a bare trust — by a separate trustee, with the fund holding the beneficial interest and the right to acquire the legal title once the loan is repaid.
- **Limited recourse.** If the fund defaults, the lender's rights are limited to that one asset. The rest of the fund is quarantined — that's the "limited recourse," and it's the protection the whole structure exists to give.
- **Borrowed money for repairs, not improvements.** Borrowed funds can maintain or repair the asset, but generally can't be used to *improve* it. The line between a repair and an improvement is a frequent source of trouble and is genuinely technical.

Where the lender is a related party — a member lending to their own fund — the ATO expects the loan to be on arm's-length terms, or the income can become NALI. To give trustees a "safe harbour," the ATO publishes **PCG 2016/5**: meet its terms and the ATO accepts the loan as arm's length. The safe-harbour interest rates are republished each July. For the **2025–26** year they are **8.95 per cent** for real property and **10.95 per cent** for a listed-security portfolio (as at June 2026 — these are reset each July, so confirm the current PCG 2016/5 rate before relying on it).

NOTE

This is where you bring in a professional: an LRBA touches super law, property law, lending, the holding-trust deed, the repairs-versus-improvements line, and NALI all at once. Getting any one of them wrong can taint the income or breach s67. This book gives you the shape of the rules so you can have an informed conversation — it doesn't equip you to set one up. Borrowing inside super is licensed-adviser and lawyer territory, and a recommendation to use an LRBA is also personal financial product advice. Check a financial adviser on ASIC's Financial Advisers Register and a tax agent on the TPB register before you proceed.

Collectables and personal-use assets

A fund can hold **collectables and personal-use assets** — artwork, jewellery, wine, classic cars, coins, memorabilia — but under strict conditions, because these are exactly the assets a member might be tempted to enjoy now. The rules live in SIS Act s62A and reg 13.18AA, and they're really the sole-purpose test made concrete for things you could hang on a wall or park in a garage.

The core conditions:

- **No personal use, and no leasing to a related party.** No member or related party may use or enjoy the asset. The fund's painting can't hang in your living room. A collectable or personal-use asset must also not be leased to, or made available for use by, a related party (reg 13.18AA), regardless of any rent paid.
- **No storage in a related party's private residence.** The asset must not be stored or displayed in the private residence of any related party. It may be stored in a related party's business premises (somewhere that isn't a private residence), as long as it isn't displayed there for the related party's enjoyment. The trustees must document the storage decision and keep the record.
- **Insured in the fund's name within 7 days.** The asset must be insured in the name of the fund within seven days of the fund acquiring it.
- **Independent valuation on a related-party sale.** If the fund sells or transfers the asset to a related party, the price must be set by a qualified **independent valuer**.

Put together, these rules strip out the present-day enjoyment that would breach s62. You can own the asset through the fund — you just can't get any personal benefit from it before retirement.

Four cautionary mini-cases

The rules are easier to feel through examples. These four are assumed-fact illustrations of how the fences bite — not advice, and none of these people is you. Each ends with what the example illustrates.

An in-house breach by drift

The Okafor fund holds \$900,000 of assets and lends \$42,000 to a company controlled by member Chidi. At the time, that loan is about 4.7 per cent — inside the 5 per cent in-house cap. Over the year the fund's listed shares fall and total assets drop to \$780,000. The loan, unchanged at \$42,000, is now about 5.4 per cent. At 30 June the fund is over the limit. *What this illustrates:* the in-house-asset test is a year-end ratio on market values, so a fund can breach it through a market move alone. The duty that follows is the written plan under s82 — a documented plan identifying the excess amount and nominating which in-house assets will be disposed of in the following income year, in a value at least equal to that excess. Topping up the fund's other assets does not satisfy this requirement, and the plan must be acted on. The right approach in any specific case is a matter for the trustees with their accountant. The obligation to have and follow the plan is the law.

A related-party bargain that becomes NALI

Member Bianca owns ASX-listed shares worth \$80,000 and transfers them into her fund for \$50,000 — a "family discount." Listed securities can be acquired from a related party, so s66 isn't the problem. The price is. A stranger would have paid market value. The fund paid \$30,000 under it, on non-commercial terms. *What this illustrates:* the related-party acquisition can be permitted and the *dealing* still non-arm's-length. The income and gains from those shares can be treated as NALI and taxed at 45 per cent rather than 15 per cent — for as long as the fund holds them, on the ATO's view. The fix isn't a discount with good intentions — it's a transfer at independently supported market value. A bargain meant to help the fund can quietly cost it the concession that made the fund worthwhile. This is a registered-tax-agent conversation before the transfer, not after.

An in-specie crypto contribution that's prohibited

Marcus holds cryptocurrency in a personal wallet and wants to move it straight into his SMSF as an in-specie contribution. Cryptocurrency held personally is neither a listed security nor business real property, so it isn't within the s66 exceptions. The fund can't acquire it from him at all. The compliant route runs through cash. Marcus sells the crypto personally on an exchange, contributes the resulting cash to the fund within his contribution caps (FY2025-26: concessional \$30,000 / non-concessional \$120,000 — as at June 2026, verify the current caps), and the fund — if its

trustees decide crypto fits its investment strategy — buys cryptocurrency on its own account from an unrelated exchange, in the fund's name. The asset ends up in the fund either way, and the route matters because s66 bars the direct transfer. *What this illustrates:* s66 distinguishes a fund acquiring a member's asset from the fund acquiring a new asset with contributed cash. Whether this approach suits Marcus's circumstances, or makes sense given his contribution caps, is not something the rules decide — a financial adviser would need to consider his full position.

A reg 13.22C structure that collapses

The Tran fund invests in a related unit trust set up to hold a property, relying on the carve-out in reg 13.22C — which lets a fund hold units in a closely held related trust without them counting as in-house assets, provided the trust meets a strict list of conditions. One condition is that the trust must not borrow. A few years in, the trust takes out a small loan to fund works on the property.

What this illustrates: a reg 13.22C trust is fragile by design — breach any of its conditions — including, for example, borrowing, charging assets, lending to a related party, or holding the wrong asset class — and the units stop being exempt. The full conditions in reg 13.22C are more detailed. Once the exemption is lost it generally can't be regained, and the units become in-house assets counted against the 5 per cent cap — which, for a fund whose main asset is that trust, blows the limit instantly. The structure is genuinely intricate, and keeping it compliant year after year is specialist work. At the level a beginner needs, related-trust structures are an area to set up and monitor with an SMSF specialist, not to assemble from a template.

Table 8.2 The investment fences, at a glance (general positions — verify against the SIS Act, regulations, and ATO guidance, current as at June 2026)

Rule	Source	The short version
Sole-purpose test	s62	Fund maintained solely for retirement/death benefits — the lens behind every other rule
In-house assets	s71 / s82, reg 13.13	Loans to / investments in / leases to related parties capped at 5% at 30 June — if over, a written s82 disposal plan must be prepared and acted on
Related-party acquisition	s66	Can't acquire assets (other than money) from a related party, except listed securities and business real property at market value
Arm's length / NALI	Tax law	Non-arm's-length dealings can tax the income at 45% — general expenses in scope since 1 July 2018, with the "twice the difference" calculation from the 2024 reform
Borrowing / LRBA	s67, s67A–C, PCG 2016/5	Borrowing banned except a limited-recourse arrangement (single asset, holding trust, repairs not improvements)

Collectables	s62A, reg 13.18AA	No personal use, lease to a related party, or home storage — insure in the fund's name within 7 days — independent valuer on a related-party sale
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Using AI on the rules — and where it stops

This is a chapter where AI can help turn dense rules into a checklist or summary, but every answer needs checking against the source legislation or ATO guidance — especially in this chapter. It can explain what counts as an in-house asset, restate the s66 exceptions, or summarise the conditions in reg 13.18AA, each with the section number so you can confirm it. What it can't do is tell you whether a particular asset belongs in your fund, or design an LRBA — those are investment and legal decisions for licensed professionals.

A safe prompt keeps the assistant on the factual side of the line and hands you something to verify:

You are helping me understand SMSF investment rules. Do not give me financial product advice or tell me what my fund should invest in.

Factually: what is the in-house asset rule, what counts as an in-house asset, and what is the 5% limit measured against? Give me the SIS Act sections and the relevant regulation so I can verify each point against the ATO website and the legislation. If anything is uncertain or moves over time, say so. Do not recommend a course of action — that's for a licensed adviser or a tax agent.

The assistant does the reading and points you to the source. You confirm it against the law, and any decision that turns on your fund's circumstances goes to a registered professional — a tax agent for NALI, a licensed adviser for investment strategy, a lawyer for an LRBA structure or a related-trust deed.

TIP

Run it in the lab: the situation `/practice?situation=hub:topics:in-house-assets` and the court-case situation `/practice?situation=capstone:aussiegolfa-sole-purpose-unit-trust` — a real sole-purpose and related-party unit-trust decision — pair with this chapter, and the learn chapter `/learn/related-party-in-house-collectibles` covers the same fences.

TIP

Next: every rule in this chapter leaves a paper trail — the rectification plan, the market-value working, the storage decision, the trustee resolution behind each purchase. Chapter 9 builds the record-keeping and minutes system that proves, year after year, that the fund stayed inside these fences.

09 Record-Keeping & Minutes From Day One

The paper trail is the fund

An SMSF lives or dies on its records. Not on how clever the investments were, or how diligent the trustees felt — on what they can show. When the auditor arrives each year, the fund has to be supported by records the auditor can test. This chapter sets out the two retention clocks the law runs, what a trustee minute actually is and which decisions need one, how an AI co-pilot can draft those minutes while you keep the one job it can't do, and the four failures I see most often. None of it is advice about your situation — it's how the record-keeping rules work.

The two retention tiers (5 years versus 10 years)

The law makes trustees keep records, and it runs two separate clocks. Five years for one set, ten years for another. Beginners tend to blur them into a single "keep everything" instinct, which mostly works — but the two tiers exist for a reason, and knowing which is which tells you what you can never throw out early.

The **five-year tier** sits in the SIS Act. Section 35AE requires trustees to keep accurate accounting records that explain the fund's transactions and financial position. Section 35B requires the fund's annual financial statements — the operating statement and the statement of financial position — to be prepared and signed each year and retained. These are the financial mechanics of the fund — the records that show, transaction by transaction, where the money came from and where it went, kept for at least five years from the date the record was made.

Table 9.1 The five-year records (SIS Act s35AE / s35B)

Record	What it is	Citation	Clock
Accounting records	Records that correctly explain the fund's transactions and financial position (receipts, payments, asset registers)	SIS Act s35AE	5 years
Annual operating statement	The fund's income and expenses for the year, prepared and signed each year	SIS Act s35B	5 years

Statement of financial position	The fund's assets and liabilities at year end, prepared and signed each year	SIS Act s35B	5 years
Copies of lodged annual returns and reports	The SMSF annual return and supporting statements as lodged	SIS Act s35AE	5 years
Records of benefit-payment decisions	Documentation of decisions to pay a benefit and how the amount was worked out	SIS Act s35AE	5 years

The **ten-year tier** sits mainly in the SIS Act, not in the regulations. The ten-year governance records sit in SIS Act s103 (trustee minutes and decision records), s104 (trustee-change records), s104A (trustee declarations), and s105 (member and beneficiary reports), with each member's written consent to act as trustee resting on s104A and s17A. These are the governance records — the documents that prove who ran the fund, what they decided, and that they were entitled to act at all. They're kept for ten years because they go to the legal integrity of the fund over its whole life — beyond a single year's numbers.

Table 9.2 The ten-year records (SIS Act s103–s105)

Record	What it is	Citation	Clock
Trustee meeting minutes and resolutions	Written evidence of decisions the trustees considered and made	SIS Act s103	10 years
Changes of trustees and members	Records of who was appointed or removed, and when	SIS Act s104	10 years
Members' written consents to act as trustee	Each member's consent to be a trustee or director	SIS Act s104A / s17A	10 years
Trustee declarations (NAT 71089)	The declaration each trustee/director signs within 21 days under s104A	SIS Act s104A	10 years
Member and beneficiary reports	The reports the trustees must give to members and beneficiaries	SIS Act s105	10 years
The investment strategy and its regular reviews	The written strategy plus the minute of each review	SIS Act s103	10 years

Audit reports sit slightly apart. Keep the approved SMSF auditor's report for each year with the fund's permanent audit file as a practical record, and verify the current ATO retention requirement before treating it as a statutory ten-year record. The governance records above are the ones the SIS Act puts on a ten-year clock.

You'll notice the two tiers overlap in spirit — both want the fund documented — but they catch different things. The five-year clock is the money story. The ten-year clock is the governance story. The trustee declaration and the investment strategy both sit in the ten-year tier, and both are the kind of single document people lose. The practical effect of having two clocks is one rule: hold the ten-year records for ten years, full stop, even after a year's financials are long settled.

NOTE

A note on the clocks: the periods are minimums, and where they start differs. The five-year financial clock runs from the date the record was made. For the governance records it varies: trustee declarations and member reports must be kept so long as they're relevant, and in any case for at least ten years. Minutes and trustee-change records run from the date of the decision or the change. Many trustees and administrators simply keep everything for the longer period digitally, because storage is cheap and reconstructing a lost record is not. The law sets a floor, not a ceiling — there's nothing stopping you keeping records longer, and good reasons to.

What a minute is, and which decisions need one

A trustee minute is the most misunderstood document in an SMSF, so it's worth being exact. A minute is **written evidence that a decision was genuinely considered and made** by the trustees. It records what the trustees turned their minds to, what they decided, and when. It is not a formality you backfill at audit time — it's the proof that the trustees actually exercised their duty to run the fund, rather than letting it drift.

A resolution is the decision itself — the minute is the record of it. In a small fund the two often live in one short document — a dated page that names the trustees present, states what was decided, and is signed. That's all a minute needs to be. Plain, dated, signed, and kept.

Not every act needs a minute. Routine processing — paying the audit invoice, receiving a regular contribution — generally doesn't. What needs one is any *decision* of substance, where the trustees are choosing a course for the fund. Some core decisions that call for a minute:

- **Adopting the investment strategy — and each regular review of it.** The covenant in s52B(2)(f) says trustees must "regularly review" the strategy — annually is the common, audit-friendly habit. The review is the part people skip, and it's the part auditors look for.
- **Acquiring or disposing of an asset.** Buying shares, selling a property, opening a term deposit.
- **Starting or commuting a pension.** Beginning a retirement-phase income stream, or stopping one.
- **Accepting significant contributions.** Particularly large or in-specie contributions where the trustees decide to accept them.

- **Related-party transactions.** Any dealing with a member or associate, where the arm's-length basis and the rule it satisfies should be on the record.
- **Making or recording a binding death benefit nomination.** The trustees' handling of a BDBN under the deed.
- **Paying a benefit.** The decision to pay a lump sum or pension and how the amount was determined.
- **Changes of trustee or member.** Appointing or removing a trustee, admitting or exiting a member.

The thread through all of these is that they're decisions an auditor — or a court, or a future trustee — might later need to see was actually made, and made properly. The minute is how the fund speaks for itself when the people who ran it aren't in the room. Estate planning is the sharpest example, and Chapter 10 returns to why a death benefit decision needs a clean paper trail.

TIP

The operating habit: write the minute when the decision is made, not when the auditor asks. A minute drafted in the moment, with the facts fresh, is accurate and dated correctly. A minute reconstructed eleven months later is a guess wearing a date — and an auditor can usually tell. Building the minute into the decision, rather than the audit, is the single habit that keeps a fund's governance clean.

AI drafts, the trustee signs

This is where an AI co-pilot earns its place. Drafting a minute is exactly the kind of factual, administrative writing the assistant is good at — and Chapter 3 set out why. You supply the decision the trustees made, with identifiers redacted, and the assistant turns it into a clean, dated minute with a signature block. It does the typing. It does not make the decision, and it does not sign.

That last point is the whole boundary. Signing a trustee minute is a **non-delegable trustee act**. The trustees — and only the trustees — can make and adopt a resolution of the fund. An accountant can prepare the numbers, an administrator can run the books, an AI can draft the words, but the act of deciding and signing belongs to the people the law made responsible. You can delegate the drafting all day long. You cannot delegate the deciding.

So the safe pattern is the one you've seen throughout this book: the decision exists first, the trustees made it, and the AI only converts it into a record. Here's a prompt that does that, with the guardrail baked in.

Draft a trustee resolution minute from these facts. Factual drafting only — do not give investment, financial, tax, or

legal advice, and do not recommend a course of action.

- Fund: "the Fund" (don't ask for the real name or ABN)
- Trustees present: Trustee A and Trustee B
- Date of meeting: [I'll fill in]
- Decision the trustees have already made: conduct the annual review of the fund's written investment strategy; the trustees considered risk and return, diversification, liquidity, the fund's ability to meet its liabilities, and whether to hold insurance for members, and resolved to keep the existing strategy unchanged
- Note that the decision was made by the trustees

Give me a plain, dated minute with a signature block. I will review it against our actual strategy, confirm it's accurate, and sign it. Flag anything a trustee should double-check before signing. Do not tell me whether the strategy is appropriate — that's a decision for the trustees and, where needed, a licensed adviser.

Read the guardrail carefully. It tells the assistant to draft only, names the five factors the strategy must address so the minute records that they were considered, and reserves both the decision and the sign-off to the trustees. The assistant produces a record of a decision already made. It never produces the decision.

NOTE

The advice boundary, on records: drafting and organising records is administrative work, and an AI can do plenty of it. But the moment the assistant's output starts *recommending* a course of action by reference to the member's circumstances — "given your age you should commute this pension," "the trustees should accept this contribution" — it has crossed from drafting into personal financial product advice (Corporations Act s766B(3)), and that needs a licensed, accountable human. A minute records what the trustees decided. It must never become the thing that tells them what to decide.

Records must survive the wind-up

Here's a fact that surprises people: closing the fund does not stop the clocks. When an SMSF is wound up — members roll out, the final return is lodged, the fund ceases — the five-year and ten-year retention periods keep running on every record the fund ever made. After a fund closes, its former trustees still need to retain the records for the remaining statutory period and produce them where the law requires, including to the regulator.

That matters because wind-up is exactly when records go missing. The fund's bank account is closed, the administrator's engagement ends, the trustees move on. If the documents weren't gathered and stored before the fund shut down, there may be no one left whose job it is to keep them. The ATO can still review a wound-up fund's final years, and a future dispute — an estate, a family-law matter, a beneficiary's claim — can still turn on what the fund decided while it was alive. The records have to outlive the fund.

WARNING

The wind-up trap: winding up a fund is the moment to consolidate its records, not discard them. The retention obligations don't end when the fund does — the clocks were already running and keep running, so the trustees (or former trustees) remain responsible for producing those records for the rest of the five- or ten-year period. Throwing out the minutes because "the fund's closed" can leave you unable to answer a regulator or a court years later. Gather everything into one durable, dated archive before the fund's accounts and engagements are closed off.

Worked examples — four record-keeping failures

The rules land harder through examples. These four are assumed-fact illustrations of how record-keeping goes right and wrong. They aren't advice about your situation, the facts are assumed, and none of these people is you — each ends with what the example illustrates.

Example 1 — The audit pack versus the shoebox

Wei runs a two-member fund with his wife Hua. Each June, as decisions are made through the year, he saves the minute, the contract note, or the statement into a dated folder. By audit time he hands his approved SMSF auditor a single indexed pack: the year's minutes, the strategy and its review minute, the bank statements, the asset records, the prior audit report. The auditor works through it in order and signs off.

Down the road, Karen runs a similar fund and keeps everything in a shoebox — receipts, a few emails, no minutes. At audit she dumps the lot and asks her auditor to "sort it out." Nothing in the box is illegal. The investments were fine, the contributions were within the caps, no rule was broken. But the auditor can't form an opinion from a pile of paper that doesn't evidence the decisions behind it. There's no minute showing the strategy was reviewed, no record of why a large contribution was accepted. The auditor raises queries, the audit drags, the fee climbs — and the auditor may end up issuing a modified opinion, not because something was wrong, but because there isn't *sufficient appropriate evidence* to show it was right. Under ASA 705 a modified opinion is either a *qualified* opinion, where the effects are material but not pervasive, or a *disclaimer* of opinion, where the effects are both material and pervasive — and a fund the auditor simply can't get evidence about can push the report towards the disclaimer end.

What this illustrates: an audit tests the evidence, not the trustees' good intentions. A clean fund with poor records can still hit a problem — a scope problem, where the auditor can't get enough evidence to give an unmodified opinion — even though nothing illegal happened. The difference between Wei and Karen isn't honesty. It's that one fund can prove what it did and the other can't.

Example 2 — The check-the-box strategy with no review

Sanjay set up his fund's investment strategy on day one using a template. It ticked the boxes — risk and return, diversification, liquidity, liabilities, insurance — and then sat untouched in a drawer for three years. The fund's actual holdings drifted heavily into a single asset over that time. When the auditor asked for the minutes of the annual strategy reviews, there weren't any. The strategy had been adopted once and never revisited.

The strategy itself wasn't the failure — a concentrated fund isn't automatically non-compliant if the concentration is genuinely considered, documented, and reviewed. The failure was the missing review. The covenant in the SIS Act requires trustees to *regularly review* the strategy, and reg 4.09 sets out the factors it must address. A strategy adopted and forgotten is evidence the trustees stopped turning their minds to the fund. The auditor flags it, and Sanjay has nothing to show that the drift was ever a considered decision.

What this illustrates: adopting a strategy is the start of the obligation, not the end of it. The annual review minute is what proves the trustees kept considering the required factors as the fund changed. A check-the-box strategy with no review trail is a common audit query — and whether the underlying concentration is acceptable is a question for the trustees, with a licensed adviser where the choice turns on their circumstances.

Example 3 — The missing trustee declaration

When the Okafor family added their adult daughter Ada as a member and trustee, everyone signed the deed paperwork — but Ada never completed the ATO trustee declaration (NAT 71089). The declaration is required under SIS Act s104A, must be signed within 21 days of becoming a trustee, and is a ten-year record. Two years later, the fund's auditor asked to see the declaration for each trustee. Ada's wasn't there, and it was now well outside the 21-day window.

A missing or late trustee declaration is a contravention the auditor must consider reporting, and it can trigger ATO attention on the fund — not because the fund's investments were bad, but because a basic governance obligation was missed and the record that would have proved otherwise doesn't exist. The 21-day clock can't be wound back — once it's missed, it's missed.

What this illustrates: some records are single-event documents with a hard deadline, and the trustee declaration is the classic one. Missing it is an audit trigger in its own right — a governance failure the records were supposed to prevent. The fix isn't a clever reconstruction — it's making the declaration part of the appointment checklist so it's never missed in the first place.

Example 4 — The commingled bank account

Cara, busy and well-meaning, paid a fund expense from her personal account one month "to sort out later," and let a tenant's rent for the fund's property land in her own account twice. The amounts were small and she always intended to square them up. But the fund's money and her money had mingled, and the records no longer cleanly separated the two. At audit, the auditor couldn't trace each fund transaction to the fund's own account, because some of them never went through it.

Keeping fund money separate from personal money is a core requirement. SISR reg 4.09A is the operative rule: fund money and assets must be kept separate from the trustees' personal money and assets, and the records should show that separation clearly. Good records do more than prove the separation — they reinforce it. Where the records show every fund receipt and payment against the fund's own account, there's no quiet space for a personal account to do the fund's work. Cara's commingling was a separation failure that records built around reg 4.09A would have surfaced early, because keeping the two streams visibly apart is itself the control.

What this illustrates: record-keeping isn't only about proving what happened after the fact — done properly, it surfaces the breach early. The separation of fund and personal money is the reg 4.09A rule the records exist to uphold, and a commingled account is the failure that clean, clearly separated records would have shown long before the auditor did.

The discipline, in one place

Put the four examples together and the chapter's rule is plain. Keep the five-year financial records and the ten-year governance records, knowing which clock runs on each. Write a minute whenever the trustees make a real decision — and write it then, not at audit. Let your AI co-pilot draft the minute from facts you give it, redacted, but never let it decide and never let it sign, because signing is the trustees' alone. Keep the records past the fund's own life, because the clocks don't stop when the fund does. Do that, and the fund can always speak for itself. Skip it, and a clean fund can still fail an audit on evidence it never kept.

TIP

Run it in the lab: `/practice?situation=hub:topics:records-minutes` is this chapter as a guided situation, `/practice?scenario=11-commingled-account-caught-mid-pipeline` is Example 4 executed as a pipeline that halts on the breach, and the learn chapter `/learn/records-minutes-retention` covers the two retention clocks.

TIP

Next: with the paper trail in place, Chapter 10 turns to the records that matter most when a member dies — the estate-planning basics. It covers why super doesn't pass through your will, the two meanings of "dependant" that decide who can receive a death benefit and how it's taxed, and why a binding death benefit nomination in an SMSF lives or dies by the trust deed.

10 Estate Planning Basics: Death Benefits & Nominations

Super doesn't go in your will — make sure it goes where you want

Most people assume their super follows their will. It doesn't — not automatically, and sometimes not at all. Super sits in a trust, and on death the trustee decides where it goes, inside rules that surprise many people the first time they meet them. This chapter explains how a death benefit is paid, who can receive it, how it's taxed, and why a binding nomination only works if it matches your fund's deed. None of it is advice about your estate — these are legal and tax documents, and the chapter says plainly where a lawyer and a licensed professional take over.

Super is not in your will

Start with the fact that catches people: your superannuation is generally *not* an asset of your estate. Your will controls the things you own — your home, your bank accounts, your shares held in your own name. Your super is held in trust inside the fund, and isn't yours in the way those assets are. So your will, on its own, doesn't direct it.

When a member dies, the law requires the member's interest to be **cashed** as a death benefit. It can be paid in only two directions: to one or more of the member's **SIS dependants**, or to the member's **legal personal representative** — the executor or administrator of the estate, the "LPR." The two routes differ in form:

- A **death-benefit pension** (an income stream the survivor keeps drawing) can only be paid to a *dependant*. The LPR cannot receive a pension.
- The **LPR can only receive a lump sum**. Money paid to the estate then passes under the will, to whoever it names — including people who are not super dependants at all.

That second route is how super reaches your will — the trustee pays a lump sum to your estate, where the will takes over. The headline that trips people: writing "I leave my super to my children" in your will does nothing on its own. The fund decides, under its deed and the law — unless you've put a valid binding nomination in place.

NOTE

Definition — the legal personal representative (LPR): the executor named in your will, or the administrator appointed if there's no will. A death benefit paid to the LPR goes into the estate and is distributed under the will. This is the only way super follows your will — and it's a lump sum only, never a pension.

Two meanings of "dependant" — and the adult-child trap

Here's a common and costly trap. The word "dependant" means two different things in super, and they answer two different questions. One decides *who may receive* the money. The other decides *how it's taxed*. They overlap, but they are not the same list — and the gap between them is where a large tax bill that professional planning may reduce lives.

A **SIS dependant** — defined in the SIS Act (s10, with the interdependency limb in s10A) — answers the *receiving* question. It includes your spouse, your child *of any age*, a person in an interdependency relationship with you, and a person financially dependent on you. Note the child limb: for who may receive a death benefit, a child counts at **any age**, including a fully grown, independent adult.

A **tax dependant** — defined in the Income Tax Assessment Act 1997 (s302-195) — answers the *taxing* question, and is narrower. It includes your spouse or former spouse, a child **under 18**, a person in an interdependency relationship, and a person genuinely financially dependent on you. The critical difference is the child: an adult child who isn't financially dependent on you is a SIS dependant (so they may receive the benefit) but *not* a tax dependant (so the benefit is taxed in their hands).

Table 10.1 The two "dependant" tests — who may receive versus how it's taxed

Person	SIS dependant? (may receive)	Tax dependant? (received tax-free)
Spouse or de facto partner	Yes	Yes
Child under 18	Yes	Yes
Adult child, not financially dependent	Yes	No
Person in an interdependency relationship	Yes	Yes
A genuine financial dependant	Yes	Yes
The estate (via the LPR)	Paid to the LPR, not a "dependant" — tax depends on who ultimately benefits	Taxed by "look-through" to the beneficiaries of the estate

The adult-child trap is the practical consequence of that one mismatched row. A parent nominates an independent adult child, the fund pays them — valid under the SIS dependant test — and the child meets a tax bill the parent never saw coming, because the child isn't a tax dependant. The benefit was payable. It just wasn't tax-free. The next section puts numbers on it.

NOTE

Why this matters: the receiving test and the taxing test sit in different Acts, written for different purposes. A nomination can be perfectly valid and still trigger tax, because "valid to receive" (SIS Act) and "received tax-free" (ITAA 1997) are separate questions. Whether either applies to your family is a question for a licensed professional who can see your actual circumstances.

How death benefits are taxed

The tax on a death benefit turns on two things: *who* receives it (tax dependant or not), and *what it's made of*. The **tax-free component** (broadly, after-tax money you put in) is always tax-free to anyone. The **taxable component** is where the work is — splitting into a **taxed element** (the ordinary case) and an **untaxed element** (which can arise where the fund claimed a deduction for life-insurance premiums and an insured amount is paid out).

The rule, at the level this book operates:

- **To a tax dependant** — the whole death benefit is **tax-free**, lump sum or pension (a pension to a dependant has its own rules once both are 60 or over).
- **To a non-tax-dependant, as a lump sum** — the tax-free component is still tax-free, the **taxed element** of the taxable component is taxed at **up to 15%**, and any **untaxed element** at **up to 30%**. These are maximums set by ITAA 1997 Div 302 and applied through a tax offset, so a beneficiary on a lower marginal rate pays the lower amount. The Medicare levy applies where the benefit is paid **directly** to the non-dependant, but not where it is paid **through the estate** (to the legal personal representative). Where you see "17%" or "32%" quoted, those are simply the 15% and 30% rates plus the 2% Medicare levy that applies on a direct payment to the individual — they are not separate rules.

Table 10.2 Death-benefit lump-sum tax by recipient and component (as at June 2026 — verify the current rates and Medicare treatment with the ATO)

Component	To a tax dependant	To a non-tax-dependant (e.g. an adult child)
Tax-free component	Tax-free	Tax-free
Taxable — taxed element	Tax-free	Up to 15% (plus Medicare where applicable)

Taxable — untaxed element	Tax-free	Up to 30% (plus Medicare where applicable)
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One point of language to clear up, because some older summaries phrase it loosely. The "low-rate cap" — around **\$260,000** for 2025–26 — applies to certain *lifetime* lump sums a member draws between preservation age and 60. A **death-benefit** lump sum to a non-dependant is taxed differently: the taxed element at up to 15% with no low-rate cap, the untaxed element at up to 30%. Don't assume a \$260,000 tax-free buffer applies to a death benefit — it's a different figure for a different situation, and the exact treatment is a job for a registered tax agent or a licensed adviser working from real numbers.

The shape to remember: to a spouse or a young child, tax-free. To an independent adult child, the taxed element carries a bill of up to 15% (plus Medicare if paid directly). Confirm the current figures with the ATO before anyone relies on it.

Binding death benefit nominations — and why the deed governs

A **binding death benefit nomination** (BDBN) takes the decision out of the surviving trustee's hands and binds the fund to pay your death benefit as you've directed. In a large APRA fund, BDBNs are governed by a regulation — **SIS Reg 6.17A** — which, among other things, requires the nomination to be witnessed by two people and refreshed every three years unless it's a permitted non-lapsing form.

Here is the part that catches even experienced advisers off guard: **Reg 6.17A does not apply to SMSFs**. The High Court settled this in *Hill v Zuda* [2022] HCA 21. For an SMSF, the BDBN rules are in the **trust deed**. What makes a nomination valid, how it must be signed and witnessed, whether it lapses or is non-lapsing — all of that is whatever the deed says.

Two consequences follow, pulling opposite ways:

- **An SMSF can have a valid non-lapsing BDBN** — one that never needs refreshing — if the deed permits it. That's a genuine planning advantage over the standard three-year APRA form. Some deeds allow it.
- **A nomination that fails the deed's own formalities is invalid** — even if it would have satisfied Reg 6.17A. Get the witnessing wrong, miss a step the deed requires, or use a form it doesn't recognise, and the document does nothing. The trustee falls back to the deed's default, which may be the opposite of what you wanted.

There's a second way a nomination fails: naming someone who can't receive. A BDBN can only direct the benefit to a SIS dependant or to your LPR. Name anyone else — a friend, a non-dependant sibling, a charity directly — and that part is invalid, because the fund was never able to pay them.

WARNING

The trap that defeats the whole plan: a do-it-yourself or template BDBN that doesn't match *your* deed is worse than no plan, because it gives false comfort. People sign one, file it, and assume their super is settled. If it fails the deed's formalities — or names someone who isn't a dependant or the LPR — it's invalid, and the benefit is decided by whoever controls the fund after you're gone. Have a qualified lawyer **draft** the nomination and **validate** it against the current deed.

Reversionary pensions and the survivor's cap

A **reversionary pension** is the other main tool, and it works differently from a BDBN. You nominate the reversionary beneficiary *when the pension starts* — it's built into the income stream. On your death, the pension **automatically continues** to that person, who must be a dependant, without the trustee deciding anything. For a couple, that continuity is the appeal: no gap, no trustee discretion, no re-paperwork at the worst possible time.

But a continuing pension lands inside the survivor's own retirement-phase limits. Recall the **transfer balance cap** — the lifetime limit on how much you can move into the tax-free retirement (pension) phase. The general cap is **\$2.0 million** for 2025–26, indexing to **\$2.1 million from 1 July 2026** (personal caps are indexed proportionally — verify your own figure with the ATO).

When a reversionary pension continues to a survivor, it creates a **credit in the survivor's transfer balance account**. Two details matter:

- The credit is measured at the **value of the pension on the date of death** — not the value a year later.
- The credit is **recorded 12 months after the death**. That delay is deliberate: it gives the survivor a year to reorganise their own pensions — for example, commute part of an existing pension back to accumulation — so the inherited pension doesn't tip them over their cap.

If the survivor already has pensions close to their own cap, an inherited pension can push the combined amount over it. The excess has to come out of retirement phase, with an excess-transfer-balance liability attached. The 12-month window is the room the law gives to fix it — but using it well needs a calculation done in advance, across both members' balances.

NOTE

BDBN or reversionary — they can clash. A pension can be reversionary *and* be covered by a BDBN, and if the two point in different directions the result can be disputed. Which instrument prevails depends on the deed and how each was drafted. That's exactly the kind of interaction a lawyer untangles before death, not after — and a reason not to set up either in isolation.

Worked examples and the legal-boundary message

These five are assumed-fact illustrations of how the rules bite — not advice, and none of these people is you. Each ends with what it illustrates.

The adult-child tax bill. Daniel, a widower, dies at 71 with \$900,000 left in his SMSF. His only child, Olivia, is 40, employed, and financially independent. Assume the whole \$900,000 is a taxable component made up entirely of taxed element (Daniel made no after-tax contributions). Olivia is a SIS dependant — a child of any age — so the fund pays her a lump sum. But she is not a *tax* dependant, because she's an independent adult. The taxed element is taxed at 15%: **\$135,000**. Had Daniel's spouse survived and received the same \$900,000, it would have been tax-free. *What this illustrates:* the gap between the two "dependant" tests can put a five- or six-figure tax cost on the same dollars, depending only on who receives them. Whether a "re-contribution" approach (which can lift the tax-free component during the member's life) or paying via the estate changes the outcome is a calculation for a registered tax agent and a licensed adviser, working from real figures.

Hill v Zuda — the deed governs, not the regulation. In *Hill v Zuda* [2022] HCA 21, a dispute reached the High Court over whether an SMSF's binding nomination was invalid for not complying with SIS Reg 6.17A — including its witnessing and three-year requirements. The Court held that **Reg 6.17A does not apply to SMSFs at all**. The validity of the nomination was governed by the fund's trust deed — not the regulation. *What this illustrates:* for an SMSF, the deed is the source of truth for death-benefit nominations. A nomination drafted to satisfy the APRA-fund regulation, rather than the actual deed, tests the wrong rulebook. Validating a BDBN against the current deed is a lawyer's job.

Munro v Munro — a nomination that wasn't binding. In *Munro v Munro* [2015] QSC 61, a member completed a nomination intending it to bind the trustee. The deed set out specific requirements for a binding nomination, and the document didn't meet them — among other defects, it referred to a "trustee" of the will rather than directing the benefit as the deed required. The court held the nomination was **not binding**. The surviving trustee was therefore free to decide where the benefit went — and did so in a way the deceased had not intended. *What this illustrates:* failing the deed's

formalities doesn't make a nomination merely weaker — it can make it ineffective entirely, handing the decision to whoever then controls the fund. The defect was in the drafting, which is why drafting belongs with a lawyer.

Wooster v Morris — the conflicted controlling trustee. In *Wooster v Morris* [2013] VSC 594, a member had made a binding nomination in favour of his daughters from an earlier relationship. After his death, control of the SMSF passed to his surviving spouse as the remaining trustee — the very person whose interests pulled against paying the daughters. Litigation followed. *What this illustrates:* a valid nomination still has to be administered by whoever controls the fund after death, and if that person has a competing interest, conflict and cost can follow. Who controls the SMSF after a member dies — through the corporate trustee's shares or the appointment of replacement trustees — is part of the estate plan. A lawyer maps that succession alongside the nomination.

A reversionary pension over the cap. Diane and Brian each run a pension in their joint SMSF. Diane already has \$1.7 million supporting her own pension. Brian's pension, worth \$1.6 million at his death, is reversionary to Diane. When it continues to her, it creates a credit in her transfer balance account measured at the \$1.6 million death value — recorded 12 months after Brian dies. Added to her \$1.7 million, that's \$3.3 million against a general cap of \$2.1 million from 1 July 2026 (verify the year's figure with the ATO). The excess must leave retirement phase. *What this illustrates:* a reversionary pension delivers automatic continuity but can breach the survivor's transfer balance cap, and the 12-month recording window is the time the law allows to act — for instance, by commuting part of a pension back to accumulation. Using that window correctly is a calculation a licensed adviser runs in advance, across both members' balances.

The thread through all five is the same. Death-benefit planning sits where three things meet: super law (who may receive), tax law (how it's taxed), and the trust deed (what makes a nomination valid). A BDBN and the deed it must satisfy are **legal documents** — have a qualified lawyer draft and validate them. The tax and transfer-balance-cap outcomes warrant advice from a registered tax agent or a licensed financial adviser. An AI co-pilot can help you *prepare* — assemble the facts and draft a question list — but it can't draft a binding nomination, tell you who to leave your super to, or validate a deed. A safe way to use it looks like this:

You are helping me understand SMSF death-benefit rules so I can brief a lawyer and a financial adviser. Do not give me personal or legal advice, and do not tell me who to nominate.

Factually, explain the difference between a "SIS dependant" (who may receive a death benefit) and a "tax dependant" (how it's taxed), with the Acts and section numbers, so I can verify each against the ATO and the legislation. Then draft a list of questions I should ask a lawyer about validating a binding

nomination against my fund's deed. Don't recommend a course of action — that's for the lawyer and the licensed adviser.

Verify every figure and section it gives you against the ATO and the legislation before you rely on it. The nomination itself, and the deed it has to match, are not documents to generate from a template — getting either wrong can defeat the plan.

TIP

Run it in the lab: `/practice?scenario=05-margaret-s-reversionary-credit` walks the survivor's-credit mechanics from this chapter, the capstone `/practice?situation=capstone:estate-composite` runs the composite estate case, and the learn chapter `/learn/death-benefits-bdbn` teaches the nomination rules.

TIP

Next: estate planning is the long-horizon obligation. Chapter 11 turns to the obligations that come round every year — the independent audit you can't skip, the annual return and its deadline tiers, the supervisory levy, and the order it all has to happen in.

11 The Annual Obligations

The audit, the return, and the deadlines

Every year, a self-managed fund has to prove it played by the rules. There's an independent audit, an annual return to the ATO, a flat levy, and a set of deadlines that catch people who guess instead of checking. This chapter walks the annual cycle in the order it has to happen. None of it is advice about your fund — it's the obligations the law puts on the people running one, and what an auditor actually looks at.

The independent audit — the one party you can't skip

Some trustees operate without ongoing accounting, administration, or financial-advice support, but the audit requirement remains. There is one outside party you can't do without, and the law makes that explicit. Under the SIS Act, every SMSF must be audited each year by an approved auditor before its annual return is lodged — the obligation sits in **section 35C**. It applies whether the fund made money or lost it, and it applies even if the fund did almost nothing all year. A nil-activity fund still gets audited.

"Approved" isn't a loose word here. An SMSF auditor has to be registered with ASIC under **section 128B** of the SIS Act, and on registration they're issued a unique **SMSF Auditor Number** — the SAN. That number follows the auditor onto every fund they sign off, and it goes onto the fund's annual return. Anyone signing an SMSF audit without that registration is acting outside the law, and a return that carries an invalid or fictitious SAN is a problem in its own right. Before you appoint anyone, their registration can be confirmed on ASIC's register of SMSF auditors — ASIC's register is the public way to confirm registration.

The auditor does two jobs, and the report is split to match. **Part A** is the financial audit — does the fund's financial position fairly reflect its records. **Part B** is the compliance audit — did the trustees meet their obligations under the super law. Part B is the one beginners underestimate, because it's where the auditor tests the fences this book has spent ten chapters describing: the sole-purpose test, separation of assets, in-house assets, related-party dealings, the investment strategy. The audit isn't a tax check. It's a yearly examination of whether the fund stayed compliant.

Table 11.1 The two halves of the SMSF audit report

Part A — financial audit	Part B — compliance audit
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The question it answers	Do the fund's financial statements fairly reflect its records and position?	Did the trustees comply with the relevant super law during the year?
What the auditor examines	Account balances, valuations, member balances, the operating statement	The sole-purpose test, separation of assets, in-house assets, related-party dealings, the investment strategy
If something's wrong	The report can be qualified on the financial figures	A reportable contravention triggers an Auditor Contravention Report to the ATO

NOTE

Definition — approved SMSF auditor: a person registered with ASIC under SIS Act s128B to audit self-managed super funds, holding a unique SMSF Auditor Number (SAN). The audit they sign covers both the fund's financial statements (Part A) and its compliance with the super law (Part B). It's the one external sign-off a plain fund cannot lodge its return without.

Independence — why the preparer can't also audit

The audit is only worth something if the person doing it is genuinely independent of the work they're checking. That principle is built into the professional standard auditors are bound by — **APES 110**, the Code of Ethics for Professional Accountants — and it has a hard edge for SMSFs. APES 110 independence rules mean an auditor generally cannot audit financial statements prepared by the auditor or the auditor's firm, because that creates a self-review threat. You can't mark your own homework, and an auditor who built the figures can't then independently opine on them.

This changed how many small practices structured SMSF work, because a common small-practice model was for one accounting firm to do everything — prepare the accounts and sign the audit. The practical upshot for a trustee is simple. If the same firm prepares your fund's financial statements, a different, independent SMSF auditor has to sign the audit. Many accounting firms now refer their SMSF audits out to a separate auditor for exactly this reason.

ASIC takes the independence rule seriously enough to act on it. The regulator has disqualified and cancelled the registration of auditors who breached independence requirements — including auditors who signed off on funds connected to their own firm. The point isn't to frighten you — it's to explain why your accountant might tell you they can't be your auditor. That's not them passing the buck. That's the law working as intended.

WARNING

The independence trap: "my accountant does my fund's accounts, so they may as well do the audit too" is the breach. Under APES 110, the firm that prepared the financial statements generally can't audit them. An audit signed by the preparer isn't independent — and an auditor who does it risks disqualification by ASIC. The compliant structure is a separate, independent approved SMSF auditor, with registration checkable on ASIC's register.

Choosing and appointing the auditor — and the 45-day rule

The trustees appoint the auditor, and the law puts a timing obligation on them. The auditor must be appointed **at least 45 days before the day the fund's annual return is due**. That window exists so the auditor has time to do the work properly rather than rubber-stamping a fund the day before lodgement. Leaving the appointment later than that 45-day mark means the trustees have missed a legal deadline — and a rushed audit serves nobody.

Once appointed and given everything they need, the auditor has their own clock. They must complete the audit and give the trustees the report — the audit report — **within 28 days of receiving all the documents** they asked for. That "all the documents" condition matters: the 28 days don't start until the auditor has the complete pack. A fund that dribbles records to its auditor in pieces is the fund whose audit runs late, and the delay traces back to the trustees, not the auditor.

Cost varies with complexity, and Chapter 12 deals with it properly. As an indicative, market-observed guide rather than an ATO or ASIC figure, a routine fund's audit fee sits in the order of \$300–700, with more complex funds (property, borrowing, related parties) costing more — verify the current market and any quote, because these move. The thing that doesn't move is the appointment obligation and the auditor's 28-day reporting clock. Both belong to the timetable, and both run off the annual return's due date — which is the next thing to pin down.

TIP

A safe AI use: ask your co-pilot to build a dated audit timetable working *backwards* from a return due date you give it — when the 45-day appointment deadline falls, and a sensible date to have the records pack ready so the auditor's 28-day clock can start. Try: *"I'll give you my SMSF's annual return due date. Working backwards, tell me the latest date the auditor must be appointed (45 days before due) and suggest when the document pack should be ready. Factual scheduling only — don't tell me which auditor to use or whether my fund is compliant."* It does the date arithmetic. You confirm the due date against the ATO and pick the auditor yourself.

The annual return and its deadline tiers

The fund's yearly lodgement to the ATO is the **SMSF Annual Return** — the SAR. It's more than a tax return. It rolls the fund's income tax, its fund details, the member contribution reporting, and the supervisory levy into one lodgement, and it carries the auditor's SAN as proof the audit was done. You can't lodge it honestly until the audit is complete, which is why the order in the next section matters so much.

The part that catches first-year trustees is the *due date*, because there isn't one date — there are several typical categories, and which one a fund falls into depends on its history and how it lodges. The categories below are the typical ones under the current ATO lodgement program. They're set by the ATO's lodgement program each year and can change, so the dates here are a guide to the structure, not a date to bank on — the responsible step is to verify the fund's actual due date with the ATO for that fund's circumstances (a tax agent reads this routinely).

Table 11.2 Typical SAR lodgement-date categories under the current ATO lodgement program — verify the fund's actual due date with the ATO

Due date	Which funds it typically applies to
31 October	A fund lodging its <i>first</i> return itself (a first-year self-preparer), plus funds the ATO reviewed at registration or with overdue prior-year returns
28 February	A new SMSF lodging its first return through a tax agent, and all ongoing funds that lodge their own return (ongoing self-preparers)
15 May	Ongoing funds lodging through a tax agent — the general agent date
5 June	A concessional final date if the return is lodged and any tax paid on time

The mistake the categories set up is easy to make. A trustee preparing the fund's own return hears "the SMSF date is 15 May," assumes that's their date, and relaxes — when an ongoing self-preparer is on the **28 February** date instead, because 15 May is the date for funds lodging through a tax agent. The two dates are months apart. The only reliable way to know a fund's date is to verify it with the ATO for that fund's circumstances, not to borrow a number from a friend's fund or a forum.

WARNING

Why the date isn't optional: lodging the SAR late isn't a paperwork slip. A fund that doesn't lodge on time can have its *complying* status put at risk — and a fund made **non-complying** has the **45 per cent** non-complying rate applied to its assessable income (assessable contributions and earnings). The consequences can be severe. If lodgement failures continue, the ATO may remove the fund's regulation details from Super Fund Lookup. That can stop employers and APRA-regulated funds from verifying the SMSF for contributions or rollovers until the ATO restores the fund's status. The date is an obligation, and missing it carries real consequences for the fund.

The supervisory levy

The ATO charges a flat annual **supervisory levy** to fund its oversight of the SMSF sector. As at June 2026 it's **\$259 a year**. Two features of it trip people up. First, it's paid a year *in advance* — the levy you pay with this year's return covers the ATO's supervision for the year ahead. Second, because of that in-advance design, a *newly registered* fund effectively pays two years at once with its first return: the year just gone plus the year ahead, which is why a new fund's first levy is **\$518**.

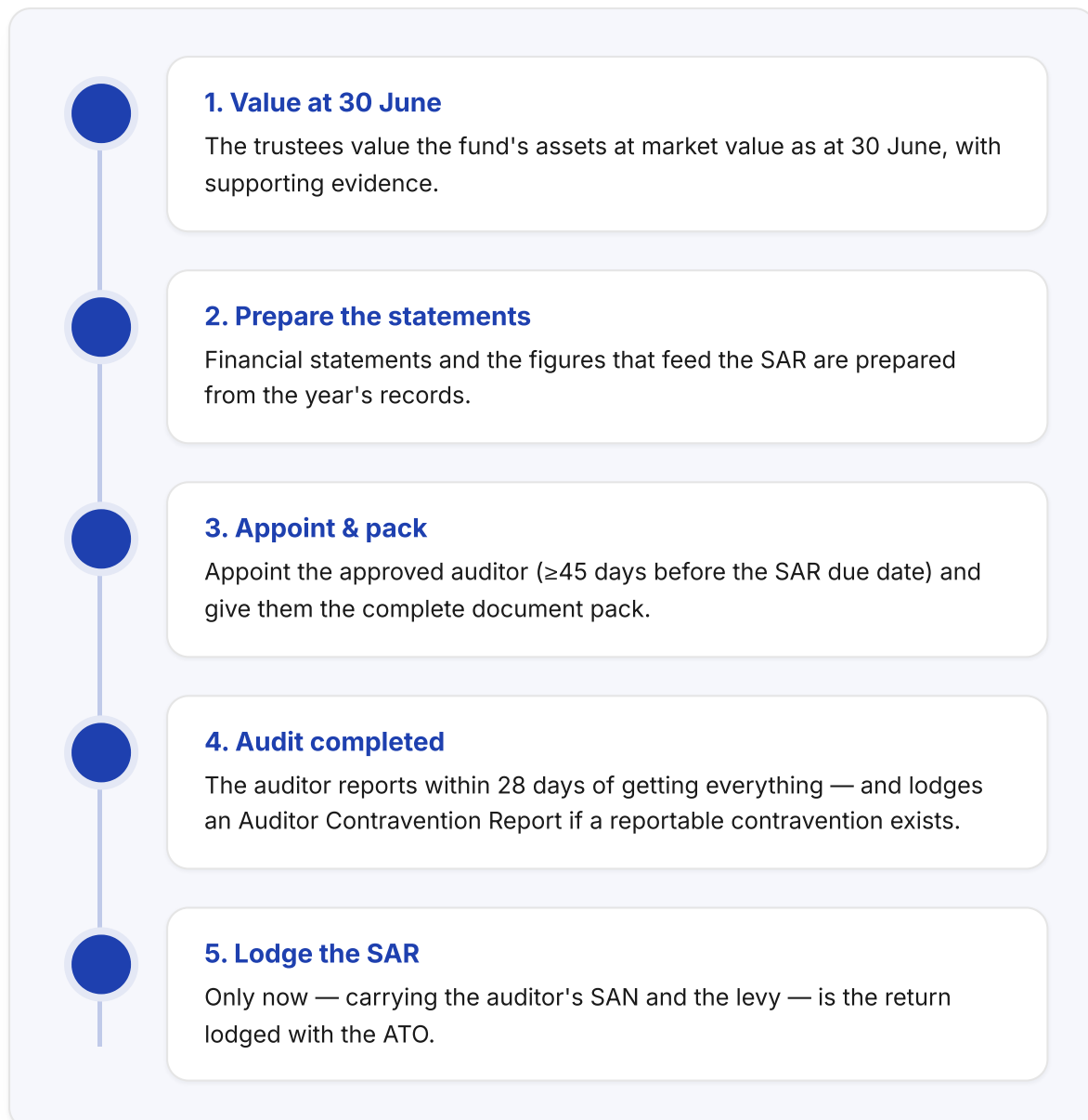
The levy is collected through the SAR — it's a line on the return, not a separate bill — and it's payable whether or not the fund owes any income tax. A fund that earned nothing, or made a loss, still pays the levy. It's the price of being a regulated SMSF, flat and unavoidable, and it's one of the three lines in the unavoidable cost floor from Chapter 1. Like every ATO and ASIC figure in this book, it can be adjusted, so confirm the current amount on the ATO's site rather than treating \$259 as permanent.

Table 11.3 The supervisory levy at a glance (as at June 2026 — verify the current amount with the ATO)

Situation	Levy payable with the SAR	Why
Established, ongoing fund	\$259	One year, paid a year in advance
Newly registered fund, first return	\$518	The first year plus the year ahead, collected together
Fund with nil income or a loss	\$259 (or \$518 if first year)	Payable regardless of any tax outcome

The sequence — and what auditors most often report

The annual obligations only work in one order. Each step feeds the next, and skipping ahead — especially lodging before the audit is done — is itself a problem. Here's the sequence the year actually runs in:



The hinge in that chain is step 4 into step 5. The audit comes *before* lodgement, because the SAR reports the audit and carries the auditor's SAN. Lodging the return before the audit is complete means lodging something you can't yet stand behind — the figures aren't audited and the compliance sign-off doesn't exist. For lodgement purposes, the audit must be complete before the SAR is lodged.

Step 4 hides one more mechanism worth understanding. If the auditor finds a contravention of the super law that meets the ATO's reporting criteria, they must lodge an **Auditor Contravention Report** — an ACR — with the ATO, generally within 28 days of completing the audit where a reportable contravention is identified. That's the auditor's independent duty, and it runs to the ATO directly, not through the trustees. If there is no reportable contravention, the auditor does not lodge an ACR. A reportable breach means the auditor lodges one whether the trustees like it or not. It's the clearest illustration of why the auditor is independent: they report on the fund, not for it.

So what do auditors most often have to report? The ATO publishes the patterns each year, and the same offenders recur. The most commonly reported contraventions tend to be:

- **Loans or financial assistance to members or relatives** — using fund money to lend to, or prop up, a member or their family. This is prohibited outright by **SIS Act s65**, and it's consistently among the top reported breaches.
- **In-house assets over the 5% limit** — too much of the fund tied up in assets connected to related parties, breaching the limit in **s71** (with s82 and reg 13.13 around it).
- **Separation of assets** — fund assets not kept distinct from members' or related parties' personal assets, the commingling problem from Chapter 2.

That's the short list of the usual suspects, not the full catalogue of what can be reported. The thread running through all three is the same one that runs through the whole book: the fund's money and assets exist for retirement benefits, kept separate, at arm's length from the people who run it. The audit is the yearly test of whether that held.

NOTE

The advice boundary here: the audit is independent *by law*. The trustees prepare the fund and its records. The approved auditor opines on them and, if a reportable contravention exists, lodges the ACR with the ATO — that's the auditor's call, not the trustees'. Preparing and lodging the SAR for a fee is a registered-tax-agent service (TPB-registered — check the TPB register). And advising a member to start a pension, make a contribution, or change a strategy is personal financial advice that belongs with a licensed adviser. The auditor opines — they don't advise the trustees on what to do next.

Four trustees, four lessons

The cycle is easier to feel through examples. These four are assumed-fact illustrations of how the annual obligations bite — not advice, and none of these people is you. Each ends with what it illustrates.

The date that wasn't 15 May. Bridget, 41, runs an established single-member fund and prepares its annual return herself rather than using a tax agent. She's read that "the SMSF lodgement date is 15 May," so she pencils that in and turns to other things. But 15 May is the date for funds lodging through a tax agent — an ongoing self-preparer like Bridget is on the **28 February** date instead. She lodges in April, more than a month late, and the late lodgement puts the fund's complying status at risk and draws ATO attention. *What this illustrates:* the SAR due date is set by the fund's circumstances under the current ATO lodgement program, not by a single number that applies to everyone. Assuming the tax-agent date when you prepare your own return is how trustees lodge

late — and late lodgement is the kind of failure that can threaten a fund's complying status, with a non-complying fund having the 45 per cent rate applied to its assessable income. The factual step is to verify the fund's own due date with the ATO (or have a registered tax agent do it).

The 45-day squeeze. Hana and Tariq run a two-member fund with a 15 May return due date. Busy with work, they leave appointing the auditor until late April — under three weeks before the return is due. The auditor needs the full records pack to start the 28-day clock, and the trustees are still gathering bank statements and the property valuation. The audit can't realistically finish, be reviewed, and feed a lodged return inside the window. *What this illustrates:* the law requires the auditor to be appointed at least 45 days before the SAR is due, and the auditor's 28-day report clock only starts once they have everything. Booking the auditor too late, or handing over an incomplete pack, compresses a timetable that was designed not to be compressed — and the delay traces back to the trustees. The obligation is on the trustees to appoint in time and provide a complete pack, not on the auditor to work miracles.

Clean versus qualified. Two funds reach audit in the same week. The Olsen fund's records are tidy: a fund-only bank account, dated minutes, a current investment strategy, market valuations with evidence. The auditor issues an unqualified report — no contraventions, no ACR. The Becker fund looks similar on paper, but during the year a trustee lent \$20,000 of fund cash to his adult son to cover a shortfall, intending to pay it back. That's financial assistance to a relative, prohibited by **s65**. The auditor can't ignore it: it's a reportable contravention, so the auditor qualifies the report and lodges a mandatory **Auditor Contravention Report** with the ATO. *What this illustrates:* the difference between a clean fund and a contravention isn't the quality of the paperwork — it's whether a breach occurred. A genuine breach of a core rule like s65 triggers the auditor's independent duty to report to the ATO, regardless of the trustee's good intentions or plan to repay. The auditor opines and reports — what the ATO does next, and any rectification, is a separate process the trustees would take to a registered professional.

The accountant who couldn't sign. The Tran family fund has used the same suburban accounting firm for years to prepare its accounts and financial statements. Approaching their first SMSF year-end, they ask the firm to "just do the audit too, to keep it simple." The firm declines — and explains why. Under **APES 110**, the firm that prepared the fund's financial statements generally can't independently audit them. The firm refers the audit to a separate approved SMSF auditor, whose SAN the Trans confirm on ASIC's register. *What this illustrates:* auditor independence is a professional and legal requirement, not a courtesy. The preparer of the accounts can't sign the audit, which is why the audit so often goes to a different firm. An accountant declining to audit a fund they keep the books for is the rule working — and ASIC has disqualified auditors who ignored it.

The annual rhythm, in one place

Put the pieces together and the year has a shape you can plan around. The trustees value the fund at 30 June and get the records and statements in order. They appoint an independent, ASIC-registered approved SMSF auditor at least 45 days before the return is due, and hand over a complete pack so the auditor's 28-day clock can run. The auditor opines on Part A and Part B, and lodges an ACR if a reportable contravention exists. Only then does the SAR get lodged — carrying the auditor's SAN and the supervisory levy (\$259, or \$518 in the fund's first year, as at June 2026). And the due date isn't one date but a tier the fund falls into, which is confirmed against the current ATO lodgement program rather than assumed.

None of this requires the trustees to become auditors or tax agents. It requires them to keep the records the audit reads, to appoint the right independent auditor in time, to provide a complete pack, and to lodge in the correct order by the fund's actual due date. An AI tool can help draft a checklist or timetable, provided every date is checked against the ATO and every professional task stays with the registered professional — building the backward-dated timetable, indexing the records pack, drafting the trustee minute that records the auditor's appointment. The audit stays independent. The tax-agent work stays with a registered tax agent. And the advice stays with the licensed adviser. The trustees' job is to run the cycle, on time and in order.

TIP

Run it in the lab: </practice?situation=hub:topics:sar-lodgement> walks the lodgement tiers, the capstone </practice?situation=capstone:year-end-lodgement-pressure> is Bridget's mistake as a guided case, and the learn chapter </learn/the-audit> covers the audit cycle.

TIP

Next: the audit and the levy are two of the costs you can't avoid — so Chapter 12 maps the whole cost picture. Chapter 12 lays out every cost line, the realistic cost archetypes from DIY to full-service, when an administrator earns its fee, and how to choose an ASIC-registered auditor — all factually, without pointing you at any one provider.

12 Costs, Providers & DIY-vs-Administrator

Match the provider to the fund's complexity

By now you know what a fund must do each year. This chapter puts numbers against it — what each line actually costs, the three broad ways trustees buy that work, and the specific things that make a fund worth handing to an administrator. None of this is a recommendation to pick a particular provider or to run your fund a particular way. It's the cost map a good adviser would lay on the table, with every figure carrying its date so you can check the current one yourself.

The cost lines — what you actually pay

An SMSF's cost is not one number. It's a stack of separate lines, some legislated and flat, some quoted by a provider and negotiable. Pulling them apart is the first step, because a single advertised "fee" can hide or exclude any of them. Here are the lines a typical fund meets, with the figures current as at June 2026.

Setup. Establishing the fund is a one-off. With **individual trustees**, the setup is the trust deed and the registration paperwork — typically in the order of \$500–1,000, as at June 2026. Verify the current figure. With a **corporate trustee**, you also register a company to act as trustee, which pushes the one-off cost to roughly \$1,200–2,000. Inside that sits the ASIC company registration fee, which is **\$611** as at June 2026 — and ASIC's fees index each 1 July, so verify the current figure before you rely on it.

The ATO supervisory levy. An SMSF generally pays the levy with its annual return. It's **\$259 a year** as at June 2026, and it's paid a year in advance, so a fund's *first* return carries **\$518** — the first year's levy plus the next year's, prepaid. Because the levy runs a year ahead, a fund winding up doesn't generally pay a further year's levy after its final return — the year ahead was already covered. It's legislated and flat — verify the current figure and the wind-up treatment with the ATO.

The annual audit. Every fund must be audited each year by an ASIC-registered approved SMSF auditor. For a plain fund this typically runs **\$300–700**, as at June 2026 — verify the current figure. A more complex fund (property, an LRBA, crypto, collectables) sits at the upper end or beyond, because there's more for the auditor to test.

Annual administration and accounting. This is the line that varies most, and it splits two ways depending on who does the work. It covers the financial statements, the member records, the tax return preparation, and the day-to-day bookkeeping. A lean do-it-yourself fund does that work itself and pays only for **DIY software** to compile the accounts and lodge — roughly **\$400–900**, as at June 2026. A fund that hands the work out pays an administrator or accountant for **outsourced administration / accounting** instead, which runs from roughly **\$1,000 to \$4,000 and beyond**, as at June 2026 — verify the current figure, because most of this is quote-gated, which I'll come to. The two are different lines: a DIY fund pays the software figure, not the outsourced one.

Corporate-trustee ASIC annual review. If the fund uses a special-purpose company as its trustee, that company pays ASIC an annual review fee — about **\$67** as at June 2026 for a special-purpose company (lower than a normal company's review fee). ASIC fees index each 1 July — verify the current figure.

Actuarial certificate. A fund that pays a pension to one member while another member is still in accumulation — and isn't using full segregation — needs an actuarial certificate each year to work out the tax-exempt proportion of its income. That's typically **\$120–132**, as at June 2026 — verify the current figure. A fund wholly in accumulation, or wholly in pension, usually doesn't need one.

Table 12.1 The cost lines of an SMSF (figures as at June 2026 — verify the current figure for each)

Cost line	Typical amount	When it applies
Setup — individual trustee	~\$500–1,000 (one-off)	At establishment
Setup — corporate trustee	~\$1,200–2,000 (one-off), incl. ASIC company registration \$611	At establishment — ASIC fee indexes 1 July
ATO supervisory levy	\$259 / year (\$518 in the first year)	Every year, with the return — legislated and flat
Annual audit	~\$300–700 (higher for complex funds)	Every year — mandatory
DIY software (trustee does the work)	~\$400–900	Every year, if the trustee self-administers and just uses software
Outsourced administration / accounting	~\$1,000–4,000+	Every year, if the work is handed out — mostly quote-gated
Corporate-trustee ASIC annual review	~\$67 (special-purpose company)	Yearly, only if a corporate trustee is used — indexes 1 July
Actuarial certificate	~\$120–132	Yearly, only when a pension and accumulation run together without full segregation

Read that table as a menu, not a total. Which lines apply depends on how the fund is structured and what it holds. A simple accumulation fund with individual trustees skips the corporate-trustee review and the actuarial certificate entirely. A pension fund with a company trustee meets all of them.

Three cost archetypes

Trustees buy the work above in roughly three ways. Naming them helps, because the same fund can cost very different amounts depending on how much the trustee does and how much is outsourced. These are illustrative ranges that combine the lines above. They assume an individual-trustee fund and exclude one-off setup. Treat them as a way to picture the spread, not as quotes.

Table 12.2 Three ways trustees buy the annual work (illustrative ranges, as at June 2026 — verify current figures) — archetype rows are illustrative mid-points, not sums of the Table 12.1 ranges.

Archetype	What it covers	Rough annual cost
DIY	Trustee does the bookkeeping and data entry — DIY software (~\$400–900) plus the audit plus the levy	~\$960–1,860 / year
Outsourced (mid-range)	An administrator does the accounts and return, trustee still makes the decisions — audit and levy on top	~\$2,060–3,360 / year
Full-service	Accountant or specialist administrator handles everything, often with more complex assets and reporting	~\$3,060–4,660+ / year

The gap between the bottom and the top often reflects more work. The DIY figure assumes you reconcile the bank account, record the transactions, and feed clean data into DIY software (~\$400–900), leaving the software provider to produce the statements and arrange the audit. The full-service figure assumes someone else does all of that for you, on a fund that may have property, a pension, or other moving parts. The middle sits, sensibly enough, in the middle.

One well-known model is the **flat-fee online administrator**: a single advertised annual fee — one advertised flat-fee provider price, checked June 2026, was in the order of **\$1,499** — that bundles the administration and the audit into one price. As Chapter 1 noted, the thing to check on any such offer is exactly what the flat fee includes: read the fine print to see whether the \$259 ATO levy is inside that figure or charged on top, because if it's on top the steady-state cost is higher, and higher again in year one.

TIP

A safe AI use here: most software and administration pricing is *quote-gated* — the headline figure depends on your fund's assets and complexity, and you only get the real number by asking. So gather two or three quotes and let your co-pilot do the comparison reading. A prompt that keeps it factual:

From these three quotes I'm pasting, build one table that lists every annual cost line for each provider, totals them, and flags for each whether the ATO supervisory levy and the audit are included or charged separately.

Factual comparison only — do not tell me which provider to choose, and do not give advice. I'll verify the figures against each provider's current pricing.

It does the reading and the arithmetic. The choice stays yours, and a licensed professional owns any advice about it.

When an administrator earns its fee

The question trustees ask most is whether the extra cost of an administrator is worth paying. I can't answer that for you — it turns on your fund and your circumstances, which makes it a decision for you and, where it shades into advice, a licensed professional. What I can give you is the factual list of features that make a fund harder to administer. These are the triggers that put more work — and more audit risk — into the year. They are not a signal that you *must* hire someone — they're the factual triggers that add work to the year.

- **A pension and the TBAR reporting that comes with it.** Starting an income stream creates transfer-balance-account events that must be reported to the ATO on a Transfer Balance Account Report, and it may bring the actuarial certificate into the mix. The reporting has its own rules and deadlines.
- **A limited recourse borrowing arrangement.** An LRBA (SIS Act s67A–C) means a bare trust, a single acquirable asset, and the PCG 2016/5 safe-harbour terms re-checked each July — and an auditor who has to test every part of it.
- **Multiple parcels of an asset with capital-gains consequences.** When the fund holds several parcels bought at different times and prices, working out the gain on a sale — and which parcels to attribute it to — is detailed work.
- **Related-party transactions.** Any dealing with a member or associate has to be at arm's length and inside the s66 and in-house-asset rules, and it has to be documented to prove it. A non-arm's-length dealing risks taxing the income at the top rate.

- **Collectables or direct property.** Art, wine, and the like carry the reg 13.18AA rules (no personal use, insure within 7 days, independent valuer on a related-party sale). Property carries its own valuation and expense-tracking load.
- **Crypto.** Crypto holdings need a 30-June market valuation and an auditor's review of how the fund proves it controls the wallet — the custody question. That's more audit work, and usually a higher audit fee.
- **A member near the contribution caps or the transfer balance cap.** When a member is close to the concessional or non-concessional caps, or the general transfer balance cap (FY2025-26 \$2.0m, rising to \$2.1m from 1 July 2026 — verify the current figure), the accounting has to track those limits precisely, because crossing one has tax consequences.

Table 12.3 Complexity triggers and the work each adds (factual triggers, as at June 2026 — verify current figures and rules)

Trigger	What it adds to the year
A pension started	TBAR reporting of transfer-balance events, plus an actuarial certificate (~\$120–132) if mixed with accumulation without full segregation
An LRBA	A bare trust and limited-recourse terms to audit, with PCG 2016/5 safe-harbour rates re-checked each July
Multiple CGT parcels	Parcel-by-parcel gain calculations and attribution on a sale
Related-party transactions	Arm's-length pricing and documentation, with s66 and in-house-asset testing — NALI risk if not at arm's length
Collectables or direct property	Reg 13.18AA rules (no personal use, insure within 7 days, independent valuer on related-party sale), plus valuation and expense tracking
Crypto	A 30-June market valuation and an auditor's custody/control review — usually a higher audit fee
A member near the caps / TBC	Precise tracking of the concessional, non-concessional, and transfer balance caps, because crossing one has tax consequences

None of those makes a fund unmanageable by a trustee. But each adds work, and several add audit-fee. For a fund at the other end — a **simple single-member fund holding listed shares**, in accumulation, with no pension, no borrowing, and no related-party dealings — the factual administration load is lower: fewer asset classes to value, no TBAR events, no LRBA terms to test, and no related-party documentation trail. Whether a flat-fee provider, accountant, or fuller administrator is appropriate remains a provider-choice and, where personal advice is involved, a licensed-adviser question. The point isn't a rule you apply to yourself. It's that the work in a fund scales with what it holds, and the cost of help scales with the work.

NOTE

The factual frame: "When does an administrator earn its fee?" is a question about *complexity*, and that's factual — a pension means TBAR, crypto means a 30-June valuation and a custody review, an LRBA means a bare trust to audit. Whether *your* fund's total cost makes the SMSF worthwhile is a different question, and it loops back to the personal-advice line from Chapter 1: that's a call for a licensed adviser, weighing your balance, your goals, and the alternatives — not something a book or a chatbot can answer for you.

Choosing an ASIC-registered approved SMSF auditor

The audit is the one external service a fund can't skip, and the one with the firmest rules about who may provide it. Two things matter when you're appointing an auditor, and both are checkable facts rather than matters of taste.

The auditor must be registered, and you can verify it. An approved SMSF auditor is registered with ASIC under SIS Act s128B and holds a unique **SMSF Auditor Number** (a SAN). ASIC publishes a public register of approved SMSF auditors, and you can confirm a SAN on it before you appoint anyone. An unregistered "auditor" can't validly sign your fund's audit, so checking the SAN against the register is the baseline.

The auditor must be independent — and the firm that prepared the accounts can't audit them.

Independence is governed by the accounting profession's code, **APES 110**. The principle that catches SMSF trustees is the self-review threat: the same firm cannot both prepare a fund's financial statements and audit them, because no one can independently check their own work. This used to be common in small accounting practices that did everything in-house, and ASIC has actively enforced against the practice — referring auditors who breached the in-house-audit rules and, in cases, deregistering them. So if your accountant prepares your fund's accounts, a different, independent registered auditor must do the audit.

The auditor pool itself has been shrinking. Industry reporting put the number of registered SMSF auditors at about **3,762 as at early 2026** — a figure that's been on a long downward trend as auditors retire and tighter standards lift the bar. Treat that count as industry press rather than a government statistic — if it matters to you, the live number sits on ASIC's register. The practical effect is that the pool of registered independent auditors is finite, and some funds appoint early for that reason — and, as Chapter 11 set out, the appointment must be made at least 45 days before the annual return is due.

WARNING

The independence trap: "my accountant does the books and the audit, so it's all in one place" is exactly the arrangement APES 110 prohibits. A firm cannot audit the accounts it prepared. If your accountant offers to do both, that's the moment to appoint a separate, independent ASIC-registered auditor — and to confirm their SMSF Auditor Number on ASIC's register before they start. ASIC enforces this — an audit signed in breach of independence is a problem for the fund, not just the auditor.

Worked examples and the factual-only line

The cost map is easier to feel through examples. These four are assumed-fact illustrations of how the lines and the complexity triggers interact — not advice about your situation, and none of these people is you. Each ends with what the example illustrates, not with what the person should do.

Liam, 41, \$190,000, single-member fund holding listed shares. Liam's fund is in accumulation, holds an ASX share portfolio and some cash, has no pension, no borrowing, and no dealings with relatives. He reconciles the bank account himself and runs the fund through flat-fee software that arranges the audit. His annual cost sits in the DIY archetype — roughly \$960–1,860, as at June 2026. *What this illustrates:* where a fund holds only listed securities in accumulation, the work in a year is light and a flat-fee online administrator typically covers it cleanly — the complexity triggers that make help worth paying for simply aren't present. The factors a licensed professional would still weigh are his balance, his goals, and whether the structure suits them.

The Robinsons, a \$1.5 million two-member fund with an LRBA and a pension just started. The fund borrowed under an LRBA to buy a commercial property — so there's a bare trust to audit, limited-recourse terms to test, and PCG 2016/5 safe-harbour rates re-checked each July. One member has just started a pension, which creates TBAR events to report and, because the other member is still in accumulation without full segregation, brings in an actuarial certificate (~\$120–132, as at June 2026). The audit sits at the upper end or beyond. *What this illustrates:* this is a fund where the listed complexity triggers stack together — a pension, an LRBA, and mixed phases stack three sources of work and audit-risk into one year. The cost of help scales with that work. Whether the all-in cost makes the SMSF worthwhile for the Robinsons is a question for their licensed adviser.

Sandra, whose accountant offers to also audit the fund. Sandra's accountant prepares the fund's financial statements each year and offers to do the audit too, "to keep it simple." Sandra recognises the self-review problem: under APES 110 the firm that prepared the accounts can't audit them. She appoints a separate, independent ASIC-registered approved SMSF auditor instead, and confirms that auditor's SMSF Auditor Number on ASIC's public register before the audit begins. *What this*

illustrates: independence isn't a preference — it's a rule ASIC enforces, and the in-house arrangement that looks convenient is the one that's prohibited. Verifying the SAN against the register is the checkable step that confirms the appointment is valid.

A two-member crypto fund holding Bitcoin and Ether. The fund's main asset is cryptocurrency held in a self-custodied wallet. At 30 June the trustees need a market valuation of the holdings, and the auditor has to review how the fund proves it controls the wallet — the custody question — and that the assets are held in the fund's name and separate from the members' personal holdings. That extra testing pushes the audit fee above the plain-fund range. *What this illustrates:* a particular asset class can lift the audit cost on its own, because valuation and custody review add work the auditor must do. The figure isn't a penalty — it's the price of evidencing a harder-to-verify asset, and it's why the audit line for a crypto fund sits at the upper end as at June 2026 (verify the current figure).

Across the four, the same factual pattern repeats: the work in a fund scales with what it holds, the audit fee scales with how hard the assets are to verify, and the cost of help scales with both. What none of these examples does is tell you which provider is best or whether to run your fund a particular way. The costs and mechanics in this chapter are factual. The choice of provider is yours to make on current quotes, and whether the total cost makes an SMSF worthwhile for you is the personal-advice question from Chapter 1 — owned by a licensed adviser, not by this book.

TIP

Run it in the lab: `/practice?situation=hub:topics:audit-pack` assembles the auditor's document pack, and the capstone `/practice?situation=capstone:crypto-custody-red-recovery` walks the crypto-custody audit problem from this chapter's examples.

TIP

Next: the line that keeps coming up — "that's a question for a licensed professional" — deserves to be made practical. Chapter 13 maps the four professionals an SMSF trustee relies on, what each one is for, how to verify them, and exactly where the advice boundary falls — knowing your limits, made concrete.

13 Knowing Your Limits: When to Bring in a Professional

The advice boundary, made practical

Running an SMSF doesn't mean doing everything alone. It means knowing which jobs are yours, which belong to a licensed professional, and which an AI can only help you prepare for. This chapter draws those lines as a practical map: four professionals, what each is actually for, how an AI gets you ready to use them well, how to verify them before you rely on them, and the line that never moves — the professional signs and carries the responsibility, the AI is your unlicensed research assistant, and the trustees make the decision.

The four professionals and what each is for

There are four people whose work a typical SMSF can call on, and they do four different jobs. Confusing them is one of the most common — and most expensive — mistakes a trustee makes. A tax agent isn't a financial adviser. A property salesperson isn't either. The auditor who signs off your fund can't also keep its books. So before anything else, get the map straight.

Two of these four are jobs you almost certainly cannot avoid in some form. Every SMSF must be independently audited every year by an approved SMSF auditor — that's not optional. And if anyone lodges your fund's annual return for a fee, that person must be a registered tax agent. The other two — a financial adviser and a lawyer — you bring in when a decision turns on financial product strategy or on the law itself.

Table 13.1 The four-professional map — who owns what, and where to verify them

Professional	What they're for	The rule behind it	Where to verify
AFS licensee / financial adviser	Personal financial product advice — whether to start or switch into an SMSF, product choices, a strategy tailored to your circumstances	Personal-advice trigger Corps Act s766B(3) — best-interests duty s961B — a Statement of Advice under s946A by default (a record of advice under s946B may apply)	ASIC Financial Advisers Register (the "Moneysmart" / ASIC register)

Registered tax agent	Tax positions and lodging the fund's return for a fee — claiming deductions, applying the tax rules, signing off the return	Providing a tax-agent service for a fee requires TPB registration — Tax Agent Services Act, s50-5	Tax Practitioners Board (TPB) register
Lawyer	Legal instruments and disputes — drafting or amending the trust deed, binding death benefit nominations, estate structuring, resolving a trustee dispute	The trust deed and a BDBN are legal documents. The deed governs the fund (and binds it on a death benefit — recall <i>Hill v Zuda</i> [2022] HCA 21)	Your state or territory law society / legal services register
Approved SMSF auditor	The mandatory independent annual audit of the fund's financial statements and its compliance with super law	Under SIS Act s35C the trustee must ensure the fund is audited each year. The auditor is registered with ASIC under s128B (a unique SMSF Auditor Number) and must be independent of whoever did the admin	ASIC's SMSF auditor register (check the SAN)

Read across the table and you can see why the four don't substitute for one another. The adviser is the only one who can lawfully tell you whether an SMSF suits *you* — that's personal financial product advice, and the trigger sits in section 766B(3) of the Corporations Act. A super fund is a financial product, so a recommendation to start one, switch into one, or invest your fund in a particular thing is exactly the kind of advice that needs a licence. A licensed adviser owes you a best-interests duty under section 961B and, for personal advice to a retail client, the default rule is that the adviser must give a Statement of Advice under s946A, unless a specific exemption applies (such as a record of advice under s946B) — a written record of the recommendation and its basis, which is also a record you can hold them to later.

The tax agent owns tax positions and lodging for a fee. Working out which deductions the fund can claim, how a contribution is treated, what goes in the annual return — that's a tax-agent service, and providing it for a fee without TPB registration is itself an offence under the tax agent services regime. Plenty of trustees lodge their own return, which is allowed. The registration rule bites on the person who does it for you and charges for it. The lawyer owns the legal instruments — the deed, the binding death benefit nomination, anything that ends up in a dispute between trustees or beneficiaries. And the auditor is the one external party a plain fund can never skip: registered with ASIC, independent of the accounts, and signing off every year whether the fund's financials are true and whether it has complied with super law.

NOTE

Definition — the independence rule: the approved SMSF auditor must be independent of the people who prepared the fund's accounts. Under the auditing-independence standard (APES 110), the firm that did your fund's bookkeeping and financial statements generally can't also audit them. That's why "my accountant does everything, including the audit" is a flag, not a convenience. The audit is a check on the admin — it can't be done by the same hands that did the admin.

AI prepares, the professional decides

Here's where your AI co-pilot earns its place — and where it has to stop. An AI can do an enormous amount to get you ready for a professional. It cannot do the professional's job, because the professional's job is to give advice and sign their name to it, and an AI can do neither.

Think of it as preparation versus decision. Before you sit down with a licensed adviser or a tax agent, there's a pile of preparatory work — assembling your facts, writing a plain-English summary of your situation, drafting a sharp question list, understanding the rules well enough to follow the answer — that an AI handles well. Doing that preparation yourself can make the professional meeting more focused. Doing that prep yourself, with an AI's help, means the time you buy from the professional is spent on judgement, not data entry.

The four jobs an AI can genuinely take off your plate are worth naming, because they're the same four every time. It can **assemble your facts** — pulling balances, ages, contribution history, and the fund's structure into one tidy summary instead of a shoebox of statements. It can **produce a plain-English description of your situation** that a busy professional can read in two minutes. It can **draft a question list** so the meeting runs on your agenda, not the clock. And it can **explain the rules** well enough that when the professional answers, you actually follow what they're saying and can ask a sensible follow-up. None of those four is a recommendation. Each makes you a sharper client — and a cheaper one to serve.

Table 13.2 AI prepares versus the professional decides

AI prepares (factual / drafting — safe)	The professional decides (advice / sign-off — licensed)
Assembles your facts into one tidy summary — balances, ages, contributions, the fund's structure	Forms a recommendation about whether to start, switch, or restructure
Writes a plain-English description of your situation to hand over	Signs a Statement of Advice and stands behind it (s946A)
Drafts a question list so you don't pay for thinking you could do yourself	Owes you a best-interests duty on the advice given (s961B)
Explains a rule so you understand the professional's answer	Takes a tax position and lodges the return for a fee (TPB-registered)

Summarises a regulator page or the deed in plain language to check	Drafts or validates the deed or the BDBN (lawyer)
Drafts a fact-only minute or letter from a decision already made	Audits the fund and issues the independent audit report (s35C)

The left column is everything an AI is good at: reading, organising, explaining, drafting from facts you supply. The right column is everything that requires a licence, a registration, or a signature — and accountability when it goes wrong. An AI carries none of those, so it stays in the left column. Cross into the right and you've left research behind for advice the tool isn't permitted to give.

The single most useful thing an AI does for you here is build what I call a **pre-advice pack** — a clean, redacted summary of your situation plus a question list, ready to email or hand over. Here's a safe prompt that produces exactly that, with the guardrails built in.

You are helping me prepare for a meeting with a licensed financial adviser about my SMSF. Factual organising and drafting only – do NOT recommend a course of action, do NOT tell me whether to start, switch, or change anything. That is the adviser's job.

From the facts below (already redacted by me), produce:

1. A one-page plain-English summary of my situation a busy professional could read in two minutes.
2. A list of sharp questions for the adviser, grouped by topic.
3. A short list of documents I should bring.

Facts:

- Members: Member A (age X), Member B (age Y)
- Fund structure: [individual / corporate trustee]
- Approximate balances and recent contributions: [...]
- What I'm trying to understand: [e.g. options around a pension]

Do not ask me for tax file numbers, ID, or bank details. If a question would require licensed financial advice to answer, mark it clearly as "for the adviser to answer".

Notice what the prompt forbids. It bars the recommendation, bars the personal identifiers, and tags any question that strays into advice territory so you know to put it to the adviser rather than the chatbot. The output is preparation — it makes you a better-informed client. The decision still belongs to the human who's licensed to make it.

TIP

An operating habit: build the pre-advice pack *before* every meeting with a professional, not after. A professional charging by the hour spends that hour far more usefully reading a tidy one-pager and a focused question list than extracting the same facts from you piece by piece. The AI does the assembling, you do the redacting and the checking, and the professional does the advising. Everyone stays in their lane, and you pay for judgement instead of data entry.

How to brief a professional well — and verify them first

Two things make a professional relationship work for a trustee: you brief them well, and you check they're who they say they are before you rely on a word they tell you. The AI helps with the first. The registers do the second, and they're free.

Briefing well is mostly the pre-advice pack from the last section, plus a clear statement of what you're actually asking. Be precise about the question. "Tell me about SMSFs" wastes an hour. "Here's my situation, and I want to understand the options for drawing a pension from age 60 — what would you weigh?" gets you somewhere. Bring your facts, bring your questions, and be honest about anything that complicates the picture — a related-party arrangement, a property, a member approaching a cap. A professional can only advise on what you put in front of them.

Verifying comes first, though, because a confident manner is not a licence. Each of the four has a register, and checking takes minutes.

- **A financial adviser** — search the **ASIC Financial Advisers Register**. It shows whether the person is currently authorised to give personal advice, who authorises them, and their history. If they're not on it, they can't lawfully give you personal financial product advice.
- **A tax agent** — search the **Tax Practitioners Board register**. It confirms current registration to provide tax-agent services for a fee. An unregistered person lodging your return for a fee is operating outside the law.
- **An SMSF auditor** — search **ASIC's SMSF auditor register** by the auditor's SMSF Auditor Number (SAN). It confirms the auditor is registered under s128B and in good standing. ASIC maintains public SMSF auditor registers, so verifying the SAN against the register is a practical safeguard.
- **A lawyer** — confirm a current practising certificate through the relevant state or territory law society or legal services register.

The AI can help you find the right register and draft the questions, but the verification itself is a step you take — opening the register and reading the entry. As at June 2026 these registers are the authoritative public source for each profession, and the website addresses and the exact

register names can change, so search for the current ASIC, TPB, or law-society register rather than relying on an old bookmark.

NOTE

The advice-boundary reminder: an AI can tell you *which* register to check and what each register confirms. It cannot verify the professional for you, and it cannot stand in for any of them. Treating a chatbot's reassurance as a substitute for the register — or for the licensed human — is the exact mistake this chapter exists to prevent.

Cautionary cases

Two Australian cases show what's at stake when the advice boundary is ignored — when a conflicted adviser or an unlicensed seller stands in the place of a properly licensed, accountable professional. They're illustrations of why the rules above exist, not advice about your situation. Both are on this book's verified citation list.

The first is *Australian Securities and Investments Commission v Dixon Advisory & Superannuation Services Ltd* [2022] FCA 1105. The Federal Court ordered a financial-advice business to pay a penalty reported at around A\$7.2 million after finding contraventions of the best-interests duty (ss961B and 961G), with the company liable as licensee under s961K flowing from its representatives' breaches — its advisers had repeatedly failed to act in their clients' best interests, including steering SMSF clients into a related-party investment product the group itself was connected to. The conflict is the whole point. The best-interests duty in section 961B and the personal-advice rules exist precisely to police the situation where the person advising you also profits from the product they recommend. A licensed adviser owes you that duty and can be held to it — the case is what enforcement of it looks like.

The second is *Australian Securities and Investments Commission v Park Trent Properties Group Pty Ltd (No 3)* [2015] NSWSC 1527. A property investment group encouraged people over several years to establish SMSFs and use them to buy investment property through the group. ASIC's materials indicate that by the June 2015 trial, Park Trent had advised over 860 people to establish or switch into an SMSF. The Supreme Court of NSW found that Park Trent had been carrying on a financial services business without an AFS licence, in breach of Corporations Act s911A. The lesson for a trustee is blunt: a business that sells you a product is not your financial adviser, even when it talks like one. A property seller, a developer, a "wealth education" outfit running a free seminar — none of them is acting under the best-interests duty, and a recommendation to start an SMSF to buy what they're selling is exactly the personal advice that needs a licence and an accountable human behind it.

Put the two cases side by side and they describe the two ends of the same failure. Dixon Advisory was a licensed business that breached the duty it owed — the conflict was inside the advice. Park Trent was a business that gave the advice without ever holding the licence in the first place — there was no duty to breach, because there was no adviser, only a seller. A trustee meets both kinds. The defence against both is the same two-step habit this chapter keeps coming back to: verify the person on the relevant register before you rely on them, and treat any "you should start an SMSF" that comes from someone who profits from your yes as a reason to get independent, licensed advice — not as the advice itself.

WARNING

The trap both cases share: the person recommending the SMSF had something to gain from the decision. In Dixon Advisory it was a related-party product. In Park Trent it was the property being sold. When the source of a "you should start an SMSF" recommendation also profits from your saying yes, that's the moment to stop and take the question to an independent, licensed adviser you've checked on the ASIC register — not to press on, and certainly not to let an AI rubber-stamp it. The figures and findings here are drawn from the reported judgments. If you want the detail, the citations above are the place to read it.

The line, stated plainly

Strip away the detail and the whole chapter reduces to three roles that never blur.

The professional carries the legal responsibility, and signs. The adviser signs the Statement of Advice and owes you a best-interests duty. The tax agent signs and lodges the return. The lawyer drafts the deed and the nomination. The auditor signs the independent audit report. Each is licensed or registered, each can be held to account, and each operates within a licensing, registration, or professional regime that carries its own accountability obligations. That accountability is what you're paying for — it's the thing an AI structurally cannot provide.

The AI is your unlicensed research assistant. It assembles your facts, summarises the rules, drafts your questions, and explains the professional's answer so you can follow it. It holds no licence, no registration, and no liability. It never makes the recommendation, never signs anything, and never substitutes for the human whose name goes on the work.

The trustees make the decision. After the adviser has advised and the AI has prepared, the choice — and the legal responsibility for the fund — still sits with the trustees. You weigh the advice, you decide, and you carry the can, exactly as Chapter 1 put it. A professional's signature doesn't remove your responsibility as trustee — it adds an accountable expert to the picture. The AI changes how fast you can prepare. It changes nothing about who decides or who answers for it.

That's the boundary, drawn once and for all: prepare with the AI, decide as the trustee, and bring in the licensed professional the moment a question turns on advice, tax, the law, or the audit. Knowing which of those four you're facing — and verifying the person before you trust them — is most of the skill of running a fund well.

TIP

Run it in the lab: both cautionary cases are runnable court-case situations — `/practice?situation=capstone:dixon-urf-related-party-advice` and `/practice?situation=capstone:park-trent-property-spruiker` — and the learn chapter `/learn/advice-boundary-afsl` teaches the boundary this chapter maps.

TIP

Next: with the professionals mapped and the advice boundary made practical, Chapter 14 pulls the whole book together — a 90-day first-year setup roadmap, a preview of the annual rhythm, and a starter pack of safe, reusable AI prompts you can take straight to your own fund, each with the verify-and-escalate guardrail already built in.

14 Your First-Year Roadmap + Prompt Pack

Putting it all together — safely

Thirteen chapters of rules, traps, and worked examples now sit behind you. This last chapter pulls them into something you can actually use: a 90-day setup roadmap, a preview of the annual rhythm a running fund settles into, a pack of reusable prompts that keep your AI co-pilot on the safe side of every line, and a master "get help now" checklist. None of it is advice about your situation — it's the map of how the parts fit, and where each professional and each rule belongs.

The 90-day setup roadmap

Setting up a fund isn't one step — it's a sequence, and the order matters because some steps create the thing the next step needs. The roadmap below lays out a common 90-day path. Two things to hold as you read it. First, the law fixes only some of the timing: the 21-day trustee declaration, the 60-day election to be regulated. The rest is the order trustees usually follow in practice, not an order the law forces on you. Second, the very first box isn't paperwork — it's the decision itself, and if that decision is a "should I," it belongs with a licensed adviser before anything else happens. Third, where the fund uses a corporate trustee, the company has to be registered with ASIC and the directors have to hold director IDs *before* the deed appoints that company — you can't appoint a trustee that doesn't exist yet.

Table 14.1 A common 90-day SMSF setup sequence (legal deadlines flagged; the rest is usual practice)

Step	What happens	Who owns it	Chapter
1. Decide	Settle the "should I" question. A recommendation to start or roll super into an SMSF is personal financial product advice (Corps Act s766B(3)).	You — with a licensed financial adviser if it's a "should I"	1, 13

2. Register the corporate trustee (if used)	If the fund will have a corporate trustee, register that company with ASIC first — the company has to exist before it can be appointed. (A fund with individual trustees skips this step.)	Trustees (or the lawyer/agent setting it up)	4
3. Director IDs	For a corporate trustee, each proposed director obtains a director ID <i>before</i> being appointed a director of the trustee company.	Each proposed director	4
4. Trust deed — execute and appoint	A lawyer drafts the deed that establishes the fund. Executing the deed and appointing the trustees is usually the <i>same</i> instrument and event: the people (or the registered company) named in the deed become trustees on execution.	Lawyer drafts; the trustees-to-be execute and are appointed	4, 5
5. Trustee declaration	Each trustee or director signs the ATO declaration (NAT 71089, under s104A) within 21 days of appointment. Keep it 10 years.	Each trustee — a non-delegable act	4, 9
6. Hold the settlement sum	The fund is established once the deed is executed and the initial settlement sum is held. A fund must hold an asset to legally exist.	Trustees	5
7. Register with the ATO	Apply for the fund's ABN and TFN and elect to be a regulated fund (s19) within 60 days of the fund being legally established.	Trustees (or tax agent)	5
8. Fund bank account	Open a bank account in the fund's name. The requirement is that fund money moves through the fund's own account, kept separate from personal money.	Trustees	5, 9
9. Rollover-capable ESA	Set up an electronic service address that can receive rollovers and SuperStream messages, so existing super can be rolled in.	Trustees	5

10. Investment strategy	Formulate a written investment strategy that addresses the five SIS Reg 4.09(2) factors. The covenant (s52B(2)(f)) requires it to be formulated, reviewed, and given effect.	Trustees decide and own it	6
11. Approved SMSF auditor	Identify the ASIC-registered, independent approved SMSF auditor you'll appoint each year (s35C; registered under s128B). Appoint ≥ 45 days before the SAR is due.	Trustees appoint; auditor must be independent	11, 12

Read the sequence as scaffolding, not a stopwatch. Some funds complete it in well under 90 days; others, especially where the deed or advice takes time, run longer. The two genuine legal clocks are step 5 (21 days for the declaration) and step 7 (60 days for the election to be regulated) — those are obligations on the trustees, not flexible. Everything else is the usual order because each step tends to need the one before it: you can't open a fund bank account in the fund's name before the fund exists, and you can't register a fund that hasn't been established.

NOTE

A note on order: the practical reason the deed comes before the bank account, and registration before the rollover, is that each step produces what the next one needs — not because a single rigid order is written into the Act. The law fixes the declaration and election deadlines; the rest is the path trustees commonly take. If your circumstances suggest a different order, that's a conversation for the lawyer and the tax agent doing the work.

The annual rhythm preview

Setup happens once. Running the fund is a yearly cycle, and the chapters behind you have already covered each piece — this is the calendar that strings them together. A running fund settles into a rhythm built around one fixed point: 30 June, the end of the financial year, after which the fund's accounts, audit, and return all flow.

- **Records and minutes, all year.** Every trustee decision that matters gets a dated minute, signed by the trustees. Minutes and resolutions are 10-year records; the accounting records are 5-year records (Chapter 9).
- **30 June valuations.** Fund assets must be reported at market value each year. That means a defensible valuation of each asset as at 30 June — straightforward for listed shares, more involved for property or unlisted assets (Chapter 11).

- **Investment-strategy review.** The covenant requires the strategy to be *regularly* reviewed and given effect. A documented review — even one that concludes "no change" — is what shows an auditor the duty was met (Chapter 6).
- **The audit, before lodgement.** The accounts are prepared, then an independent approved SMSF auditor audits the fund — appointed at least 45 days before the SAR is due, reporting within 28 days. The audit comes *before* the return is lodged, never after (Chapter 11).
- **The SAR.** The SMSF annual return is lodged by the fund's due date. The lodgement-date tiers (31 October, 28 February, 15 May, 5 June) depend on the fund's circumstances and the current ATO lodgement program — verify your fund's date against the current program rather than assuming one (Chapter 11).
- **Contribution caps.** Track contributions against the caps for the year — concessional \$30,000 and non-concessional \$120,000 for FY2025-26; \$32,500 and \$130,000 for FY2026-27 (verify the current figures with the ATO). Exceeding a cap has tax consequences (Chapter 7).
- **Any TBAR events.** If the fund pays a retirement-phase pension, transfer-balance events are reported through the transfer balance account report (TBAR) on the ATO's timetable. A fund with no such events generally has nothing to report here (Chapter 10).

NOTE

The one fixed sequence each year: valuations at 30 June, then the financial statements, then the independent audit, then — only after the audit — lodgement of the SAR. The audit-before-lodgement order is a common area of confusion, and it's the one that doesn't bend.

The prompt pack (safe, reusable)

These are the prompts referenced throughout the book, gathered in one place. Each is bounded to factual or drafting work, and each ends with the same kind of guardrail: factual only, verify against the source, don't recommend. Copy them, adapt the bracketed parts, and keep the guardrail line intact — it's the part that keeps the assistant inside its role. Remember the privacy rule from Chapter 3: redact tax file numbers, ID, and bank details before you paste anything.

1. Explain a rule plainly

Explain [the sole-purpose test] in plain English for a beginner SMSF trustee. Give me the relevant SIS Act section number so I can read it myself. Factual information only – do not tell me what I should do, and point me to the ATO page that states it so I can verify it against the source.

2. Build a setup checklist

Build a factual checklist of the steps to establish an SMSF in Australia, in the usual order, noting which steps have legal deadlines (e.g. the trustee declaration and the election to be regulated). Factual/administrative only – don't recommend whether I should set one up. Flag each item I should confirm against the ATO's "Setting up an SMSF" page.

3. Draft trustee minutes from my facts

Draft a trustee resolution minute from these facts. Factual drafting only – no investment or financial advice.

- Fund: "the Fund" (don't ask for the real name or ABN)
- Trustees present: Trustee A and Trustee B
- Date of meeting: [I'll fill in]
- Decision: [state the decision the trustees made]

Give me a plain, dated minute with a signature block. I will review it, confirm it matches our records, and sign it myself. Flag anything a trustee should double-check before signing. Please provide factual information only, verified against current ATO/ASIC sources. Do not make recommendations.

4. Summarise a document (redact first)

Summarise this document in plain English and list its key dates and obligations. I have redacted all identifiers – treat any [BRACKETED] placeholder as redacted and do not ask for the real values. Factual summary only – don't recommend a course of action. Note anything I should verify against the original. Please provide factual information only, verified against current ATO/ASIC sources. Do not make recommendations.

5. Prepare questions for an adviser

I have a meeting with a [licensed financial adviser / registered tax agent / lawyer]. From these facts [summarise, redacted], draft a sharp list of questions to ask so I use the time well. Factual preparation only – don't answer the questions yourself or recommend a course of action. The professional gives the

advice; I just want to be ready.
Please provide factual information only, verified against current ATO/ASIC sources. Do not make recommendations.

6. Decode ATO / ASIC guidance

Turn this ATO/ASIC guidance page into a plain-English summary a beginner trustee can follow, keeping every section number and figure exactly as written. Factual summary only – don't add a recommendation. Tell me which parts I should read in the original because they're easy to misread.

7. Build an annual compliance calendar

Build a factual annual compliance calendar for an SMSF: 30 June valuations, financial statements, the independent audit, the SAR, contribution-cap tracking, and any TBAR events – in the order they occur. Note that the audit comes before lodgement. Factual only – don't pick dates for my fund; tell me to confirm my SAR due date against the current ATO lodgement program.

8. Draft a letter to an administrator

Draft a short, polite letter to my fund's administrator asking [state your factual request – e.g. for a copy of the prior-year financial statements]. Use [BRACKETED] placeholders for any identifiers; do not ask me for a TFN or bank details. Factual drafting only – don't recommend anything. I'll fill in the real details on my own computer after reviewing the draft.
Please provide factual information only, verified against current ATO/ASIC sources. Do not make recommendations.

9. List the investment-strategy requirements (not picks)

List the five factors SIS Reg 4.09(2) requires an SMSF investment strategy to address, and explain each in plain English. Factual information only – do NOT suggest any investments, asset allocations, or what my fund should hold. Point me to the ATO's investment-strategy guidance so I can verify the requirements myself.

10. Sanity-check a claim against the source

I've been told "[paste the claim – e.g. an SMSF can lend money to a member]." Is that consistent with the SIS Act? Give me the relevant section number and quote the rule, so I can check it against the legislation and the ATO. Factual only – if you're not certain it's current, say so and tell me where to confirm.

11. Red-flag triage

Here's something I've been offered or told: "[describe it factually, redacted]." Without recommending what I should do, list the factual red flags a beginner trustee should be aware of and the section numbers or regulator pages I can check. If this looks like personal advice or a money-movement request, say so and tell me which licensed professional or regulator owns it.

12. Document-prep-for-the-auditor checklist

Build a factual checklist of the documents an approved SMSF auditor typically needs for a plain fund's annual audit – bank records, financial statements, the investment strategy and its review, minutes, and asset valuations as at 30 June. Factual only – don't audit the fund or tell me it's compliant. Note that the auditor (registered with ASIC, independent under APES 110) does the actual audit.
Please provide factual information only, verified against current ATO/ASIC sources. Do not make recommendations.

TIP

Why the guardrail line stays: "factual only / verify against the source / don't recommend" is doing three jobs at once. It steers the assistant away from advice it can't give, it forces it to hand you something you can check, and it reminds you that the output is a draft until you've confirmed it. Drop the line and you lose all three protections. Keep it on every prompt, every time.

The master "get help now" red-flag checklist

Some situations should stop you in your tracks. Each item below is a stop-and-verify, not a step in a process — if you hit one, the right move is to pause and check with a licensed professional or the regulator before going further. None of these is a judgement about your circumstances; they're the patterns the ATO has flagged in trustee education material, drawn from the cases and rules in the chapters behind you.

- **A cold-call or pressure to start an SMSF, or to roll super into a specific investment.** Stop. A recommendation to start or switch is personal advice needing an AFS licence. Unsolicited pressure is the hallmark of the kind of unlicensed conduct ASIC pursued in *ASIC v Park Trent Properties Group Pty Ltd (No 3)* [2015] NSWSC 1527 — where the Supreme Court of NSW found the group had carried on a financial services business without an AFS licence (Corps Act s911A), having encouraged over 860 people to set up SMSFs to buy investment property (Chapter 13).
- **A product seller acting as your "adviser."** Stop and verify. The person recommending a product and the person selling it being one and the same is the conflict at the heart of *ASIC v Dixon Advisory & Superannuation Services Ltd* [2022] FCA 1105. Check any adviser on ASIC's Financial Advisers Register.
- **A request to move money, or change bank or wallet details, by email or phone only.** Stop. Verify the request through a separate, known channel before acting. Fund money moving on an unverified instruction is how funds get drained.
- **Promised returns well above normal, or "guaranteed."** Stop and verify. Guaranteed high returns are a classic warning sign. This is a regulatory escalation trigger — licensed advice or regulator verification is needed before money moves.
- **A crypto exchange whose terms let it take a set-off or lien over your assets.** Stop. Terms that let a platform claim or pool fund assets can put the fund's separate ownership and the sole-purpose test at risk (Chapters 2, 8). This is a regulatory escalation trigger — the terms need verification and licensed advice before money moves.
- **You're about to acquire an asset from yourself or a relative.** Stop. The related-party acquisition prohibition (SIS Act s66) bars most such purchases, with only narrow exceptions (listed securities and business real property at market value, and money). Verify before any transfer (Chapter 8).
- **A "should I" recommendation from a non-licensed source — including an AI.** Stop. Only a licensed financial adviser can answer "should I" for your circumstances. If your chatbot answers it, it has stepped outside what it's allowed to give (Chapters 1, 3).
- **You're told you can skip the annual audit.** Stop. The independent audit is mandatory every year (SIS Act s35C) — there is no plain fund that doesn't need one. Anyone telling you otherwise is

wrong (Chapter 11).

- **A template BDBN or deed used without a lawyer.** Stop. The deed governs an SMSF's death benefits (*Hill v Zuda* [2022] HCA 21), and a nomination that fails the deed's formalities or names a non-dependant can be invalid. These are documents for a lawyer to draft or validate (Chapter 10).
- **You're asked to paste your TFN or ID into an AI tool.** Stop. There's no good reason an assistant needs a tax file number to help you draft a minute or summarise a rule. Redact first — pasting it offshore is a cross-border disclosure you stay accountable for (Chapter 3).

WARNING

The common thread: every red flag above is either someone trying to move money or make a decision that isn't theirs to make, or a rule that bars a transaction outright. The safe response is the same each time — stop, verify against the source, and take it to the licensed professional who owns that decision before you act. Speed is never a reason to skip the check.

Four short illustrations

The map is easier to feel through examples. These four are assumed-fact illustrations of how the roadmap, the rhythm, the red-flag checklist, and the prompt pack play out. They're not advice about your situation, and none of these people is you. Each ends with what the example illustrates.

A 90-day walkthrough

Hannah and James, a couple in their forties, work through setup over a single quarter. They start by taking the "should I" question to a licensed financial adviser, who confirms the decision is theirs to act on. They choose a corporate trustee, so first they register the trustee company with ASIC, and each obtains a director ID before being appointed a director of it. A lawyer then drafts the deed, and in week two they execute it — the same instrument that establishes the fund also appoints the (now-existing) company as trustee, so they become controllers of the trustee on execution rather than beforehand. Both sign the ATO trustee declaration within 21 days of appointment. The fund holds its settlement sum, and within 60 days they apply for the ABN and TFN and elect to be regulated. A fund bank account and a rollover-capable ESA follow, then they formulate a written investment strategy addressing the five Reg 4.09(2) factors, and identify an ASIC-registered, independent auditor for the first annual cycle. *What this illustrates:* the sequence holds together because each step produces what the next needs — the trustee company is registered with ASIC and the director IDs are obtained before the deed appoints that company, and the only hard clocks are the 21-day declaration and the 60-day election. A licensed adviser owned the "should I," a lawyer owned the deed, and the trustees owned the declaration, the strategy, and the appointment.

A first 30-June close

The same fund reaches its first 30 June. The trustees value the fund's assets at market value as at 30 June, document a review of the investment strategy (concluding no change, and recording why), and have the financial statements prepared. They appoint the independent approved SMSF auditor more than 45 days before the SAR is due; the auditor reports within 28 days. Only then is the SMSF annual return lodged, by the fund's due date under the current ATO lodgement program, and the supervisory levy is paid. *What this illustrates:* the annual rhythm runs in one fixed order — valuations, statements, audit, then lodgement — and the audit always comes before the return. The trustees confirmed their actual SAR due date against the current ATO program rather than assuming a date.

A red-flag catch

Daniel, a new trustee, gets a cold call urging him to roll his super into a "high-yield crypto fund" promising guaranteed double-digit returns, with the paperwork to be signed by email that afternoon. Three red flags fire at once: an unsolicited recommendation to switch (personal advice needing a licence), a "guaranteed" above-normal return, and pressure to move money on an email-only instruction. Daniel stops. He checks the caller on ASIC's Financial Advisers Register, finds nothing, and takes the proposal to a licensed adviser before doing anything. *What this illustrates:* the red flags aren't subtle once you know the patterns. The recommendation to switch was advice only a licensed, accountable person can give; the guarantee and the email-only money movement were the warning signs; and stopping to verify cost Daniel nothing but an afternoon.

A prompt that stayed in its lane

Leah, a careful new trustee, asks her AI assistant whether she "should" move the fund into a single property. Instead of typing the bare question, she uses the red-flag triage prompt from the pack: she describes the proposal factually, redacts the identifiers, and keeps the guardrail line — factual information only, verified against current ATO/ASIC sources, no recommendations. The assistant lists the relevant section numbers (the sole-purpose test s62, the related-party rules s66, the LRBA rules s67A-C), flags that "should I concentrate the fund" is a personal-advice question, and names the licensed financial adviser who owns it. Leah takes that factual list, not a verdict, to the adviser. *What this illustrates:* the guardrail line is what keeps the assistant inside its role — it hands back factual information and section numbers to verify, and routes the "should I" to the licensed professional rather than answering it.

Where to go next — and the standing rule

You've reached the end of the book, so let me close it the way it began — with the line that holds everything together. Across fourteen chapters, three roles have stayed fixed, and they don't blur just because the tools are fast.

The AI carries the reading and the typing. It researches rules, organises documents, drafts minutes and letters from your facts, decodes regulator pages, and prepares your questions. It is a fast, well-read assistant that produces factual information and first drafts — and confidently makes things up, so you verify everything it tells you against the source.

You carry the decisions. Signing a minute, appointing a trustee, formulating the strategy, lodging the return — these are trustee acts you own in full, even when an AI drafted the words or an accountant prepared the numbers. The trustee carries the can, always.

A licensed professional carries any advice. Whether to start or switch, what to invest in, how a tax position works, how a deed or BDBN should be drafted — these belong with a licensed financial adviser, a registered tax agent, or a lawyer, and the mandatory annual audit belongs with an ASIC-registered, independent approved SMSF auditor. Verify each one on the relevant register before you rely on them.

And the rule that has stood since Chapter 1, stated once more, plainly: this book, and any AI you use alongside it, gives you **factual information and education only**. It is not personal financial advice, general financial advice, tax advice, or legal advice, and it doesn't consider your circumstances. Before you act on anything that turns on your situation, take it to a licensed professional — a financial adviser, a registered tax agent, a lawyer, or an approved SMSF auditor, as the case needs.

That's the whole discipline, and it's enough. The pattern that runs through a well-kept fund is the same set of obligations, repeated: the rules are known and applied, the records are kept, the facts are verified against the source, and a licensed human carries any decision that turns on the trustee's circumstances. A fund run that way is in good hands — the trustees' own.

TIP

Run it in the lab: the two gentlest first runs in the companion lab are `/practice?scenario=02-wei-s-first-end-to-end-run` — a full end-to-end agent run — and `/practice?scenario=01-reading-a-caps-planner-run-as-an-adviser` — reading an engine envelope. For the exit-plan thread, the learn chapter `/learn/winding-up-a-fund` covers winding up.

TIP

That's the book. There's no Chapter 15 — from here the work is the fund itself, running through its first full annual cycle and the ones after it. The obligation rhythm is steady once it's familiar: records stay current, the strategy is reviewed each year, valuations and the audit come before the return is lodged, and a licensed professional carries any question that turns on the trustees' own circumstances. You've got the map now, and the discipline that goes with it. Thank you for reading — go well, and may the fund be a quiet, well-kept thing for years to come.

A P P L I E D A I

Disclaimer

General factual information about Australian SMSFs,
current as at June 2026. Not personal financial, tax,
or legal advice. Rules and figures change — verify
against the ATO, ASIC, and the legislation, and seek
licensed advice before acting.

SMSF From Scratch

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